Maintain a secure financial accounting system

D2.TFA.CL7.03

Trainer Guide



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William Angliss Institute

Specialist centre for foods, tourism & hospitality

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The ASEAN Secretariat is based in Jakarta, Indonesia.

General Information on ASEAN appears online at the ASEAN Website: www.asean.org.

All text is produced by William Angliss Institute of TAFE for the ASEAN Project on “Toolbox Development for Tourism Labour Divisions for Travel Agencies and Tour Operations”.

This publication is supported by the Australian Government’s aid program through the ASEAN-Australia Development Cooperation Program Phase II (AADCP II).

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File name: TG_Maintain_a_secure_financial_accounting_system_271015

Table of contents

Competency Based Training (CBT) and assessment – An introduction for trainers

Competency

Competency refers to the ability to perform particular tasks and duties to the standard of performance expected in the workplace.

Competency requires the application of specified knowledge, skills and attitudes relevant to effective participation, consistently over time and in the workplace environment.

The essential skills and knowledge are either identified separately or combined.

Knowledge identifies what a person needs to know to perform the work in an informed and effective manner.

Skills describe the application of knowledge to situations where understanding is converted into a workplace outcome.

Attitude describes the founding reasons behind the need for certain knowledge or why skills are performed in a specified manner.

Competency covers all aspects of workplace performance and involves:

- Performing individual tasks
- Managing a range of different tasks
- Responding to contingencies or breakdowns
- Dealing with the responsibilities of the workplace
- Working with others.

Unit of competency

Like with any training qualification or program, a range of subject topics are identified that focus on the ability in a certain work area, responsibility or function.

Each manual focuses on a specific unit of competency that applies in the hospitality workplace.

In this manual a unit of competency is identified as a ‘unit’.

Each unit of competency identifies a discrete workplace requirement and includes:

- Knowledge and skills that underpin competency
- Language, literacy and numeracy
- Occupational safety and health requirements.

Each unit of competency must be adhered to in training and assessment to ensure consistency of outcomes.

Element of competency

An element of competency describes the essential outcomes within a unit of competency.

The elements of competency are the basic building blocks of the unit of competency. They describe in terms of outcomes the significant functions and tasks that make up the competency.

In this manual elements of competency are identified as an 'element'.

Performance criteria

Performance criteria indicate the standard of performance that is required to demonstrate achievement within an element of competency. The standards reflect identified industry skill needs.

Performance criteria will be made up of certain specified skills, knowledge and attitudes.

Learning

For the purpose of this manual learning incorporates two key activities:

- Training
- Assessment.

Both of these activities will be discussed in detail in this introduction.

Today training and assessment can be delivered in a variety of ways. It may be provided to participants:

- On-the-job – in the workplace
- Off-the-job – at an educational institution or dedicated training environment
- As a combination of these two options.

No longer is it necessary for learners to be absent from the workplace for long periods of time in order to obtain recognised and accredited qualifications.

Learning approaches

This manual will identify two avenues to facilitate learning:

<u>Competency Based Training (CBT)</u>

This is the strategy of developing a participant's competency.

Educational institutions utilise a range of training strategies to ensure that participants are able to gain the knowledge and skills required for successful:

- Completion of the training program or qualification
- Implementation in the workplace.

The strategies selected should be chosen based on suitability and the learning styles of participants.

Competency Based Assessment (CBA)

This is the strategy of assessing competency of a participant.

Educational institutions utilise a range of assessment strategies to ensure that participants are assessed in a manner that demonstrates validity, fairness, reliability, flexibility and fairness of assessment processes.

Flexibility in learning

It is important to note that flexibility in training and assessment strategies is required to meet the needs of participants who may have learning difficulties. The strategies used will vary, taking into account the needs of individual participants with learning difficulties. However they will be applied in a manner which does not discriminate against the participant or the participant body as a whole.

Catering for participant diversity

Participants have diverse backgrounds, needs and interests. When planning training and assessment activities to cater for individual differences, trainers and assessors should:

- Consider individuals' experiences, learning styles and interests
- Develop questions and activities that are aimed at different levels of ability
- Modify the expectations for some participants
- Provide opportunities for a variety of forms of participation, such as individual, pair and small group activities
- Assess participants based on individual progress and outcomes.

The diversity among participants also provides a good reason for building up a learning community in which participants support each other's learning.

Participant centred learning

This involves taking into account structuring training and assessment that:

- *Builds on strengths* – Training environments need to demonstrate the many positive features of local participants (such as the attribution of academic success to effort, and the social nature of achievement motivation) and of their trainers (such as a strong emphasis on subject disciplines and moral responsibility). These strengths and uniqueness of local participants and trainers should be acknowledged and treasured
- *Acknowledges prior knowledge and experience* – The learning activities should be planned with participants' prior knowledge and experience in mind
- *Understands learning objectives* – Each learning activity should have clear learning objectives and participants should be informed of them at the outset. Trainers should also be clear about the purpose of assignments and explain their significance to participants
- *Teaches for understanding* – The pedagogies chosen should aim at enabling participants to act and think flexibly with what they know
- *Teaches for independent learning* – Generic skills and reflection should be nurtured through learning activities in appropriate contexts of the curriculum. Participants should be encouraged to take responsibility for their own learning

- *Enhances motivation* – Learning is most effective when participants are motivated. Various strategies should be used to arouse the interest of participants
- *Makes effective use of resources* – A variety of teaching resources can be employed as tools for learning
- *Maximises engagement* – In conducting learning activities, it is important for the minds of participants to be actively engaged
- *Aligns assessment with learning and teaching* – Feedback and assessment should be an integral part of learning and teaching
- *Caters for learner diversity* – Trainers should be aware that participants have different characteristics and strengths and try to nurture these rather than impose a standard set of expectations.

Active learning

The goal of nurturing independent learning in participants does not imply that they always have to work in isolation or solely in a classroom. On the contrary, the construction of knowledge in tourism and hospitality studies can often best be carried out in collaboration with others in the field. Sharing experiences, insights and views on issues of common concern, and working together to collect information through conducting investigative studies in the field (active learning) can contribute a lot to their eventual success.

Active learning has an important part to play in fostering a sense of community in the class. First, to operate successfully, a learning community requires an ethos of acceptance and a sense of trust among participants, and between them and their trainers. Trainers can help to foster acceptance and trust through encouragement and personal example, and by allowing participants to take risks as they explore and articulate their views, however immature these may appear to be. Participants also come to realise that their classmates (and their trainers) are partners in learning and solving.

Trainers can also encourage cooperative learning by designing appropriate group learning tasks, which include, for example, collecting background information, conducting small-scale surveys, or producing media presentations on certain issues and themes. Participants need to be reminded that, while they should work towards successful completion of the field tasks, developing positive peer relationships in the process is an important objective of all group work.

Competency Based Training (CBT)

Principle of Competency Based Training

Competency based training is aimed at developing the knowledge, skills and attitudes of participants, through a variety of training tools.

Training strategies

The aims of this curriculum are to enable participants to:

- Undertake a variety of subject courses that are relevant to industry in the current environment
- Learn current industry skills, information and trends relevant to industry
- Learn through a range of practical and theoretical approaches
- Be able to identify, explore and solve issues in a productive manner

- Be able to become confident, equipped and flexible managers of the future
- Be 'job ready' and a valuable employee in the industry upon graduation of any qualification level.

To ensure participants are able to gain the knowledge and skills required to meet competency in each unit of competency in the qualification, a range of training delivery modes are used.

Types of training

In choosing learning and teaching strategies, trainers should take into account the practical, complex and multi-disciplinary nature of the subject area, as well as their participant's prior knowledge, learning styles and abilities.

Training outcomes can be attained by utilising one or more delivery methods:

Lecture/tutorial

This is a common method of training involving transfer of information from the trainer to the participants. It is an effective approach to introduce new concepts or information to the learners and also to build upon the existing knowledge. The listener is expected to reflect on the subject and seek clarifications on the doubts.

Demonstration

Demonstration is a very effective training method that involves a trainer showing a participant how to perform a task or activity. Through a visual demonstration, trainers may also explain reasoning behind certain actions or provide supplementary information to help facilitate understanding.

Group discussions

Brainstorming in which all the members in a group express their ideas, views and opinions on a given topic. It is a free flow and exchange of knowledge among the participants and the trainer. The discussion is carried out by the group on the basis of their own experience, perceptions and values. This will facilitate acquiring new knowledge. When everybody is expected to participate in the group discussion, even the introverted persons will also get stimulated and try to articulate their feelings.

The ideas that emerge in the discussions should be noted down and presentations are to be made by the groups. Sometimes consensus needs to be arrived at on a given topic. Group discussions are to be held under the moderation of a leader guided by the trainer. Group discussion technique triggers thinking process, encourages interactions and enhances communication skills.

Role play

This is a common and very effective method of bringing into the classroom real life situations, which may not otherwise be possible. Participants are made to enact a particular role so as to give a real feel of the roles they may be called upon to play. This enables participants to understand the behaviour of others as well as their own emotions and feelings. The instructor must brief the role players on what is expected of them. The role player may either be given a ready-made script, which they can memorize and enact, or they may be required to develop their own scripts around a given situation. This technique is extremely useful in understanding creative selling techniques and human relations. It can be entertaining and energizing and it helps the reserved and less literate to express their feelings.

Simulation games

When trainees need to become aware of something that they have not been conscious of, simulations can be a useful mechanism. Simulation games are a method based on "here and now" experience shared by all the participants. The games focus on the participation of the trainees and their willingness to share their ideas with others. A "near real life" situation is created providing an opportunity to which they apply themselves by adopting certain behaviour. They then experience the impact of their behaviour on the situation. It is carried out to generate responses and reactions based on the real feelings of the participants, which are subsequently analysed by the trainer.

While use of simulation games can result in very effective learning, it needs considerable trainer competence to analyse the situations.

Individual /group exercises

Exercises are often introduced to find out how much the participant has assimilated. This method involves imparting instructions to participants on a particular subject through use of written exercises. In the group exercises, the entire class is divided into small groups, and members are asked to collaborate to arrive at a consensus or solution to a problem.

Case study

This is a training method that enables the trainer and the participant to experience a real life situation. It may be on account of events in the past or situations in the present, in which there may be one or more problems to be solved and decisions to be taken. The basic objective of a case study is to help participants diagnose, analyse and/or solve a particular problem and to make them internalize the critical inputs delivered in the training. Questions are generally given at the end of the case study to direct the participants and to stimulate their thinking towards possible solutions. Studies may be presented in written or verbal form.

Field visit

This involves a carefully planned visit or tour to a place of learning or interest. The idea is to give first-hand knowledge by personal observation of field situations, and to relate theory with practice. The emphasis is on observing, exploring, asking questions and understanding. The trainer should remember to brief the participants about what they should observe and about the customs and norms that need to be respected.

Group presentation

The participants are asked to work in groups and produce the results and findings of their group work to the members of another sub-group. By this method participants get a good picture of each other's views and perceptions on the topic and they are able to compare them with their own point of view. The pooling and sharing of findings enriches the discussion and learning process.

Practice sessions

This method is of paramount importance for skills training. Participants are provided with an opportunity to practice in a controlled situation what they have learnt. It could be real life or through a make-believe situation.

Games

This is a group process and includes those methods that involve usually fun-based activity, aimed at conveying feelings and experiences, which are everyday in nature, and applying them within the game being played. A game has set rules and regulations, and may or may not include a competitive element. After the game is played, it is essential that the participants be debriefed and their lessons and experiences consolidated by the trainer.

Research

Trainers may require learners to undertake research activities, including online research, to gather information or further understanding about a specific subject area.

Competency Based Assessment (CBA)

Principle of Competency Based Assessment

Competency based assessment is aimed at compiling a list of evidence that shows that a person is competent in a particular unit of competency.

Competencies are gained through a multitude of ways including:

- Training and development programs
- Formal education
- Life experience
- Apprenticeships
- On-the-job experience
- Self-help programs.

All of these together contribute to job competence in a person. Ultimately, assessors and participants work together, through the ‘collection of evidence’ in determining overall competence.

This evidence can be collected:

- Using different formats
- Using different people
- Collected over a period of time.

The assessor who is ideally someone with considerable experience in the area being assessed, reviews the evidence and verifies the person as being competent or not.

Flexibility in assessment

Whilst allocated assessment tools have been identified for this subject, all attempts are made to determine competency and suitable alternate assessment tools may be used, according to the requirements of the participant.

The assessment needs to be equitable for all participants, taking into account their cultural and linguistic needs.

Competency must be proven regardless of:

- Language
- Delivery Method
- Assessment Method.

Assessment objectives

The assessment tools used for subjects are designed to determine competency against the ‘elements of competency’ and their associated ‘performance criteria’.

The assessment tools are used to identify sufficient:

a) Knowledge, including underpinning knowledge

b) Skills

c) Attitudes

Assessment tools are activities that trainees are required to undertake to prove participant competency in this subject.

All assessments must be completed satisfactorily for participants to obtain competence in this subject. There are no exceptions to this requirement, however, it is possible that in some cases several assessment items may be combined and assessed together.

Types of assessment

Allocated Assessment Tools

There are a number of assessment tools that are used to determine competency in this subject:

- Work projects
- Written questions
- Oral questions
- Third Party Report
- Observation Checklist.

Instructions on how assessors should conduct these assessment methods are explained in the Assessment Manuals.

Alternative assessment tools

Whilst this subject has identified assessment tools, as indicated above, this does not restrict the assessor from using different assessment methods to measure the competency of a participant.

Evidence is simply proof that the assessor gathers to show participants can actually do what they are required to do.

Whilst there is a distinct requirement for participants to demonstrate competency, there are many and diverse sources of evidence available to the assessor.

Ongoing performance at work, as verified by a supervisor or physical evidence, can count towards assessment. Additionally, the assessor can talk to customers or work colleagues to gather evidence about performance.

A range of assessment methods to assess competency include:

- Practical demonstrations
- Practical demonstrations in simulated work conditions
- Problem solving
- Portfolios of evidence
- Critical incident reports
- Journals
- Oral presentations
- Interviews
- Videos
- Visuals: slides, audio tapes
- Case studies
- Log books
- Projects
- Role plays
- Group projects
- Group discussions
- Examinations.

Recognition of Prior Learning

Recognition of Prior Learning is the process that gives current industry professionals who do not have a formal qualification, the opportunity to benchmark their extensive skills and experience against the standards set out in each unit of competency/subject.

Also known as a Skills Recognition Audit (SRA), this process is a learning and assessment pathway which encompasses:

- Recognition of Current Competencies (RCC)
- Skills auditing
- Gap analysis and training
- Credit transfer.

Assessing competency

As mentioned, assessment is the process of identifying a participant's current knowledge, skills and attitudes sets against all elements of competency within a unit of competency. Traditionally in education, grades or marks were given to participants, dependent on how many questions the participant successfully answered in an assessment tool.

Competency based assessment does not award grades, but simply identifies if the participant has the knowledge, skills and attitudes to undertake the required task to the specified standard.

Therefore, when assessing competency, an assessor has two possible results that can be awarded:

- Pass Competent (PC)
- Not Yet Competent (NYC).

Pass Competent (PC)

If the participant is able to successfully answer or demonstrate what is required, to the expected standards of the performance criteria, they will be deemed as 'Pass Competent' (PC).

The assessor will award a 'Pass Competent' (PC) if they feel the participant has the necessary knowledge, skills and attitudes in all assessment tasks for a unit.

Not Yet Competent' (NYC)

If the participant is unable to answer or demonstrate competency to the desired standard, they will be deemed to be 'Not Yet Competent' (NYC).

This does not mean the participant will need to complete all the assessment tasks again. The focus will be on the specific assessment tasks that were not performed to the expected standards.

The participant may be required to:

a) Undertake further training or instruction

b) Undertake the assessment task again until they are deemed to be 'Pass Competent'.

Competency standard

<table>
<tr><td colspan="2">UNIT TITLE: MAINTAIN A SECURE FINANCIAL ACCOUNTING SYSTEM</td><td>NOMINAL HOURS: 80</td></tr>
<tr><td colspan="3">UNIT NUMBER: D2.TFA.CL7.03</td></tr>
<tr><td colspan="3">UNIT DESCRIPTOR: This unit deals with skills and knowledge required to maintain the security of the accounting systems, including the general ledger.</td></tr>
<tr><td>ELEMENTS AND PERFORMANCE CRITERIA</td><td colspan="2">UNIT VARIABLE AND ASSESSMENT GUIDE</td></tr>
<tr><td>Element 1: Reconcile general ledger accounts
1.1 Reconcile general ledger to subsidiary ledgers
1.2 Resolve outstanding items on reconciliation
1.3 Reconcile bank accounts and clear suspense accounts
1.4 Obtain authorisation and/or approval for completed reconciliation
Element 2: Reconcile general ledger to related systems
2.1 Process related systems entries
2.2 Reconcile interfaces from related systems
2.3 Verify related systems to maintain integrity of the accounting systems</td><td colspan="2">Unit Variables
The Unit Variables provide advice to interpret the scope and context of this unit of competence, allowing for differences between enterprises and workplaces. It relates to the unit as a whole and facilitates holistic assessment.
This unit applies to all industry sectors that have a need to utilise a financial accounting system within the labour divisions of the hotel and travel industries and may include:
1. Front Office
2. Travel Agencies
3. Tour Operation
Reconcile general ledger to subsidiary ledgers may include:
• Conducting regular reconciliations
• Ensuring accuracy
• Adhering to organisational policies and procedures which may include:
▪ Operations manuals
▪ Internal control guidelines
▪ Computer system documentation.</td></tr>
</table>

Element 3: Back-up systems **3.1** Follow system *back-up schedules* precisely **3.2** *Verify back-ups* **Element 4: Monitor and review integrity of financial systems** **4.1** Establish *processes to regularly monitor financial systems* **4.2** Identify variations from organisational policies and procedures **4.3** *Assess variations* from organisational policies and procedures **4.4** *Encourage user feedback* **Element 5: Update systems for management requirements and regulations** **5.1** Calculate *estimates of costs* associated with changes **5.2** *Plan changes and updates* to systems ***5.3*** *Test systems' updates* **5.4** Ensure changes and updates are comprehensive and maintain the integrity of accounting system **5.5** *Apply changes* **5.6** *Circulate changed and/or updated relevant documentation*	*Resolve outstanding items* will include: • Undertaking investigations • Seeking input from others in relation to information required to determine the issue • Making appropriate corrections to relevant accounts • Ensuring the integrity of the system. *Reconcile bank accounts and clear suspense accounts* may be related to: • Ensuring reliability of the general ledger. *Obtain authorisation and/or approval* may include: • Acquiring sign-off by appropriate personnel such as: ▪ Accounting personnel ▪ Business unit or departmental managers • Adhering to organisational policies and procedures. *Related systems* may include: • Suspense accounts • Cost centre accounts • Investments register • Prompt processing of data • Accuracy in entry. *Reconcile interfaces* must include: • Adhering to organisational policies and procedures • Ensuring accuracy.

	Verify related systems must include:
	• Ensuring validity
	• Ensuring accuracy.
	
	Back-up schedules may include:
	• Backing-up electronically on a daily, weekly or monthly basis
	• Usually prescribed in organisational procedures/system operational procedures.
	
	Verify back-ups may include:
	• Storing back-ups in secure and designated locations
	• Ensuring accessibility of backed-up information
	• Protecting integrity of system information
	• Complying with internal audit requirements
	• Complying with internal security requirements.
	
	Processes to regularly monitor financial systems may include:
	• Ensuring reliability of the systems
	• Ensuring integrity of the systems
	• Ensuring compliance with organisational policies and procedures
	• Ensuring compliance of the systems with relevant *management requirements and host country regulations* which may include:
	  ▪ Authority levels
	  ▪ Classification systems
	  ▪ Cost centre definitions
	  ▪ New expenditure accounts

	▪ Reinsurance returns ▪ Audit trails. *Assess variations* may include: • Determining impact on the financial systems • Identifying action to be taken to address variations. *Encourage user feedback* may include: • Reviewing feedback received • Determining impact on the financial systems • Identifying action to be taken • Soliciting input from appropriate personnel • Recording feedback received for future use and/or reference. *Estimates of costs* may include: • Undertaking cost-benefit analysis • Calculating opportunity costs • Determining infrastructure costs • Determining training costs for staff • Assessing cost-effectiveness. *Plan changes and updates* may include: • Preparing written implementation plans • Allocating responsibilities • Identifying relevant timelines • Advising relevant staff as appropriate • Undertaking training to support implementation.

	Test systems' updates may include:
	• Ensuring they reflect changed requirements
	• Identifying unanticipated flow-on effects from the changes and updates.
	
	Apply changes may include:
	• Ensuring consistency of application across all systems
	• Ensuring report information remains valid
	• Monitoring implementation.
	
	Circulate changed and/or updated relevant documentation may include:
	• Ensuring all *relevant parties* are informed of variations, which may include:
	  ▪ Management
	  ▪ Other accounting personnel and organisational staff.
	
	Assessment Guide
	The following skills and knowledge must be assessed as part of this unit:
	• Enterprise policies and procedures in regard to the functioning of the financial accounting systems that operate within the business
	• Ability to use accounting techniques
	• Ability to check reconciliation items with related system entries
	• Detailed knowledge of relevant host country legislation relating to accounting practices and procedures
	• Comprehensive knowledge of accounting procedures and practices
	• Sound communication skills in liaising with departmental managers and creditors/ suppliers
	• Thorough understanding of bank account reconciliation process

	• Ability to back-up and update financial systems • Ability to use relevant data entry and office equipment. **Linkages To Other Units** • Access and retrieve computer-based data • Perform clerical procedures • Plan and establish systems and procedures • Prepare business documents • Use common business tools and technology • Develop and implement operational policies • Audit financial procedures • Maintain financial standards and records • Manage financial performance within a budget • Manage payroll records • Monitor catering revenue and costs • Interpret financial statements and reports • Manage and control operational costs • Prepare financial statements • Prepare and monitor budgets. **Critical Aspects of Assessment** Evidence of the following is essential: • Understanding of host enterprise policies and procedures in regard to the functioning of the financial accounting systems that operate within the business • Demonstrated ability to reconcile a nominated set of general ledger accounts

	• Demonstrated ability to reconcile a nominated general ledger to given related systems • Demonstrated ability to effectively and securely back-up a nominated accounting system • Demonstrated ability to review a nominated accounting system and make recommendations for changes and updates to maintain the integrity and security of the system. **Context of Assessment** This unit may be assessed on or off the job: • Assessment should include practical demonstration either in the workplace or through a simulation activity, supported by a range of methods to assess underpinning knowledge • Assessment must relate to the individual's work area or area of responsibility. **Resource Implications** Training and assessment to include access to a real or simulated workplace; and access to workplace standards, procedures, policies, guidelines, tools and equipment. **Assessment Methods** The following methods may be used to assess competency for this unit: • Case studies • Observation of practical candidate performance • Oral and written questions • Analysis of portfolio of documents produced, or worked on, by the candidate • Problem solving • Third party reports completed by a supervisor • Project and assignment work.

Key Competencies in this Unit

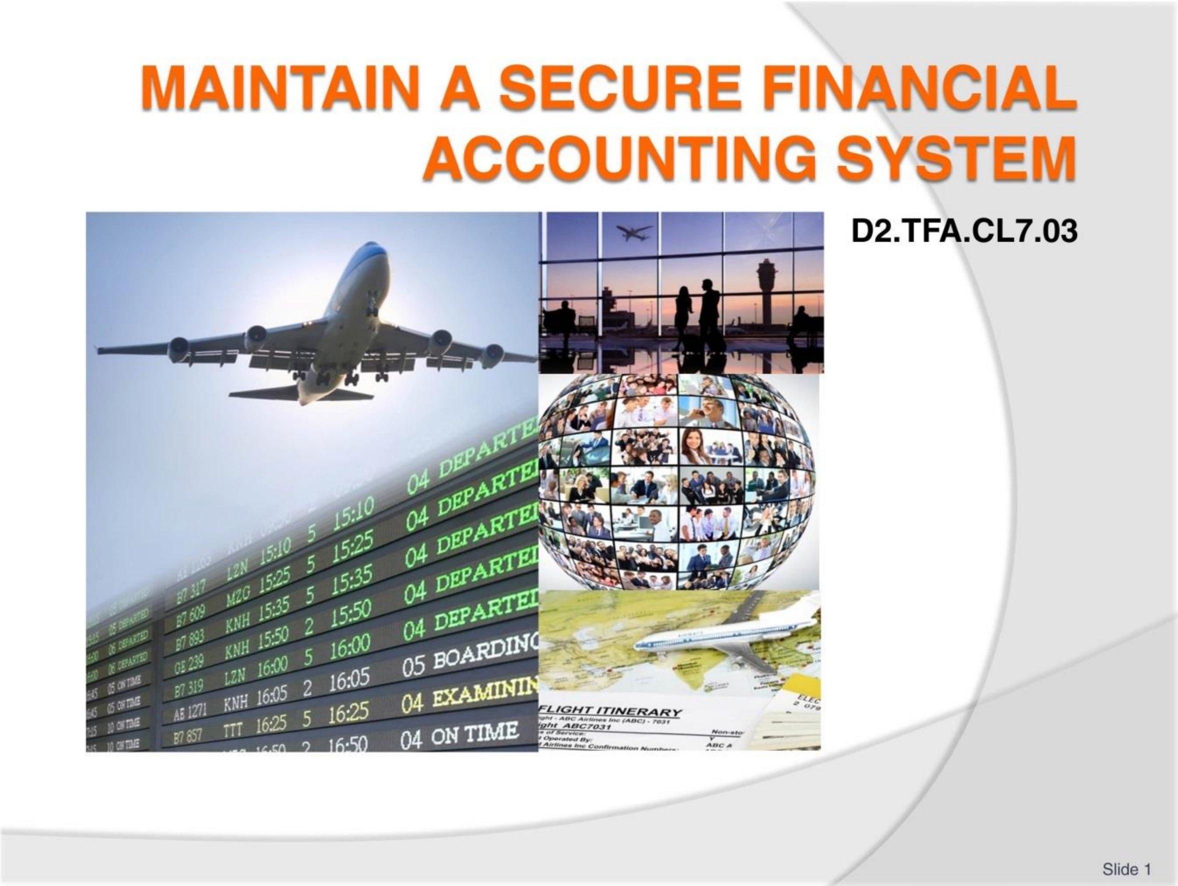
Level 1 = competence to undertake tasks effectively

Level 2 = competence to manage tasks

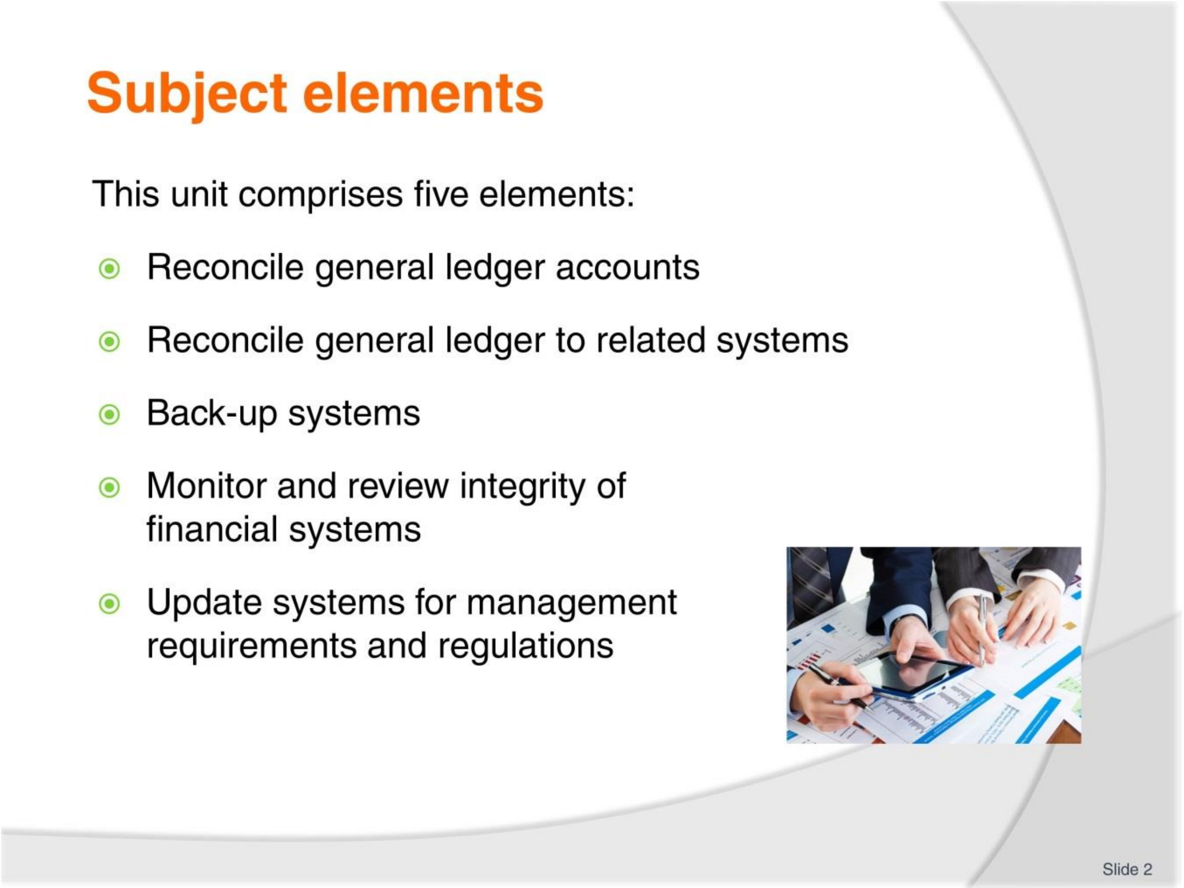
Level 3 = competence to use concepts for evaluating

Key Competencies	Level	Examples
Collecting, organising and analysing information	3	Capture information to enable operation and analysis of the systems
Communicating ideas and information	2	Explain variations to relevant personnel
Planning and organising activities	3	Schedule reviews and implementation tests
Working with others and in teams	2	Liaise with relevant parties
Using mathematical ideas and techniques	3	Calculate accounting statistics and data
Solving problems	3	Resolve variations in system figures
Using technology	2	Use accounting software packages

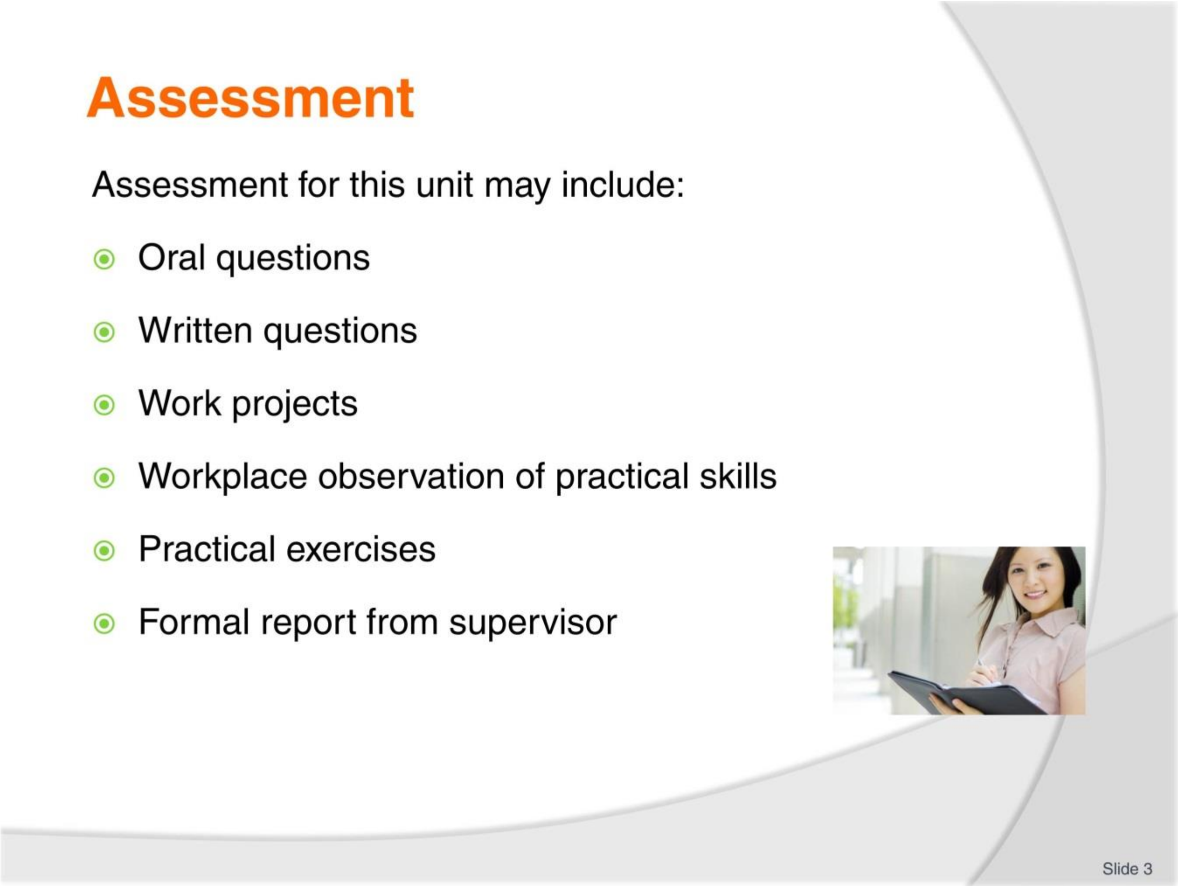
Notes and PowerPoint slides

Slide


Slide No	Trainer Notes
1.	Trainer introduces the unit

Slide


Slide No	Trainer Notes
2.	Trainer advises this Unit comprises five Elements, as listed on the slide explaining: • Each Element comprises a number of Performance Criteria which will be identified throughout the class and explained in detail • Trainees can obtain more detail from their Trainee Manual • At times the course presents advice and information about various protocols but where their workplace requirements differ to what is presented, the workplace practices and standards, as well as policies and procedures must be observed.

Slide


Slide No	Trainer Notes
3.	Trainer advises that assessment for this Unit may take several forms all of which are aimed at verifying they have achieved competency for the Unit as required. Trainer indicates the methods of assessment that will be applied to them for this Unit.

Slide

Slide No	Trainer Notes
4.	Introduce topic. **Class Activity – General Discussion** Ask general questions: • What is a ledger? • What is a general ledger? • What is the purpose of a ‘reconciliation’?

Slide

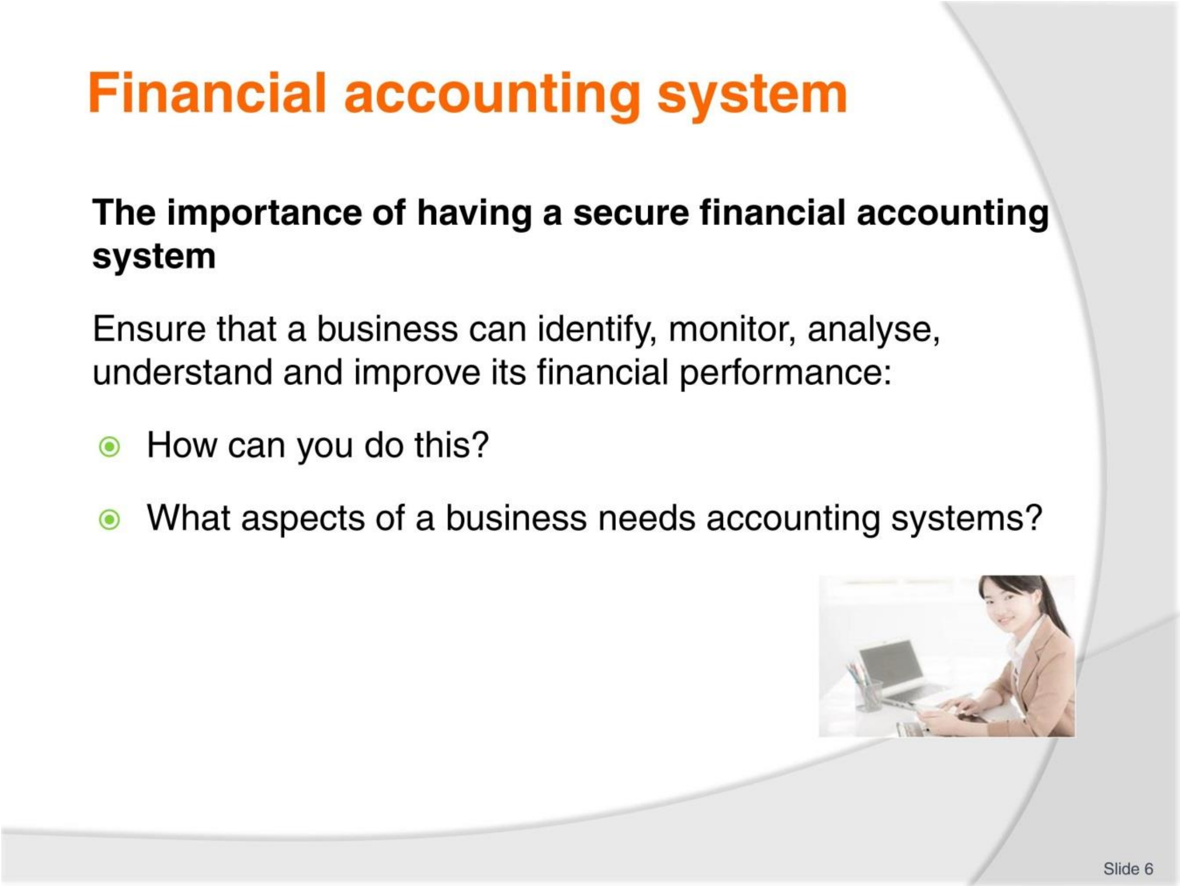
Reconcile general ledger accounts

Performance Criteria for this Element are:

- Reconcile general ledger to subsidiary ledgers
- Resolve outstanding items on reconciliation
- Reconcile bank accounts and clear suspense accounts
- Obtain authorisation and/or approval for completed reconciliation

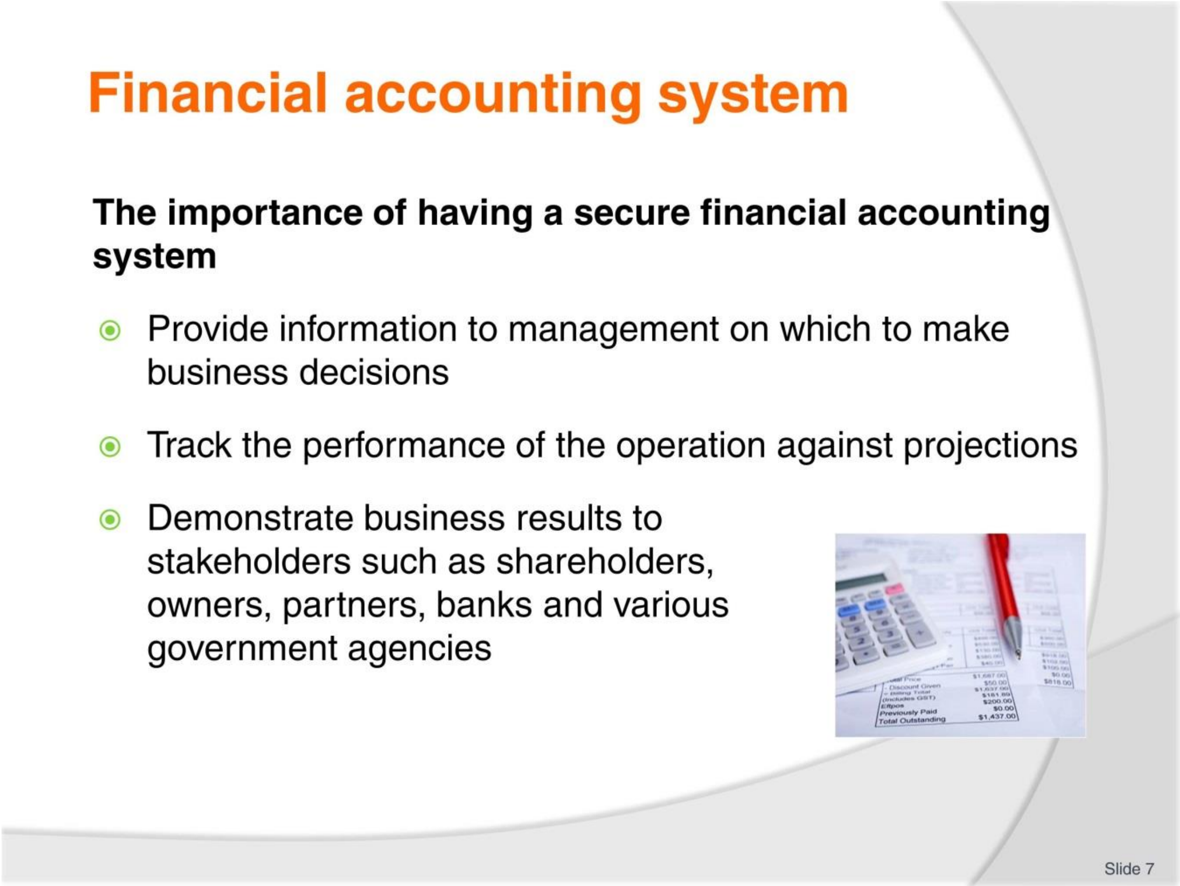
Slide 5

Slide No	Trainer Notes
5.	Trainer identifies the Performance Criteria for this Element, as listed on the slide.

Slide


Slide No	Trainer Notes
6.	**Discussion** Discuss the questions in the slide.

Slide



Slide No	Trainer Notes
7.	**Discussion** Why is this important?

Slide

Financial accounting system

Management of accounting systems

In the workplace, the function of maintaining accounting systems may be:

- Allocated to the administration or accounts department
- Given to one nominated management-level member
- The sole province of the business owner-operator
- Integrated with other activities and systems

COMPLETE ACTIVITY 1

Slide 8

Slide No	Trainer Notes
8.	**Discussion & Complete Activity** Discuss the roles different people play in managing financial information within a business.

Slide

Journals and ledgers

Difference between a journal and a ledger

- Journals and ledgers are where business transactions are recorded in an accounting system
- Individual transactions are stored in one of several possible journals
- Information in the journals is then summarized and transferred to a ledger

Slide 9

Slide No	Trainer Notes
9.	**Discussion** Provide examples to explain the concept.

Slide

General and special journals

General journal

A general journal is a general location for the initial entry of certain transactions that do not occur in sufficient volumes to create specialised journals.

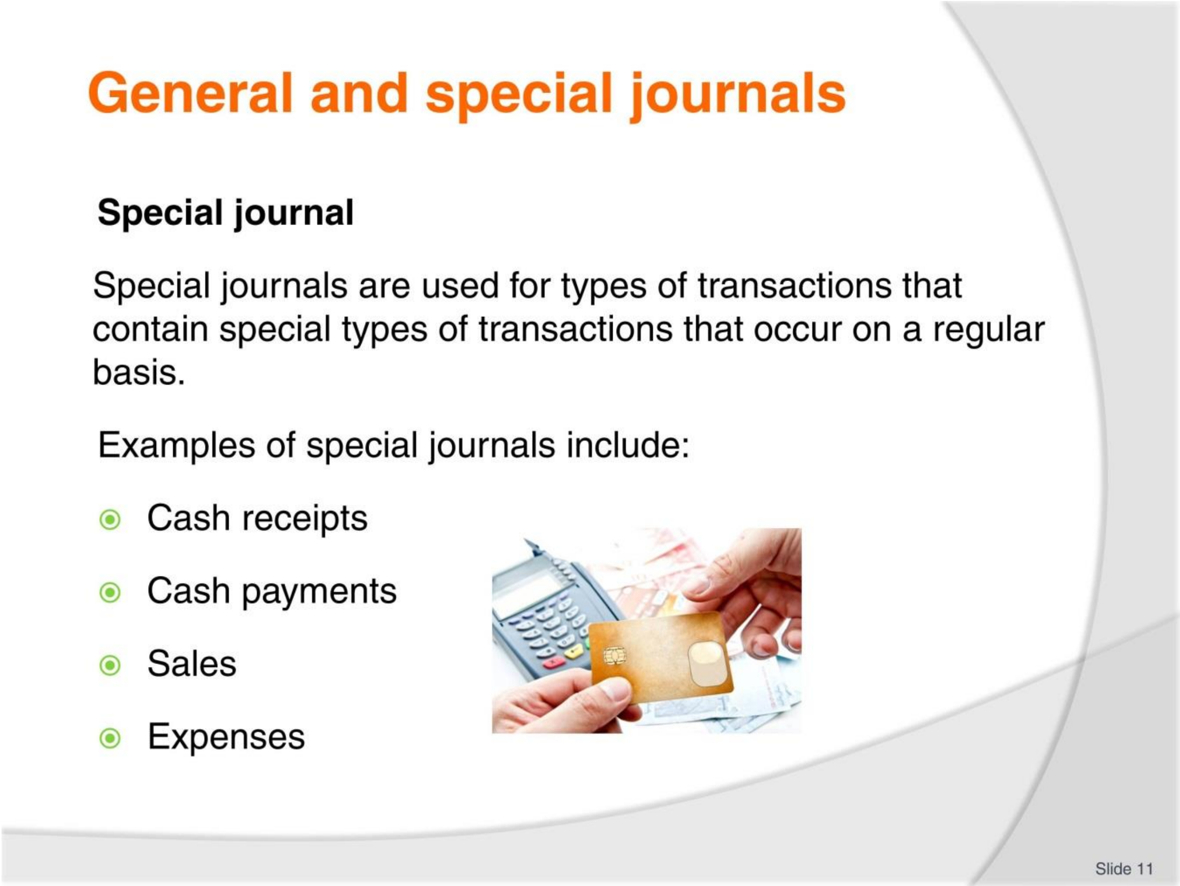
Examples of entries made into the general journal are:

- Asset sales
- Depreciation
- Interest income
- Interest expense

Slide 10

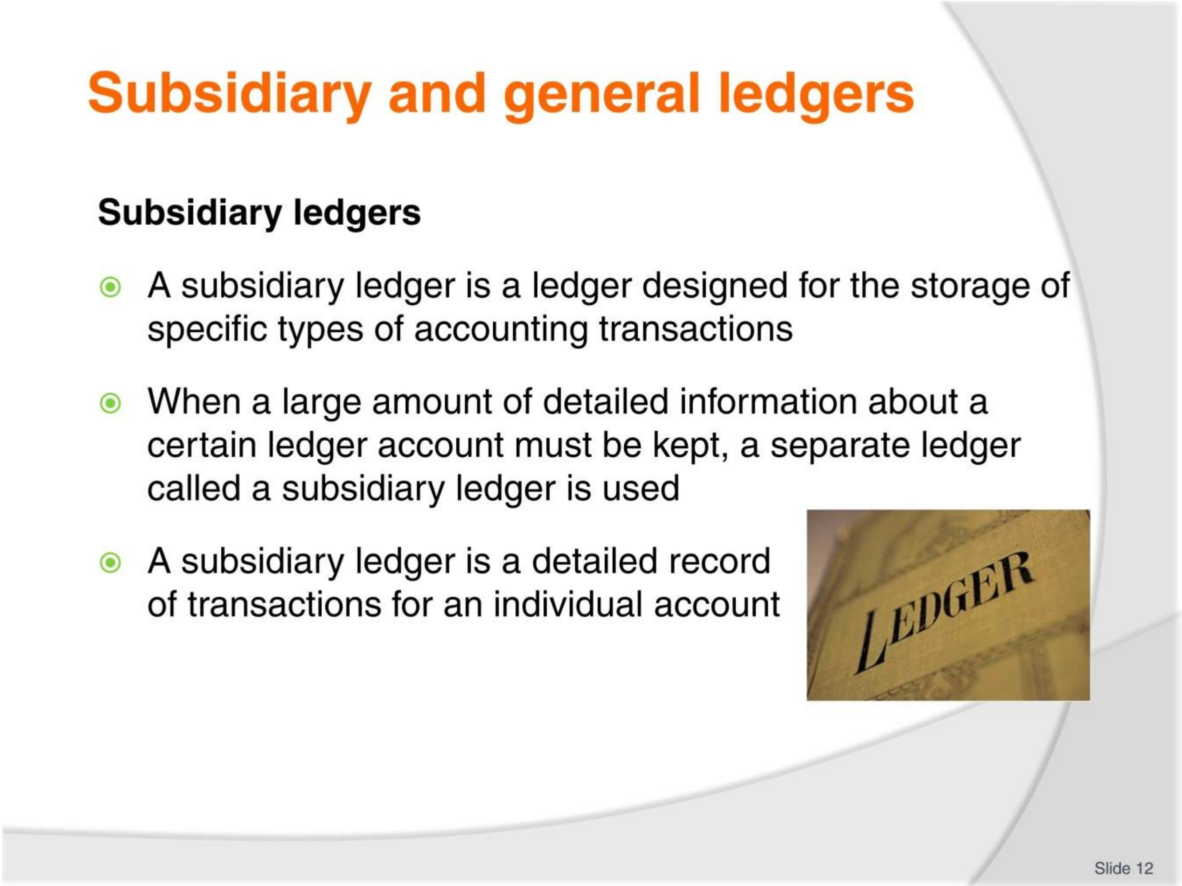
Slide No	Trainer Notes
10.	**Discussion** What are other items commonly found in a general journal?

Slide



Slide No	Trainer Notes
11.	**Discussion** What are other types of special journals found in a tourism business?

Slide



Slide No	Trainer Notes
12.	**Discussion** What are examples of subsidiary ledgers?

Slide

Subsidiary and general ledgers

Types of subsidiary ledgers

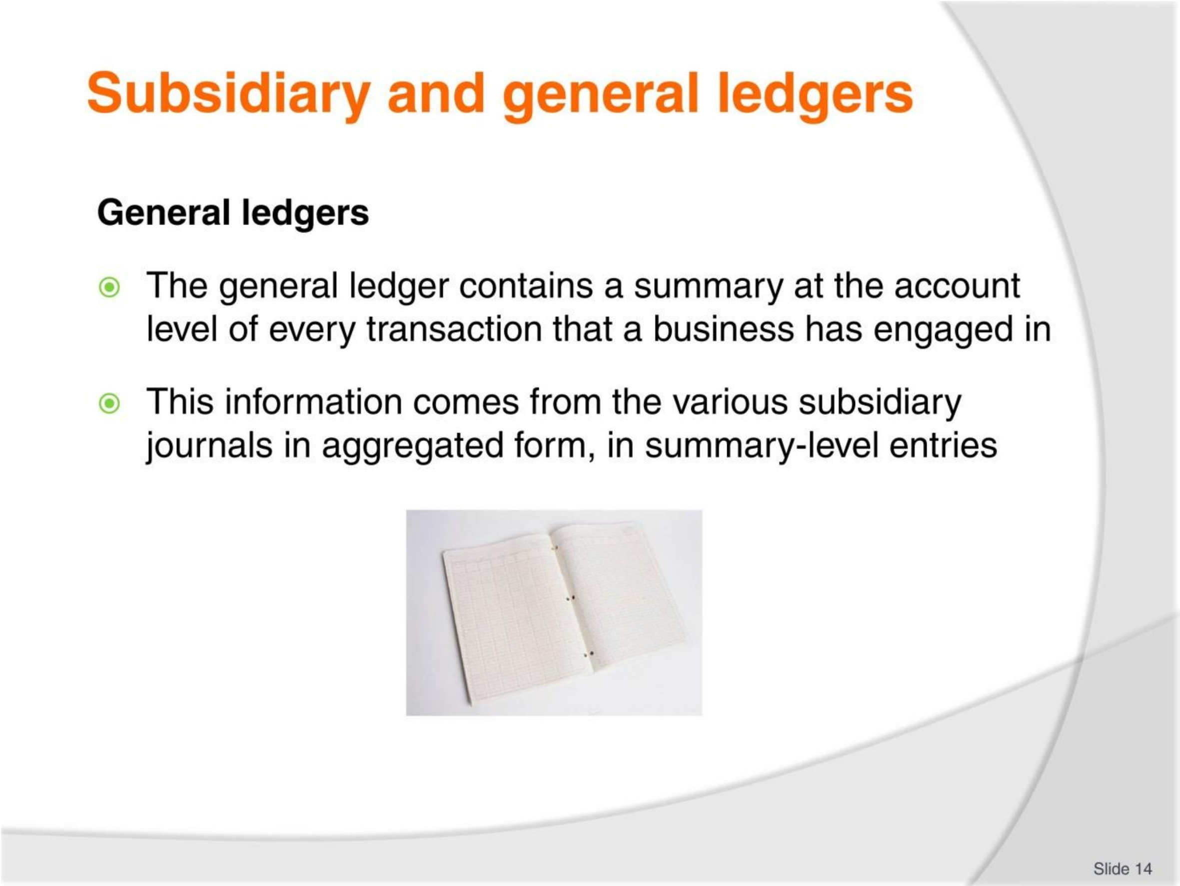
- Current Assets
- Fixed Assets
- Current Liabilities
- Long-term Liabilities
- Operating Revenues
- Cost of Goods Sold
- Sales & Marketing Expenses
- Finance Dept. Expenses

COMPLETE ACTIVITY 2

Slide 13

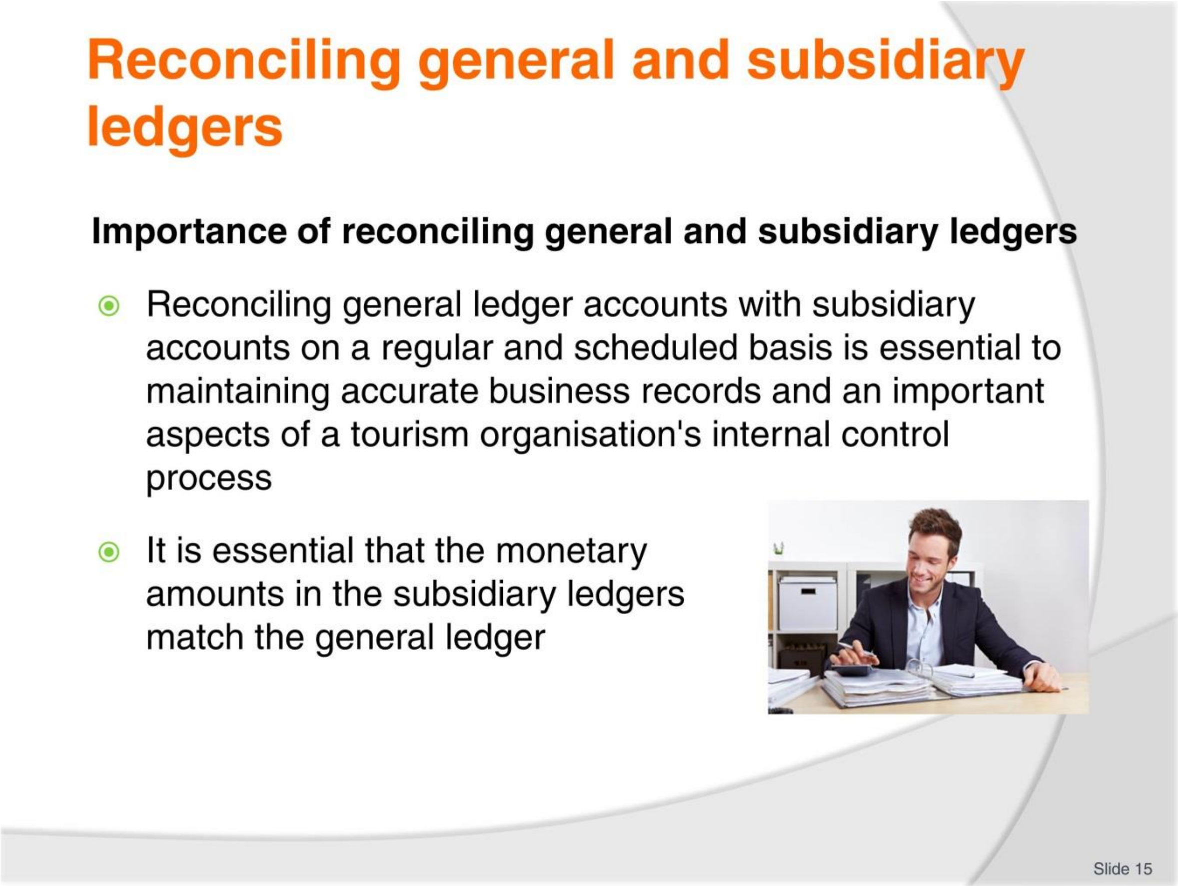
Slide No	Trainer Notes
13.	**Discussion & Complete Activity** What are examples of subsidiary ledgers under these categories?

Slide



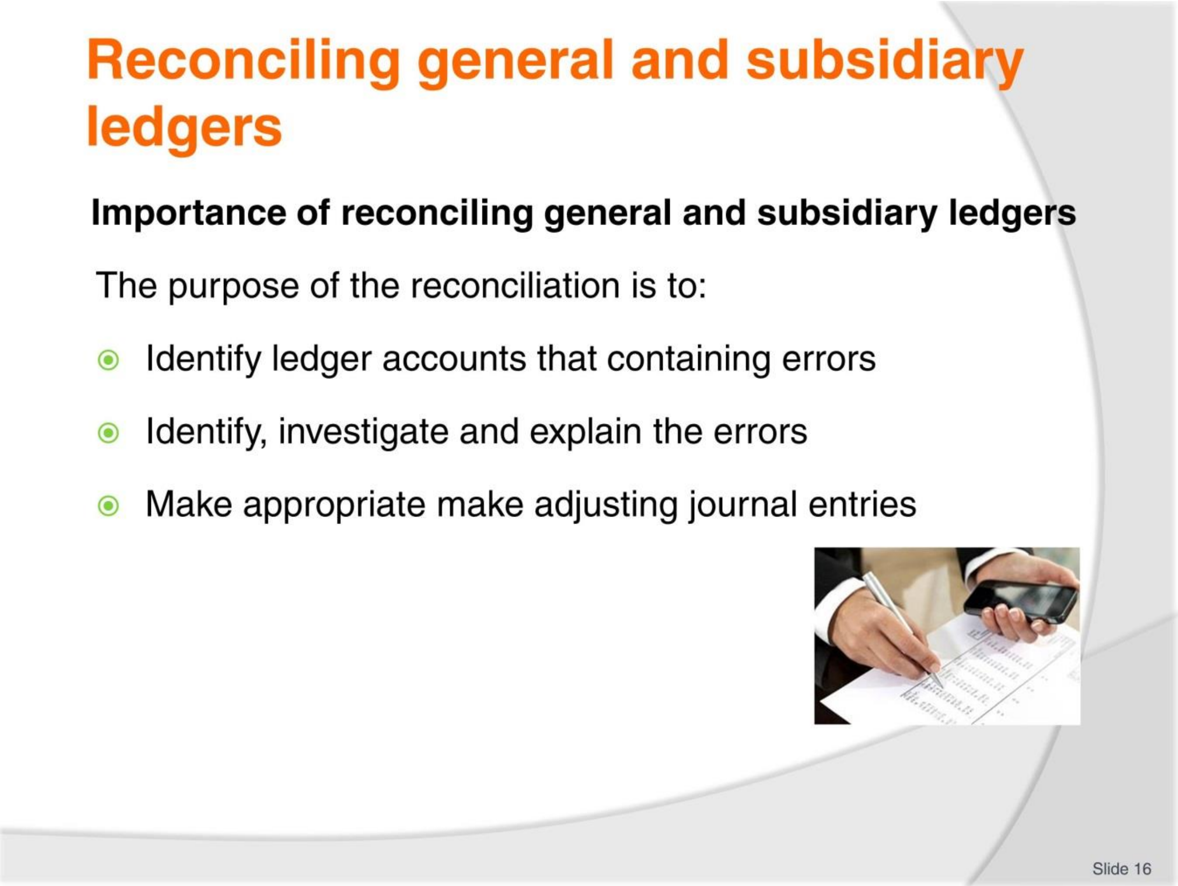
Slide No	Trainer Notes
14.	**Discussion** Why are general ledgers an important tool for managers?

Slide



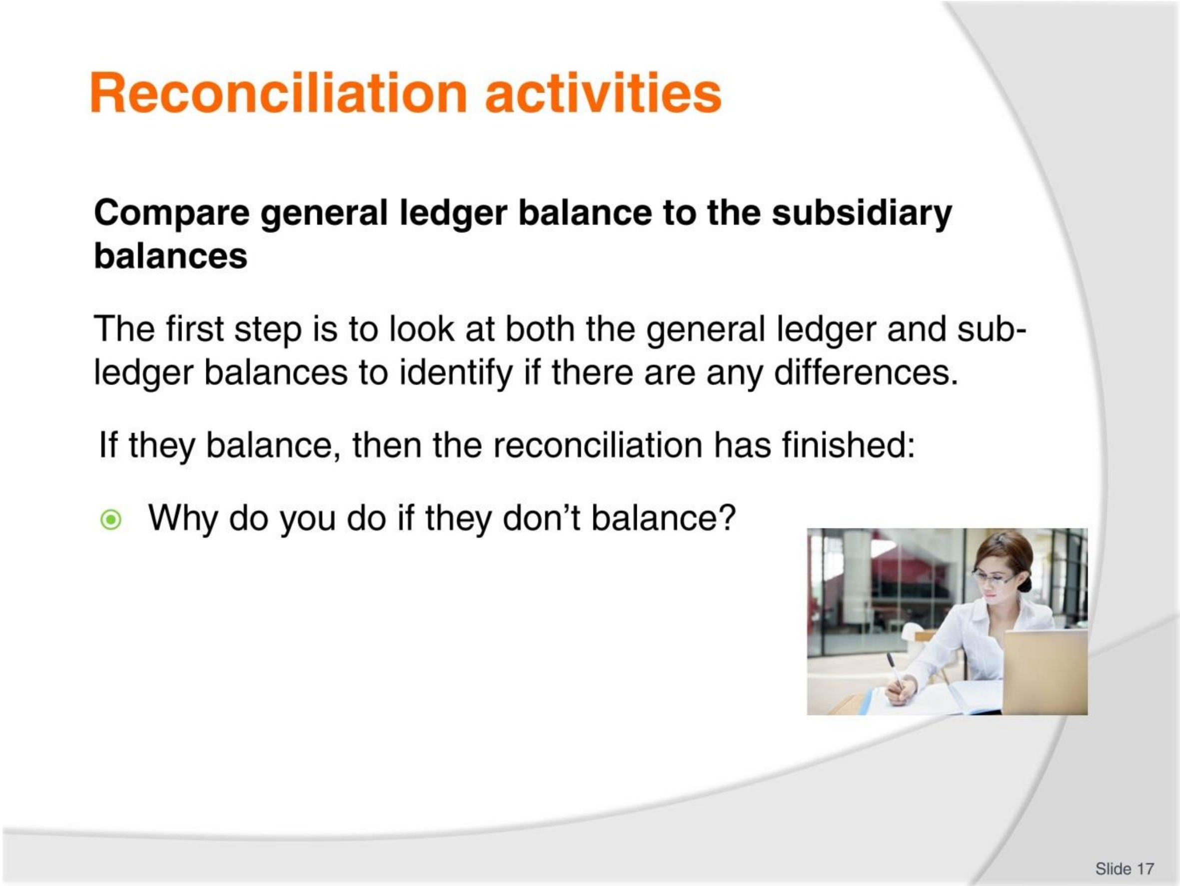
Slide No	Trainer Notes
15.	**Discussion** Why is it important that subsidiary and general ledgers balance?

Slide



Slide No	Trainer Notes
16.	**Discussion** Why are these points important?

Slide



Slide No	Trainer Notes
17.	**Discussion** Discuss the question in the slide.

Slide

Reconciliation activities

Identify differences

Where differences exist it is important to understand the reason for the difference.

Differences may result from a number of reasons including but not limited to:

- Unusual transactions
- Non-recurring transactions
- Amounts posted to the wrong account
- Transactions posted twice
- Transposition errors

Slide 18

Slide No	Trainer Notes
18.	**Discussion** What are other reasons for differences?

Slide

Slide No	Trainer Notes
19.	**Discussion** • Prove examples • How can you investigate?

Slide

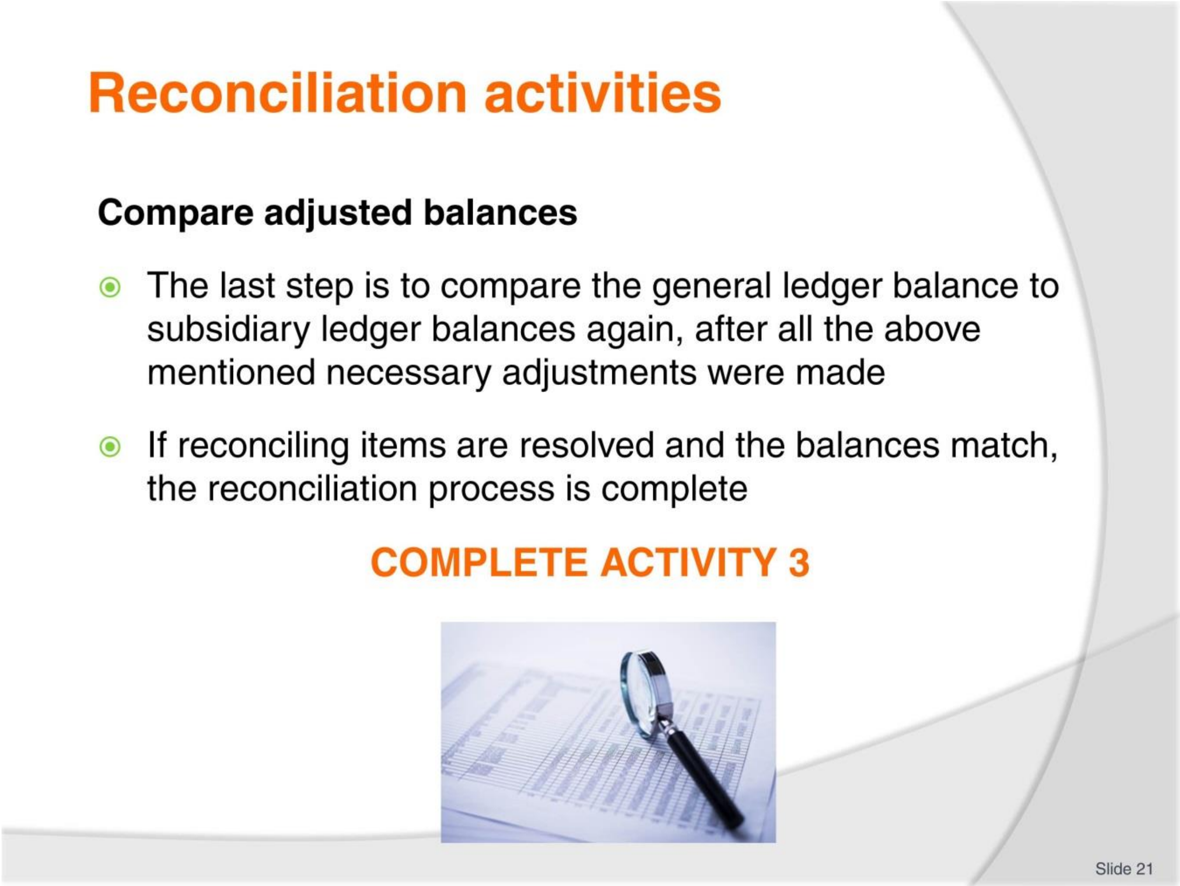
Reconciliation activities

Adjust general ledger or subsidiary ledgers

- The next step is to make essential adjustments to the general ledger or to subsidiary ledgers based on the reconciliation to rectify any errors or difference
- To complete the reconciliation process, any adjustments that need to be made to subsidiary ledgers are recorded in the general journal and processed before the trial balance is prepared

Slide 20

Slide No	Trainer Notes
20.	**Discussion** Why is this important?

Slide


Slide No	Trainer Notes
21.	**Discussion & Complete Activity** Why is this important?

Slide

Slide No	Trainer Notes
22.	**Discussion & Complete Activity** Discuss the question in the slide.

Slide

Resolve reconciliation discrepancies

Importance of resolving reconciliation discrepancies

- All discrepancies and outstanding items leading to an imbalance of general and subsidiary ledger amounts must be identified and investigated as soon as possible
- Not only do discrepancies mean that there are gaps in financial performance monitoring and reporting but more importantly can lead to great financial waste and loss

Slide 23

Slide No	Trainer Notes
23.	**Discussion** Why is this important?

Slide

Resolve reconciliation discrepancies

Activities associated with resolving outstanding accounts

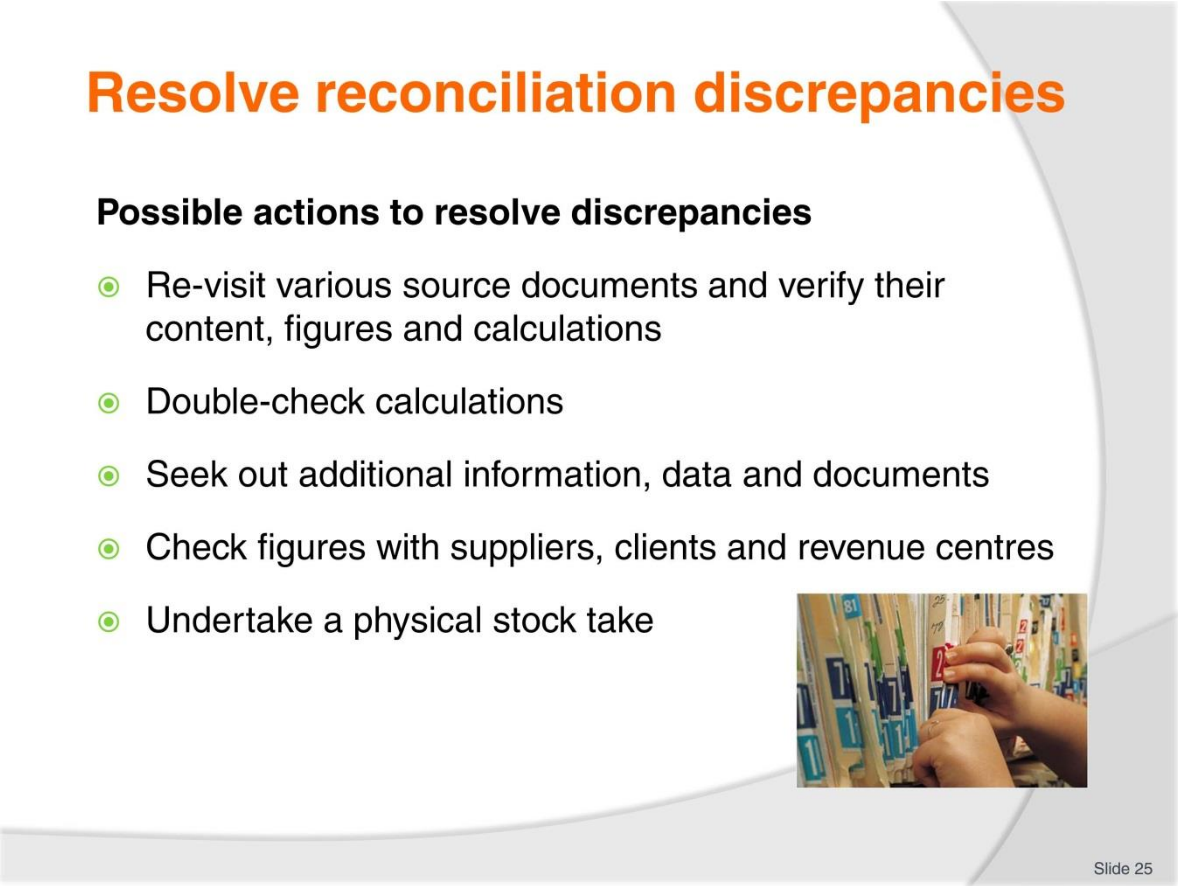
Resolve outstanding items will include:

- Understand common causes of discrepancies
- Seeking input from others in relation to information required to determine the issue
- Investigating source documents
- Undertaking investigations
- Making appropriate corrections to relevant accounts
- Ensuring the integrity of the system

Slide 24

Slide No	Trainer Notes
24.	**Discussion** Discuss tasks associated with these activities.

Slide

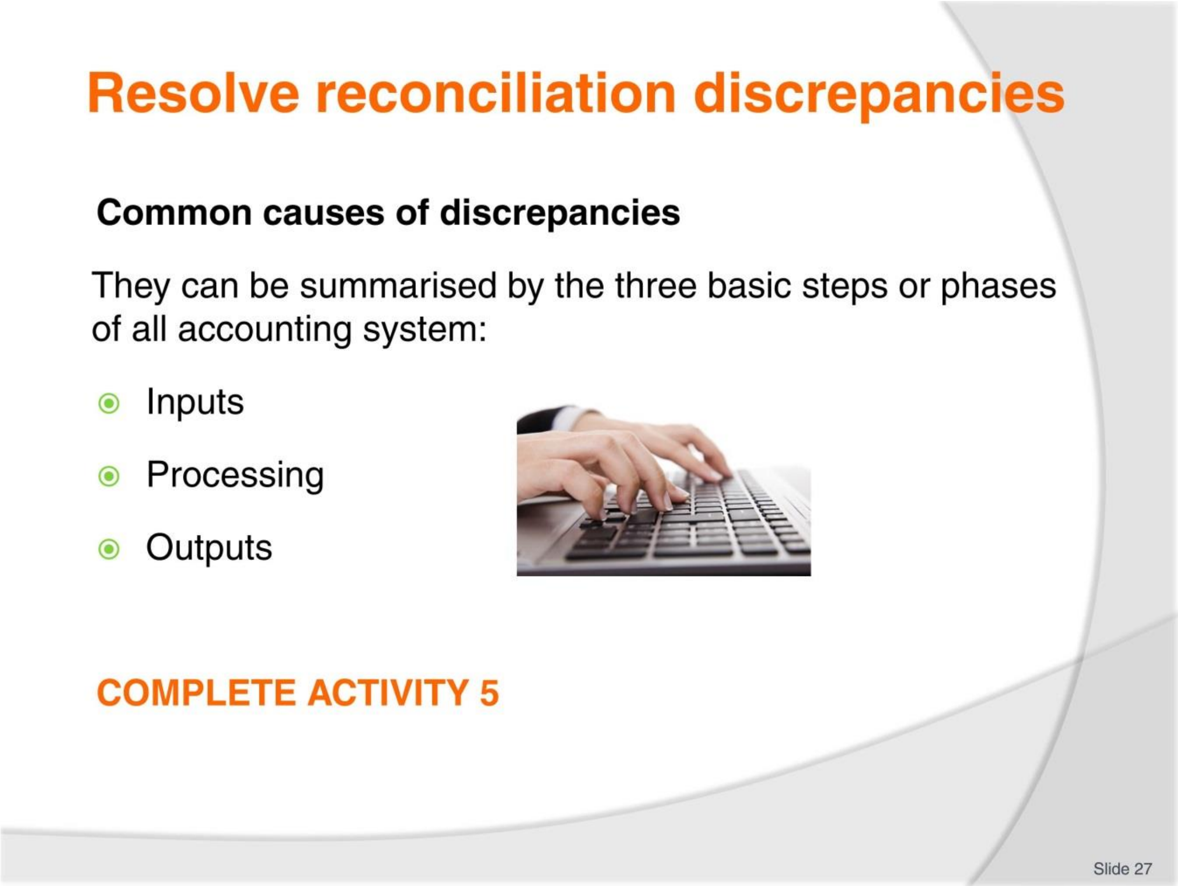


Slide No	Trainer Notes
25.	**Discussion** Discuss tasks associated with these activities.

Slide

Slide No	Trainer Notes
26.	**Discussion** Discuss tasks associated with these activities.

Slide

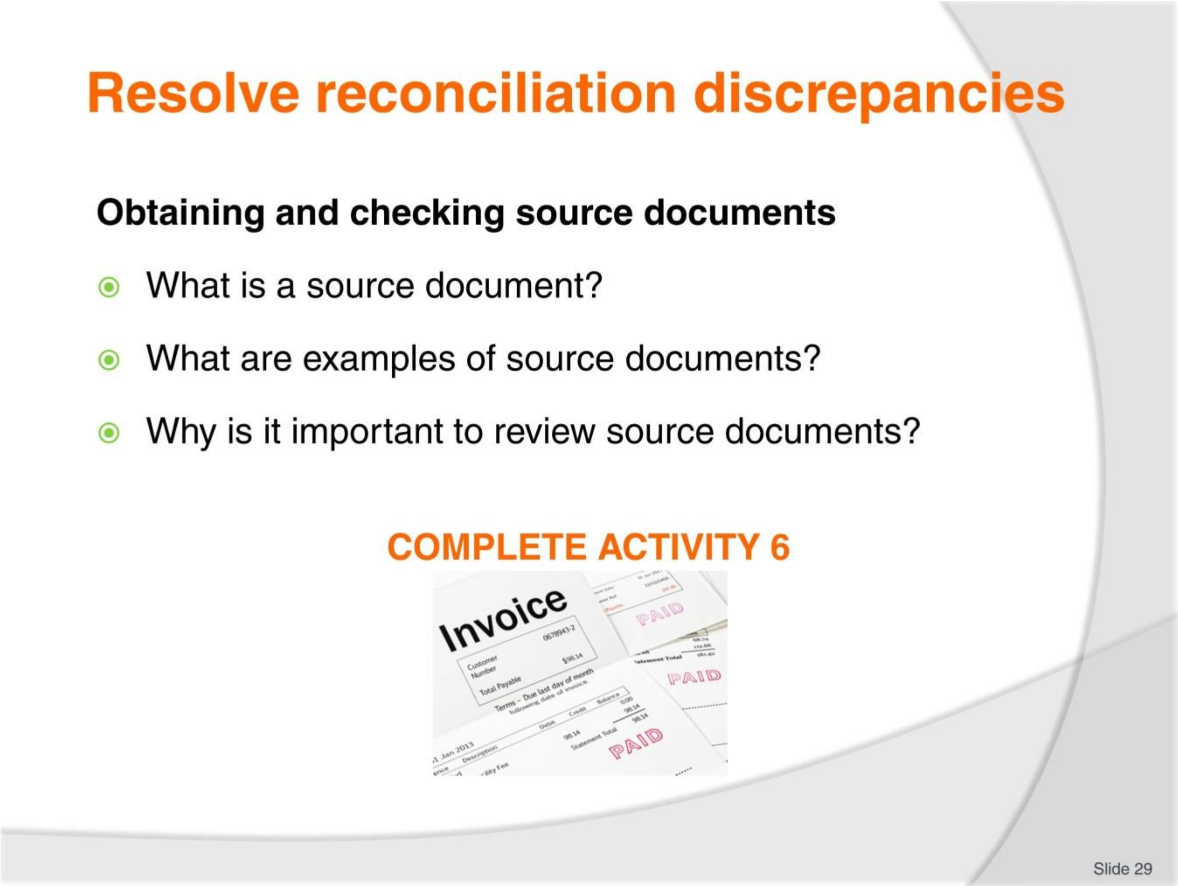


Slide No	Trainer Notes
27.	**Discussion & Complete Activity** What are examples of discrepancies in each of these phases?

Slide


Slide No	Trainer Notes
28.	**Discussion** Why is it important to first contact the person who was responsible for raising the source document / transaction?

Slide



Slide No	Trainer Notes
29.	**Discussion & Complete Activity** Discuss the questions in the slide.

Slide

Resolve reconciliation discrepancies

Checking irregularities with source documents

- Documents with the incorrect date
- Lack of required signatures or actual documentation for goods purchased
- An internal sale has been made but the customer has left before the charge can be processed
- Arithmetic errors
- Use of incorrect figures when calculating the document

Slide 30

Slide No	Trainer Notes
30.	**Discussion** How will these impact on ledger balances?

Slide

Resolve reconciliation discrepancies

Checking journal entries

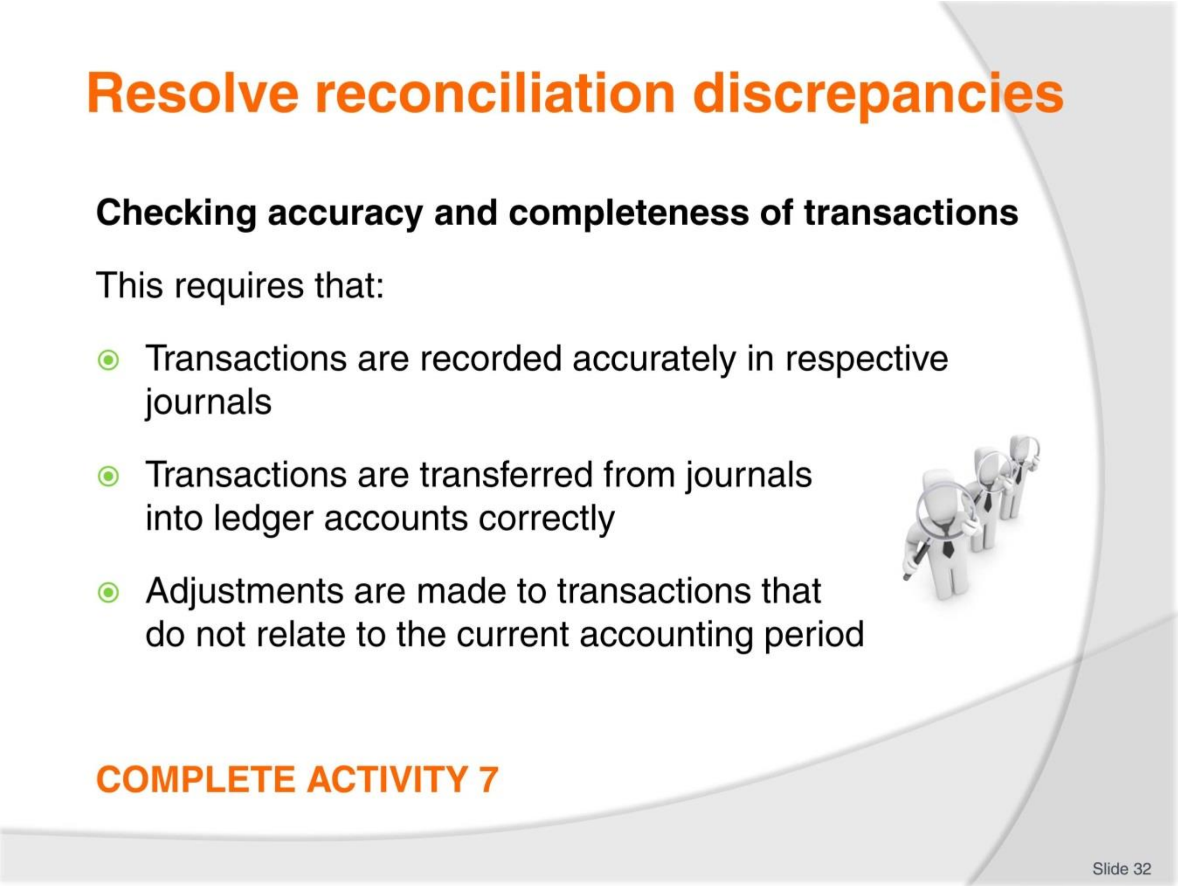
An understanding of the journals commonly used will assist in checking transactions are recorded correctly:

- Why is this important?
- What are you looking for?

Slide 31

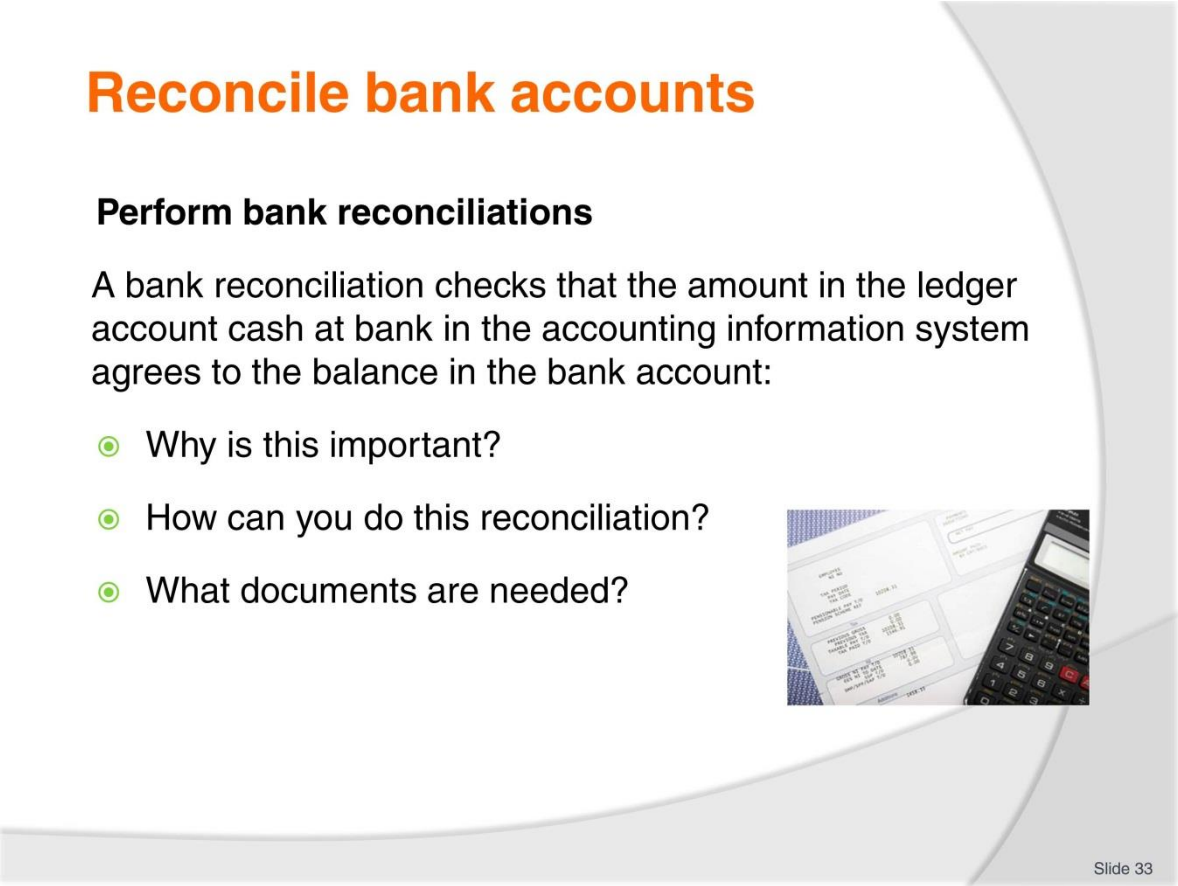
Slide No	Trainer Notes
31.	**Discussion** Discuss the questions in the slide.

Slide



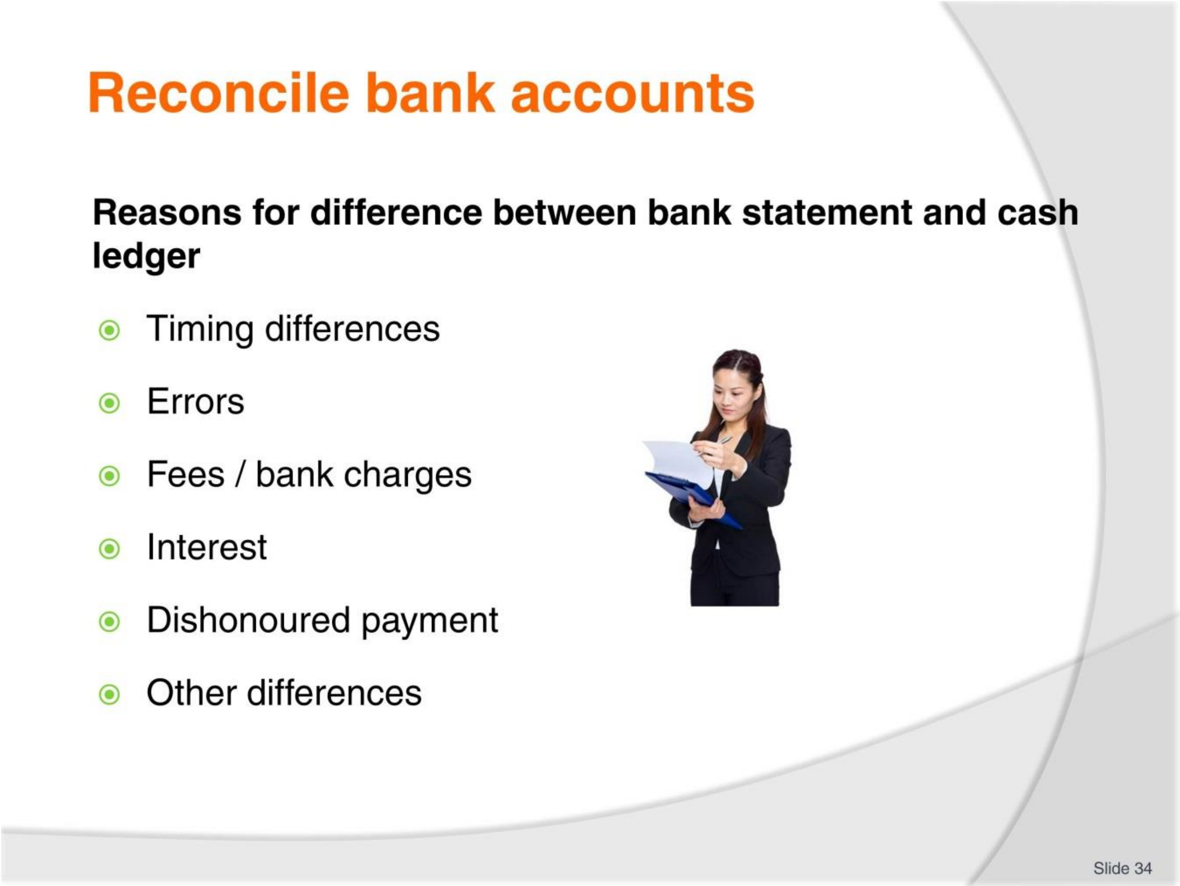
Slide No	Trainer Notes
32.	**Discussion & Complete Activity** How can you check the accuracy of special and general journals?

Slide



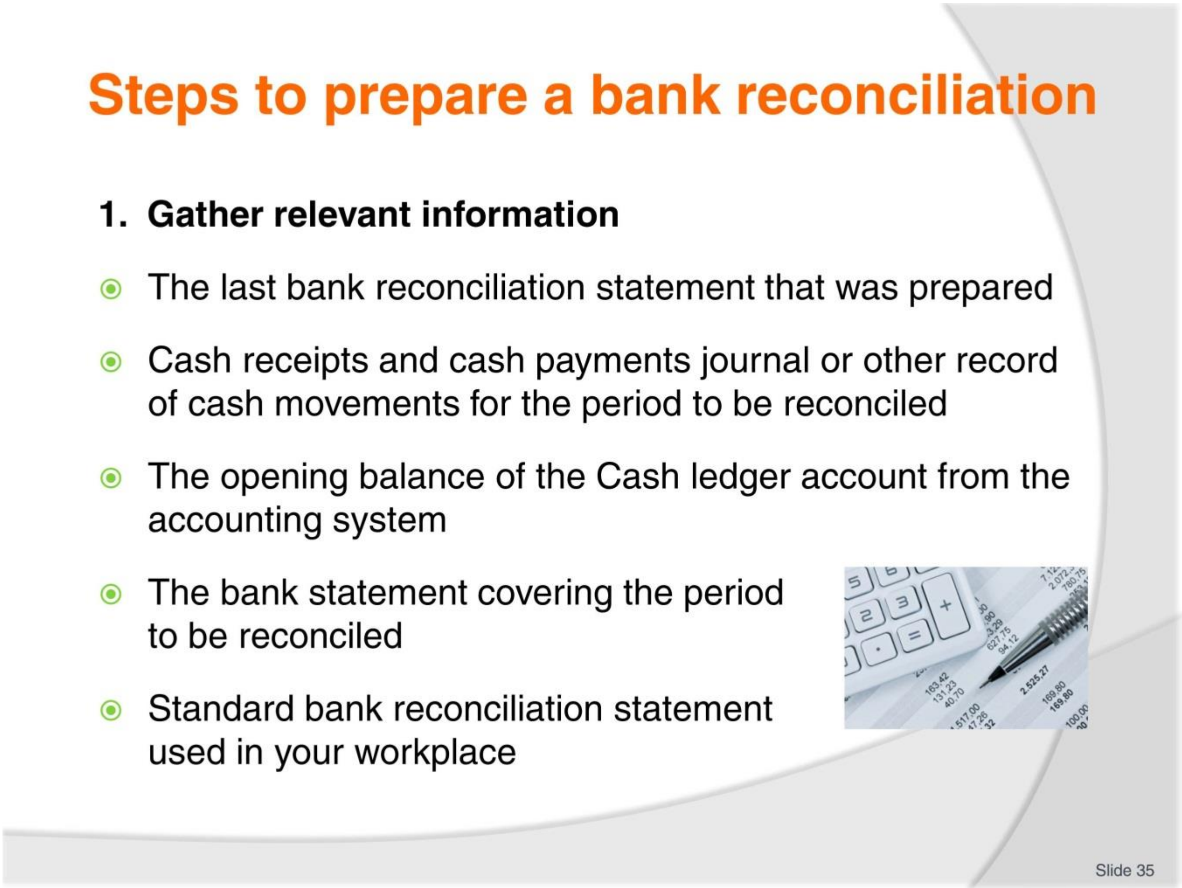
Slide No	Trainer Notes
33.	**Discussion** Discuss the questions in the slide.

Slide



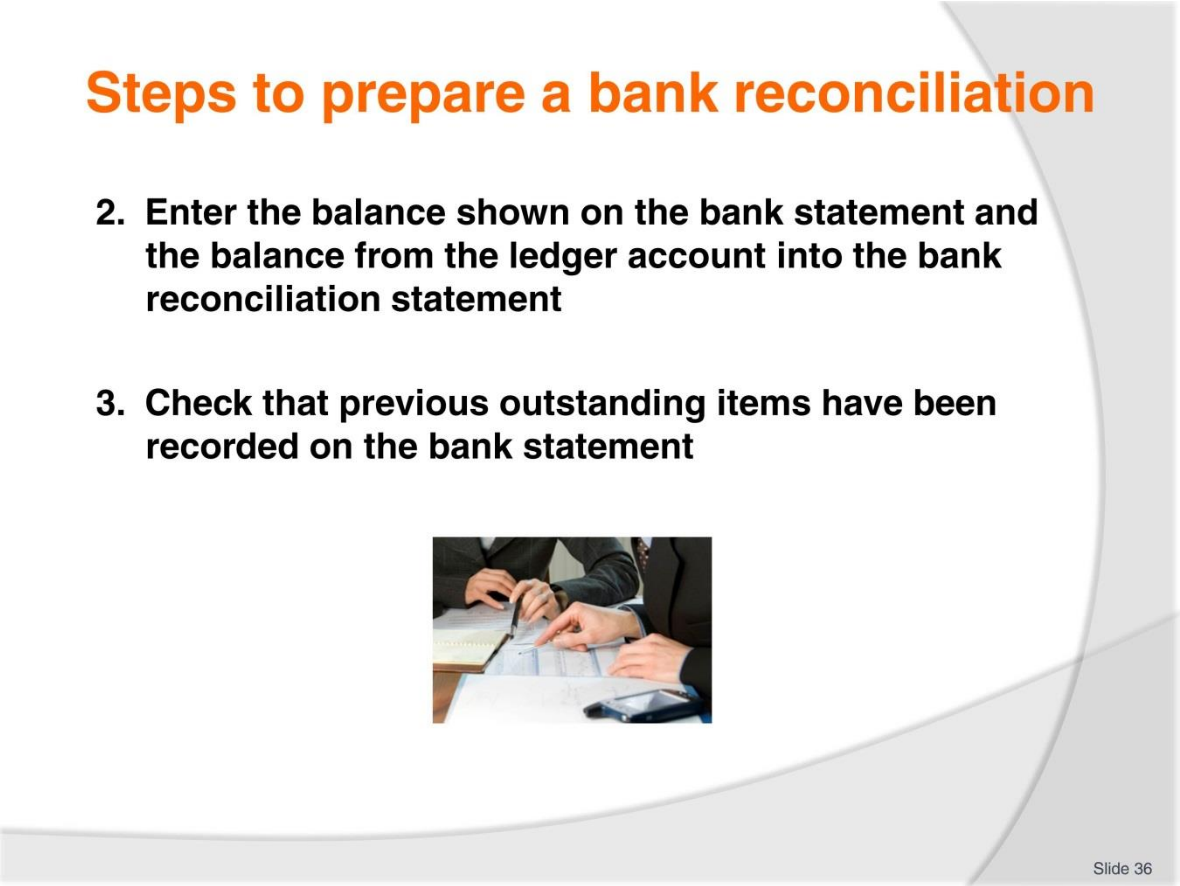
Slide No	Trainer Notes
34.	**Discussion** What are other reasons for differences?

Slide



Slide No	Trainer Notes
35.	**Discussion** Why are these documents important?

Slide



Slide No	Trainer Notes
36.	**Discussion** Discuss the importance of these steps.

Slide

Steps to prepare a bank reconciliation

4. Add to or subtract from the bank balance the items that are in the ledger account but not on the bank statement

This may include:

- Deposits not received by the bank yet
- Outstanding cheques
- Calculate the adjusted bank balance

Slide 37

Slide No	Trainer Notes
37.	**Discussion** Discuss the importance of these steps.

Slide

Steps to prepare a bank reconciliation

5. Adjust the ledger account for any items that are on the bank statement by recording the details in the general journal

These include:

- Cash receipts for direct deposits
- Cash payments made as electronic transfers
- Bank fees and charges

Slide 38

Slide No	Trainer Notes
38.	**Discussion** Discuss the importance of these steps.

Slide


Slide No	Trainer Notes
39.	**Discussion & Complete Activities** Discuss the importance of these steps.

Slide

Obtain authorisation to complete reconciliation

Obtaining authorisation or approval

Obtain authorisation or approval may include:

- Acquiring sign-off by appropriate personnel such as:
  - Accounting personnel
  - Business unit or departmental managers
- Adhering to organisational policies and procedures

COMPLETE ACTIVITY 11

Slide 40

Slide No	Trainer Notes
40.	**Discussion & Complete Activity** Discuss the need for this approval or authorisation.

Slide

Slide No	Trainer Notes
41.	Introduce topic. **Class Activity – General Discussion** Ask general questions: • What other systems are there influencing an accounting system? • Why must they be reconciled? • How can this be done?

Slide

Reconcile general ledger to related systems

Performance Criteria for this Element are:

- Process related systems entries
- Reconcile interfaces from related systems
- Verify related systems to maintain integrity of the accounting systems

Slide 42

Slide No	Trainer Notes
42.	Trainer identifies the Performance Criteria for this Element, as listed on the slide.

Slide

Process related systems entries

Reconcile systems

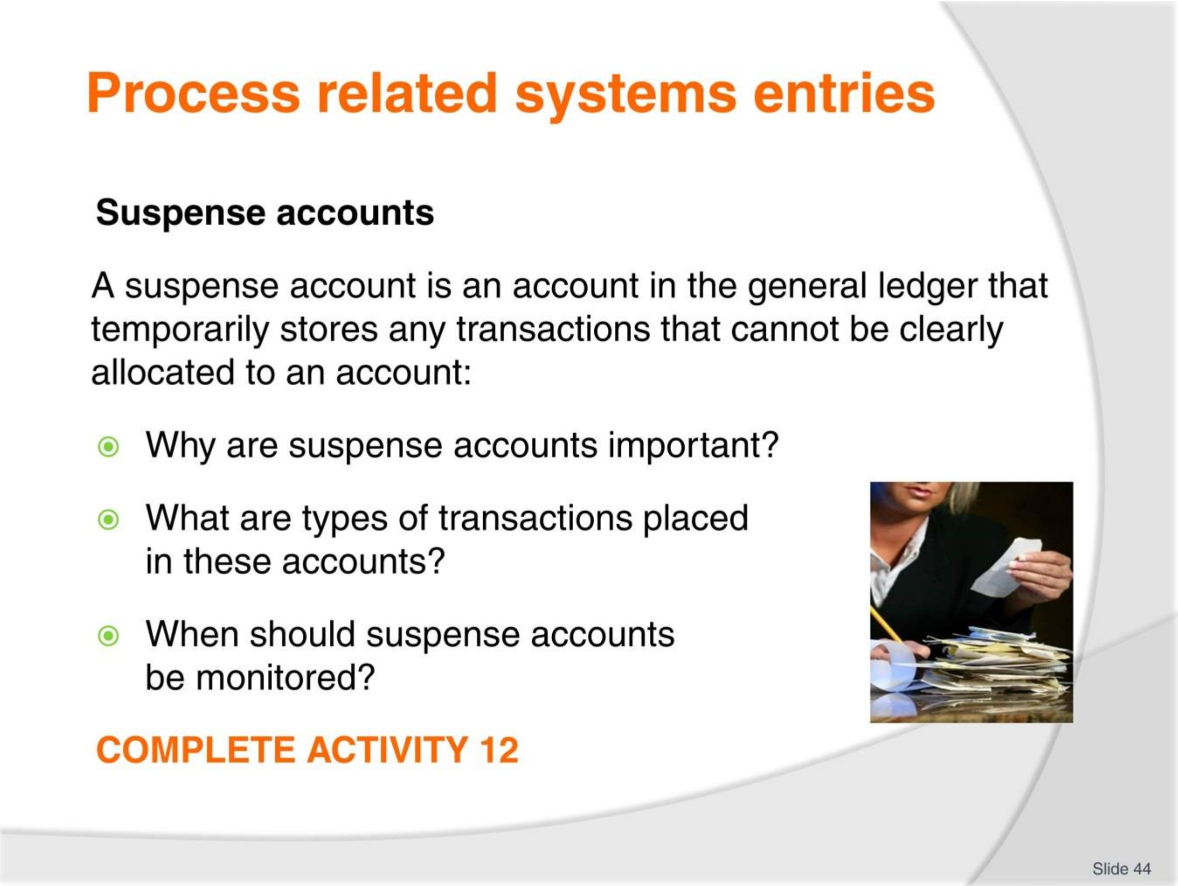
Now that general ledgers have been balanced with subsidiary ledgers, it is important that this information is processed to other financial systems that make up an accounting system:

- What are types of related systems?

Slide 43

Slide No	Trainer Notes
43.	**Discussion** Discuss the question in the slide.

Slide



Slide No	Trainer Notes
44.	**Discussion & Complete Activity** Discuss the questions in the slide.

Slide

Process related systems entries

Cost centre accounts

A cost centre is a part of an organisation that does not produce direct profit and adds to the cost of running a company:

- What are types of cost centres in a tourism organisation?

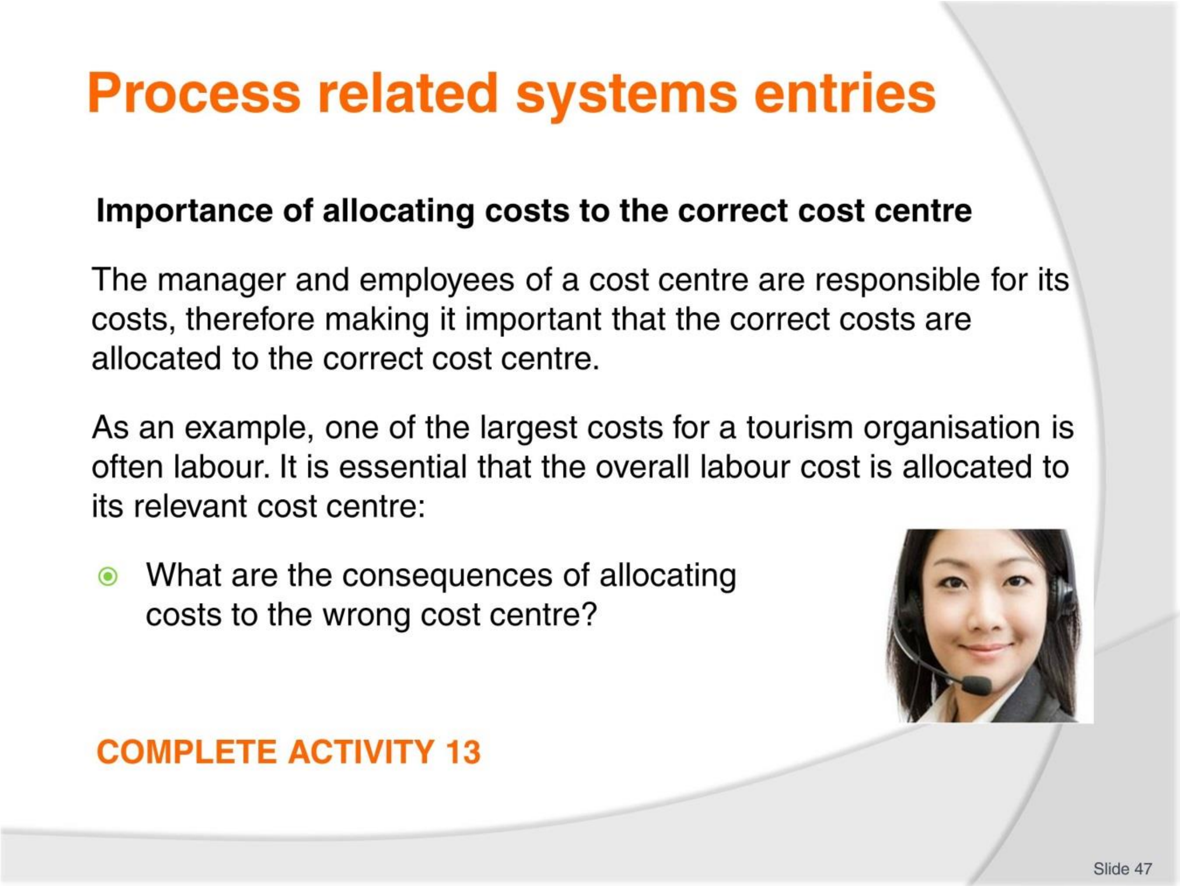
Slide 45

Slide No	Trainer Notes
45.	**Discussion** Discuss the question in the slide.

Slide


Slide No	Trainer Notes
46.	**Discussion** What are examples of costs for each of these cost centres?

Slide

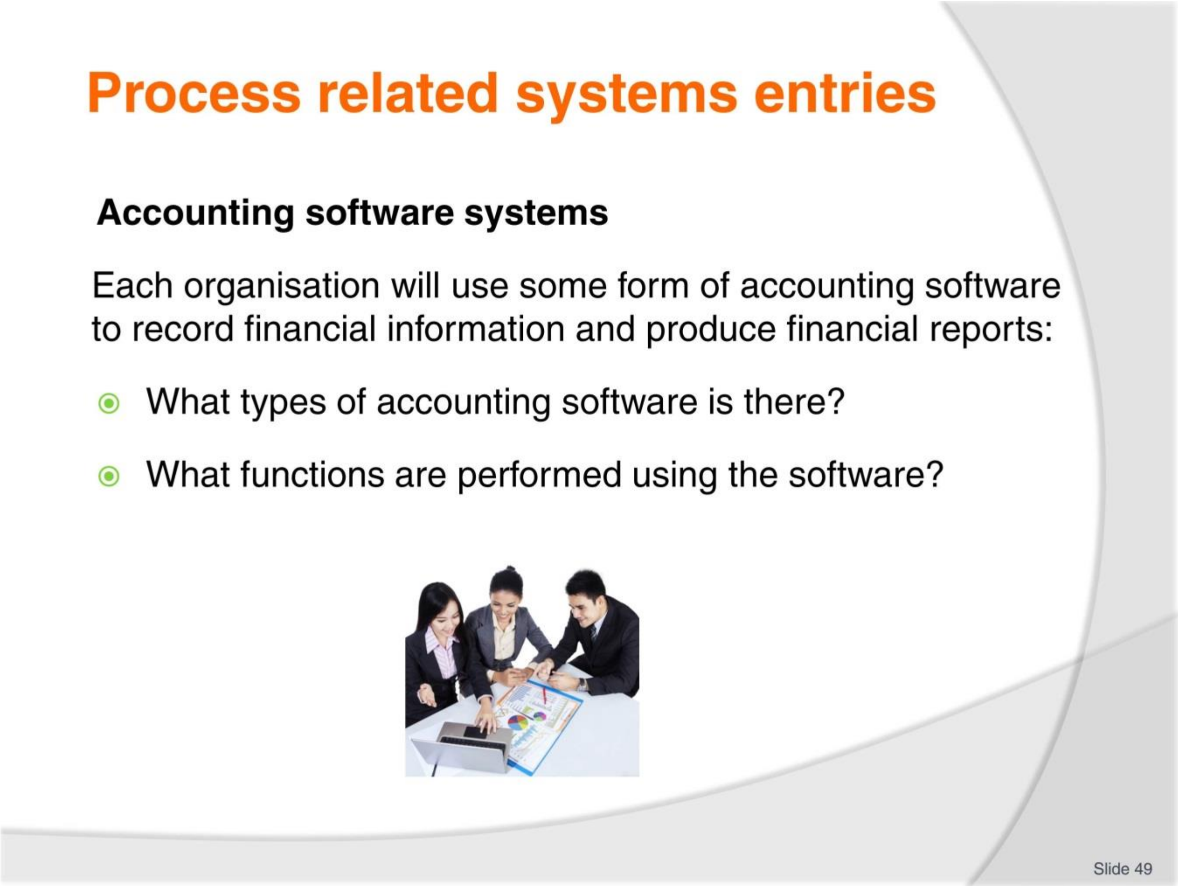


Slide No	Trainer Notes
47.	**Discussion & Complete Activity** Discuss the question in the slide.

Slide

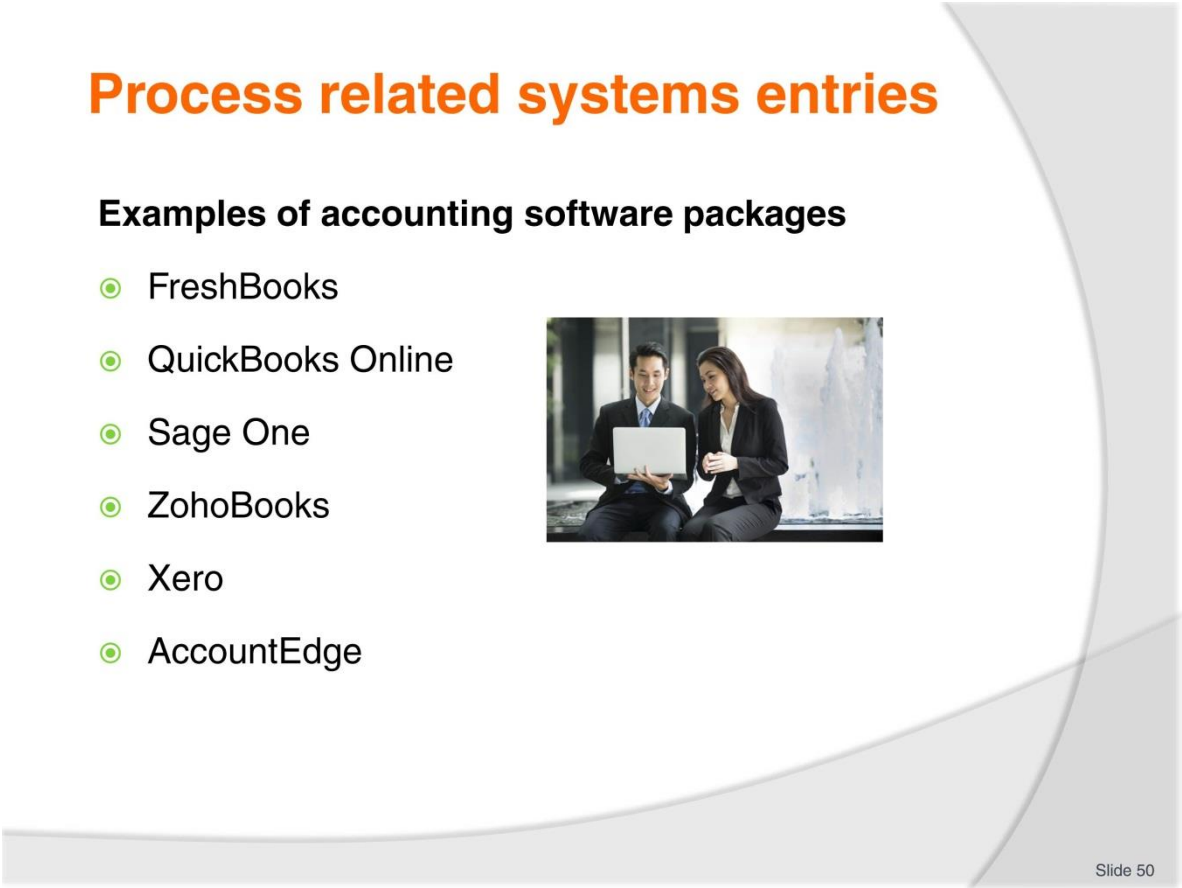
Slide No	Trainer Notes
48.	**Discussion** Discuss the questions in the slide.

Slide



Slide No	Trainer Notes
49.	**Discussion** Discuss the questions in the slide.

Slide



Slide No	Trainer Notes
50.	**Research accounting software packages** Conduct research into these accounting software packages.

Slide

Process related systems entries

Examples of accounting software packages

- Wave Accounting
- Less Accounting
- WorkingPoint
- Free Agent
- Yendo

COMPLETE ACTIVITY 14

Slide 51

Slide No	Trainer Notes
51.	**Research accounting software packages & Complete Activity** Conduct research into these accounting software packages.

Slide

Slide No	Trainer Notes
52.	**Discussion & Complete Activity** • What are examples of these systems? • What are they used for?

Slide

Reconcile interfaces

Reconcile interfaces from related systems

Not only is it important that transactions are reconciled between ledgers that they also reflect and reconcile with all other financial systems used by a tourism establishment:

- How can this reconciliation take place?

Slide 53

Slide No	Trainer Notes
53.	**Discussion** Discuss the question in the slide.

Slide

General ledger reconciliation

The reconciliation process

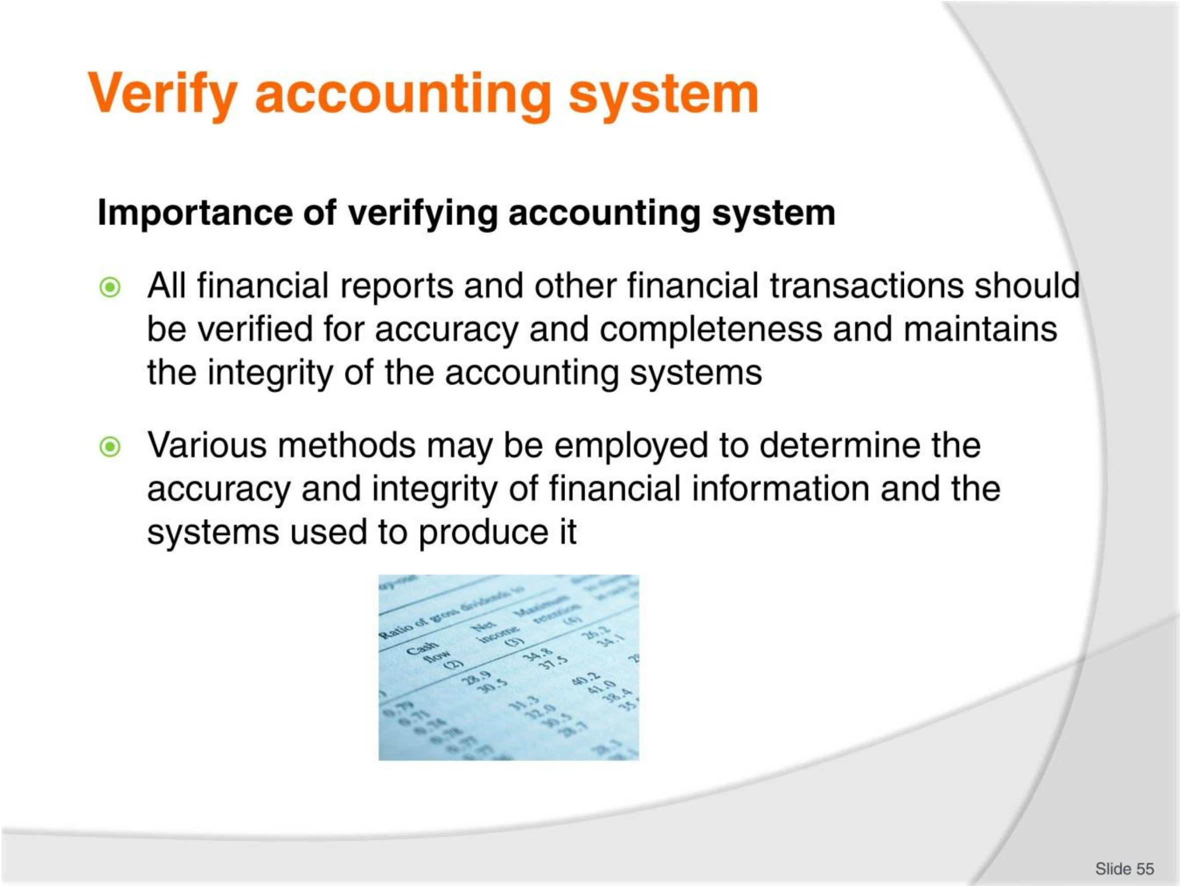
- Comparing the general ledger account balances with other independent systems, statements, and reports, to verify that the balances are correct and accurate
- Investigating any discrepancies that are identified
- Taking appropriate corrective actions to resolve these discrepancies

COMPLETE ACTIVITY 16

Slide 54

Slide No	Trainer Notes
54.	**Discussion & Complete Activity** Discuss these activities and tasks associated with them.

Slide

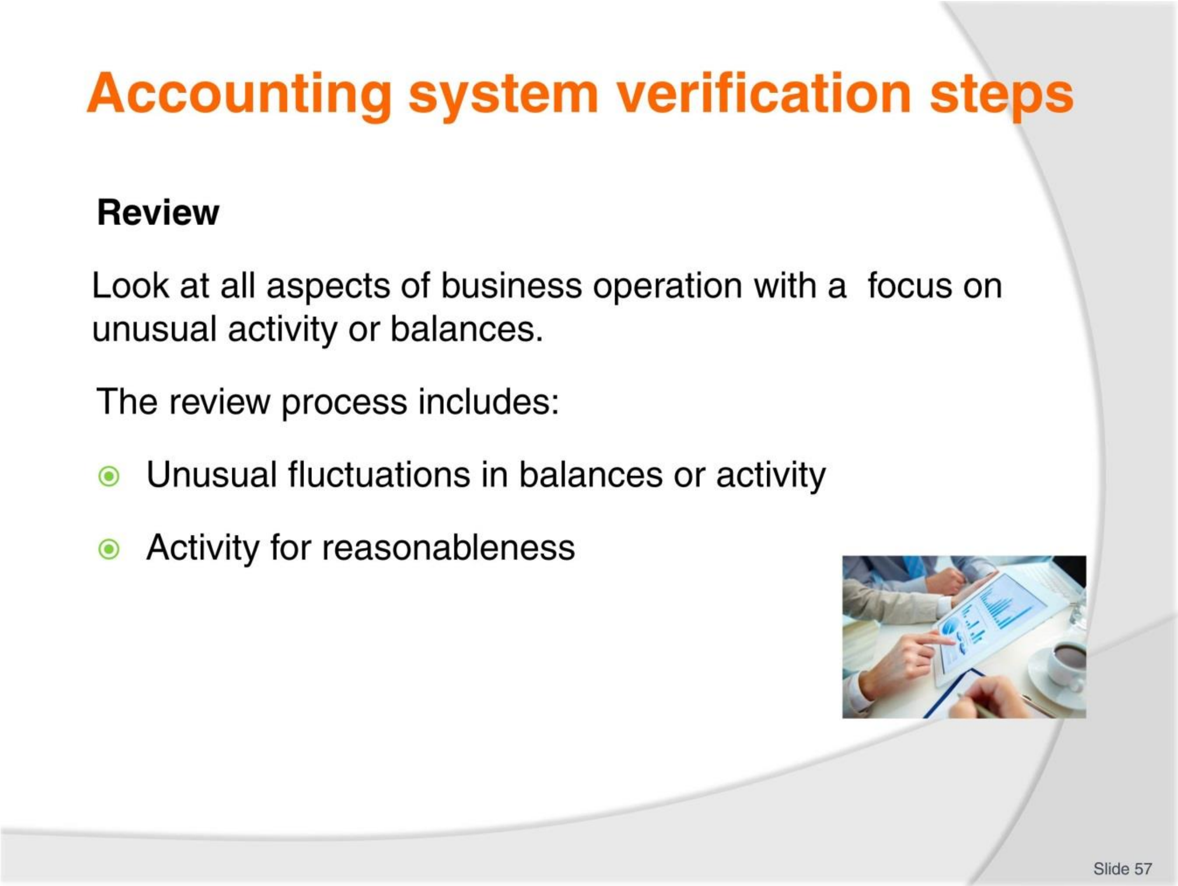


Slide No	Trainer Notes
55.	**Discussion** • Discuss its importance? • What methods can be used to verify the system?

Slide

Slide No	Trainer Notes
56.	**Discussion** Summarise activities associated with this verification step.

Slide



Slide No	Trainer Notes
57.	**Discussion** Summarise activities associated with this verification step.

Slide

Accounting system verification steps

Comparison

- Compare beginning balances for current period to ending balances from prior period
- Compare budgeted revenue and expenditures with actual activity for the period
- Compare current period activity with prior period activity
- Compare current year activity and balances with same-period last year

Slide 58

Slide No	Trainer Notes
58.	**Discussion** Summarise activities associated with this verification step.

Slide

Accounting system verification steps

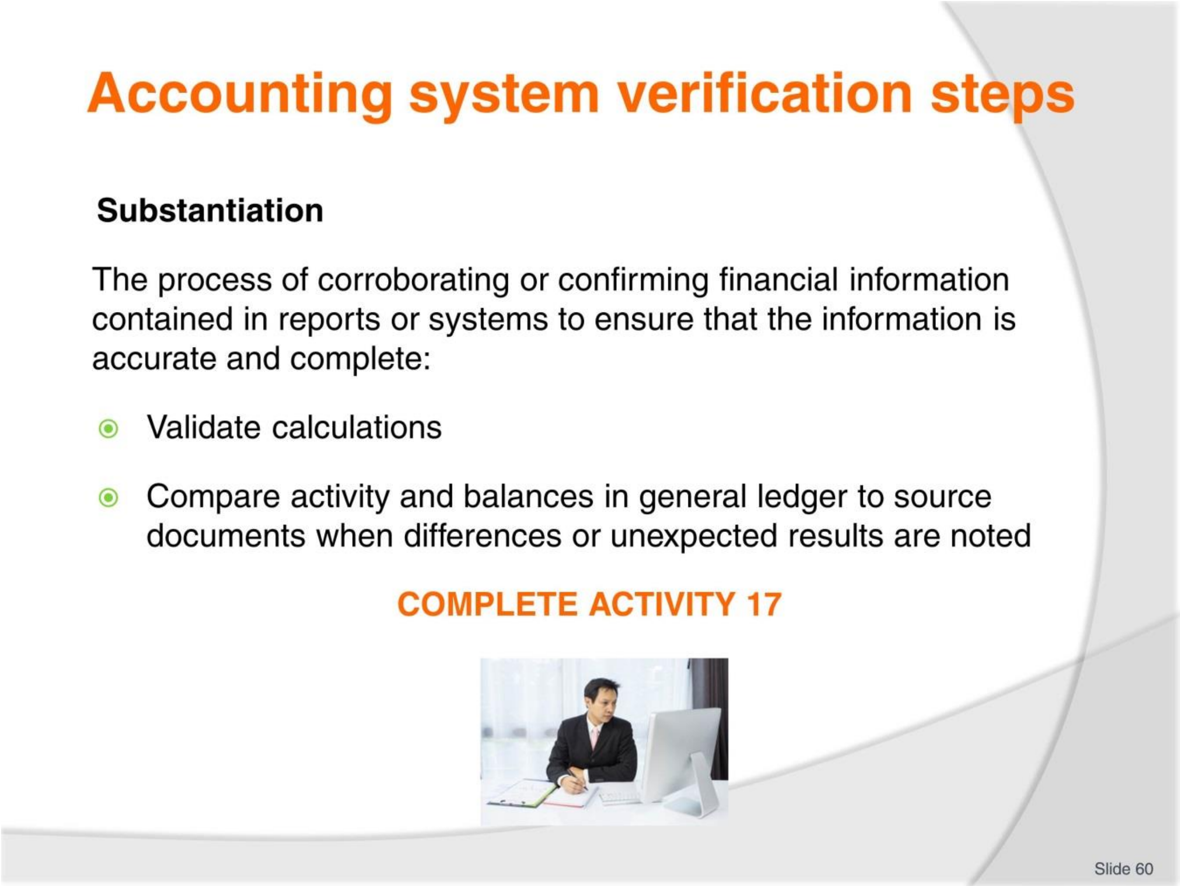
Analysis

This process involves evaluating and interpreting financial information:

- Compute variances
- Perform trend analysis
- Monitor key ratios
- Collecting statistical data
- Investigate unusual and significant variances to budget or prior periods

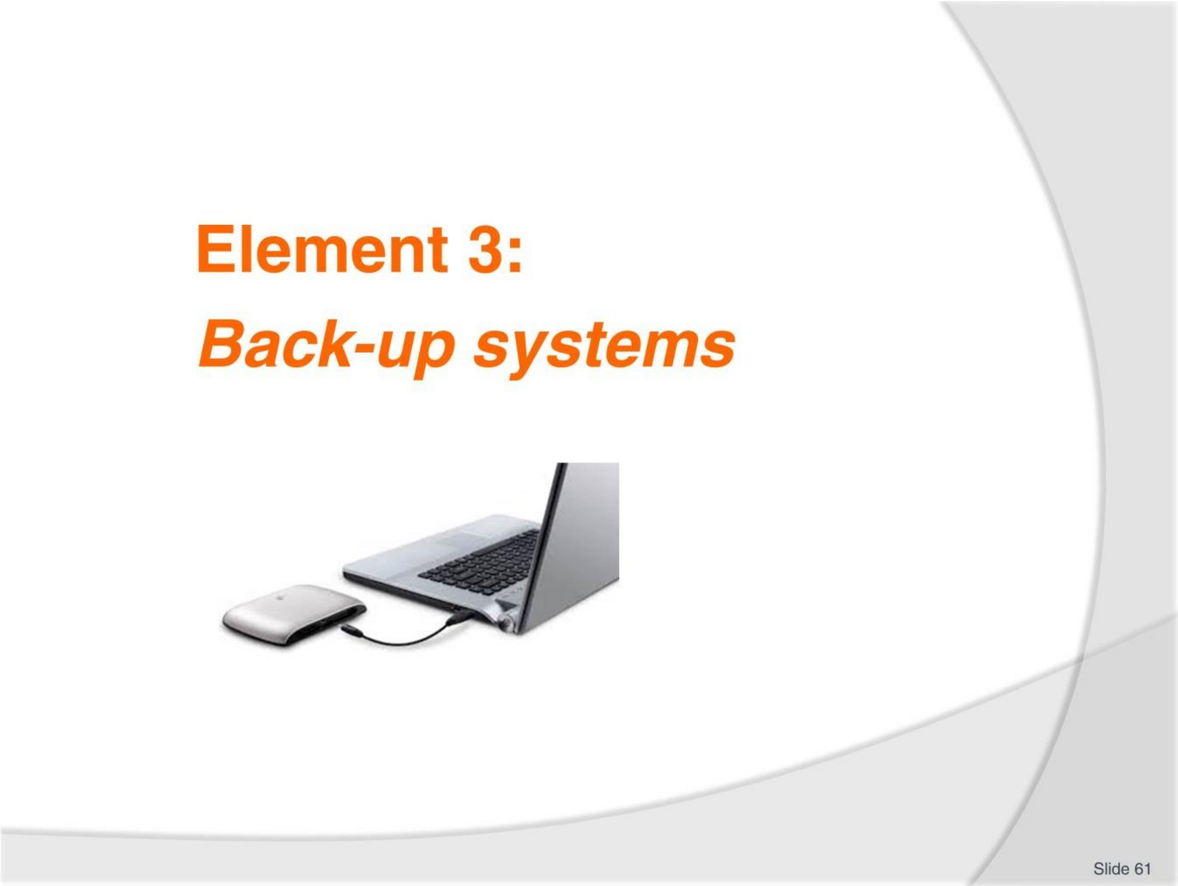
Slide 59

Slide No	Trainer Notes
59.	**Discussion** Summarise activities associated with this verification step.

Slide


Slide No	Trainer Notes
60.	**Discussion & Complete Activity** Summarise activities associated with this verification step.

Slide



Slide No	Trainer Notes
61.	Introduce topic. **Class Activity – General Discussion** Ask general questions: What is the importance of backing up financial data?

Slide

Back-up systems

Performance Criteria for this Element are:

- Follow system back-up schedules precisely
- Verify back-ups

Slide 62

Slide No	Trainer Notes
62.	Trainer identifies the Performance Criteria for this Element, as listed on the slide.

Slide

Back-up financial data

Importance of backing up financial data

Like with any piece of business information, it is essential that financial information is backed up in a manner that is secure yet easily retrievable.

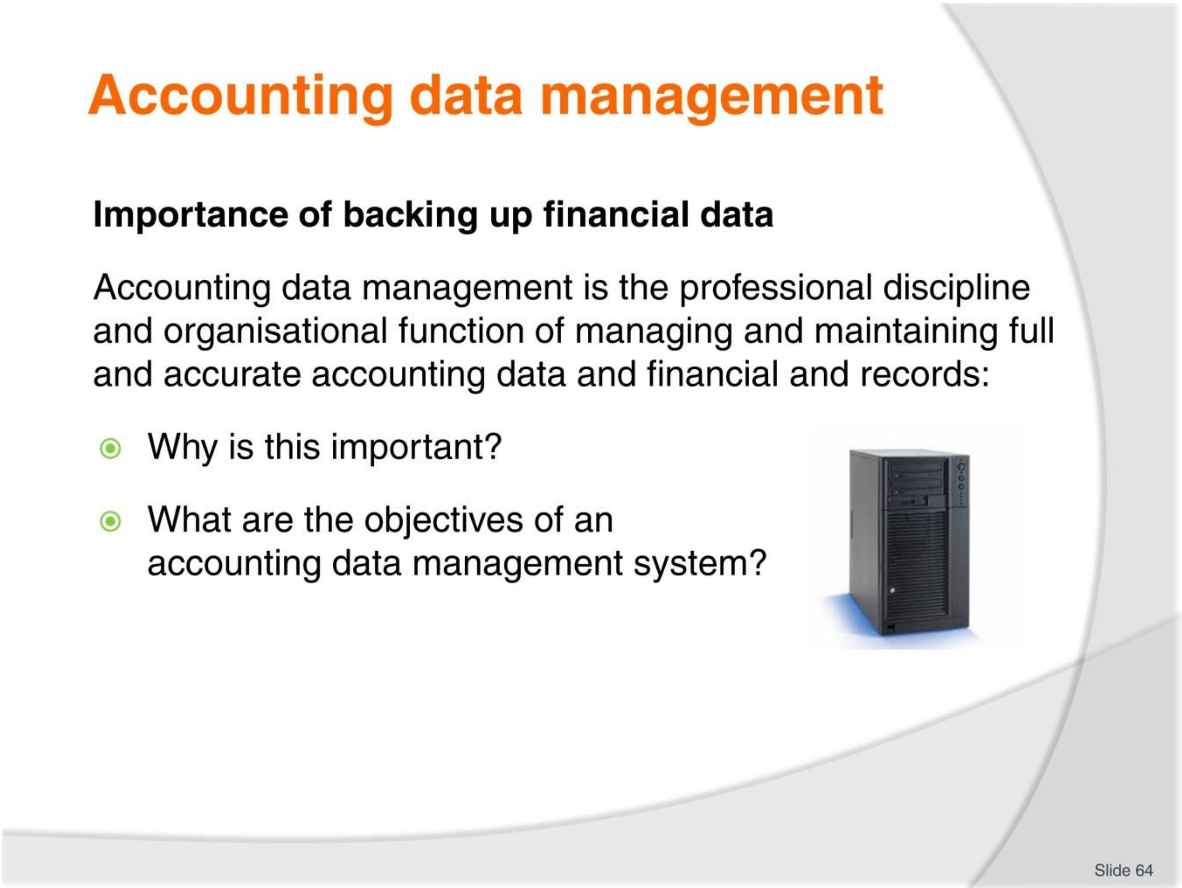
In many cases, the loss of data may be detrimental to an organisation:

- How can you do it?
- How often should it be done?

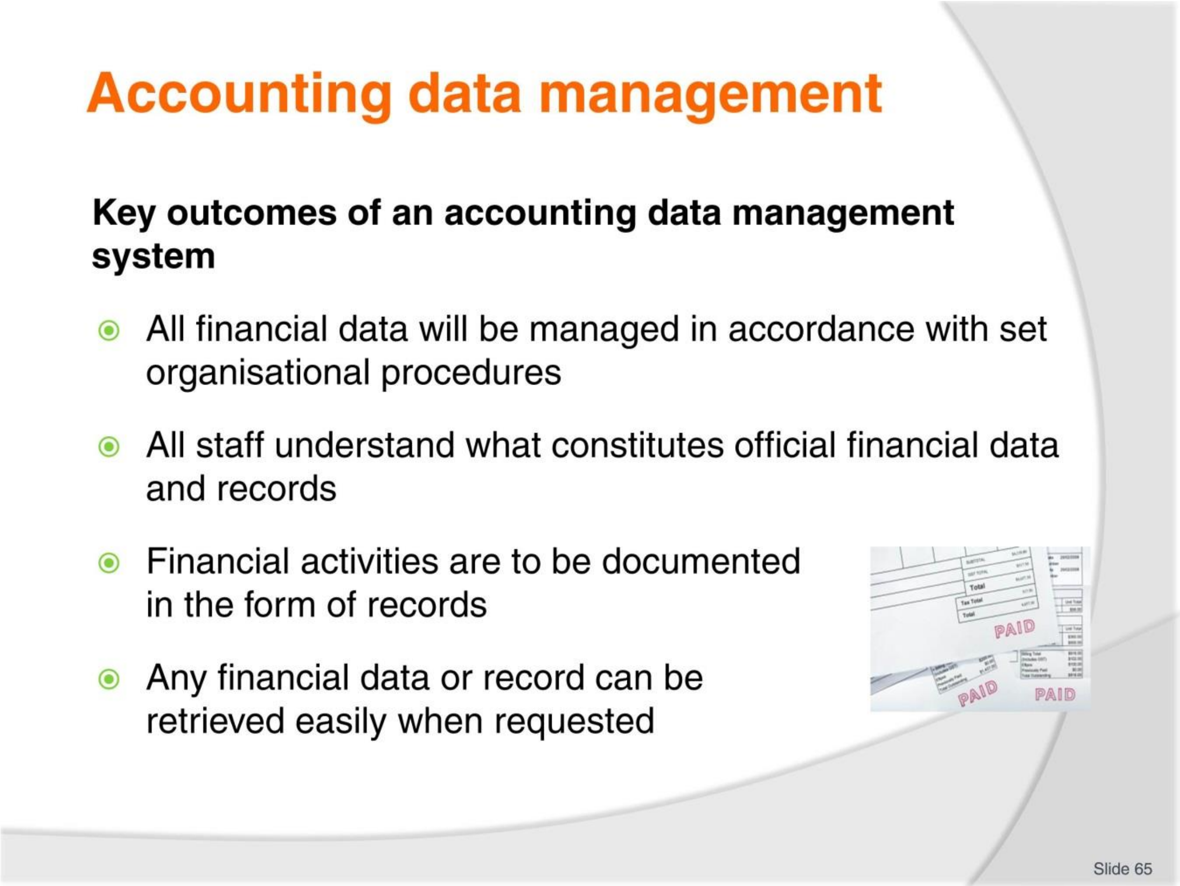
Slide 63

Slide No	Trainer Notes
63.	**Discussion** Discuss the questions in the slide.

Slide



Slide No	Trainer Notes
64.	**Discussion** Discuss the questions in the slide.

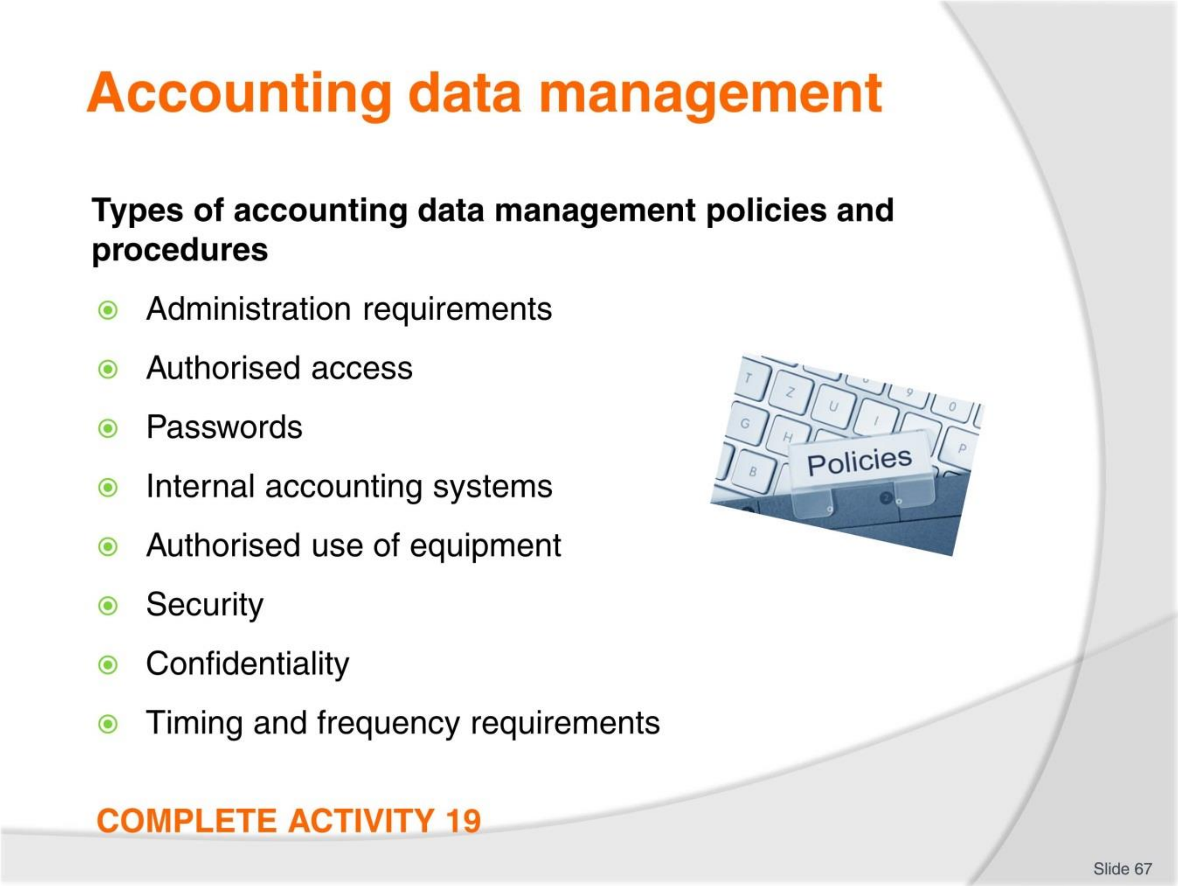
Slide


Slide No	Trainer Notes
65.	**Discussion** • Discuss the importance of these outcomes • How can they be achieved?

Slide

Slide No	Trainer Notes
66.	**Discussion & Complete Activity** • Discuss the importance of these outcomes • How can they be achieved?

Slide



Slide No	Trainer Notes
67.	**Discussion & Complete Activity** • Discuss the importance of these policies and procedures • How can they be achieved?

Slide

Storing and back-up of financial information

Considerations when selecting an accounting storage and back-up systems

Selection factors include:

- Amount of accounting data to backed up
- Cost
- Accessibility
- Ease of performing regular backups

Slide 68

Slide No	Trainer Notes
68.	**Discussion** What are other selection factors?

Slide

Storing financial information

Storing accounting data

It takes lots of time, money and effort to enter accounting data and that information must be safeguarded:

- Why is storage important?
- How can you store financial information?

Slide 69

Slide No	Trainer Notes
69.	**Discussion** What are other selection factors?

Slide

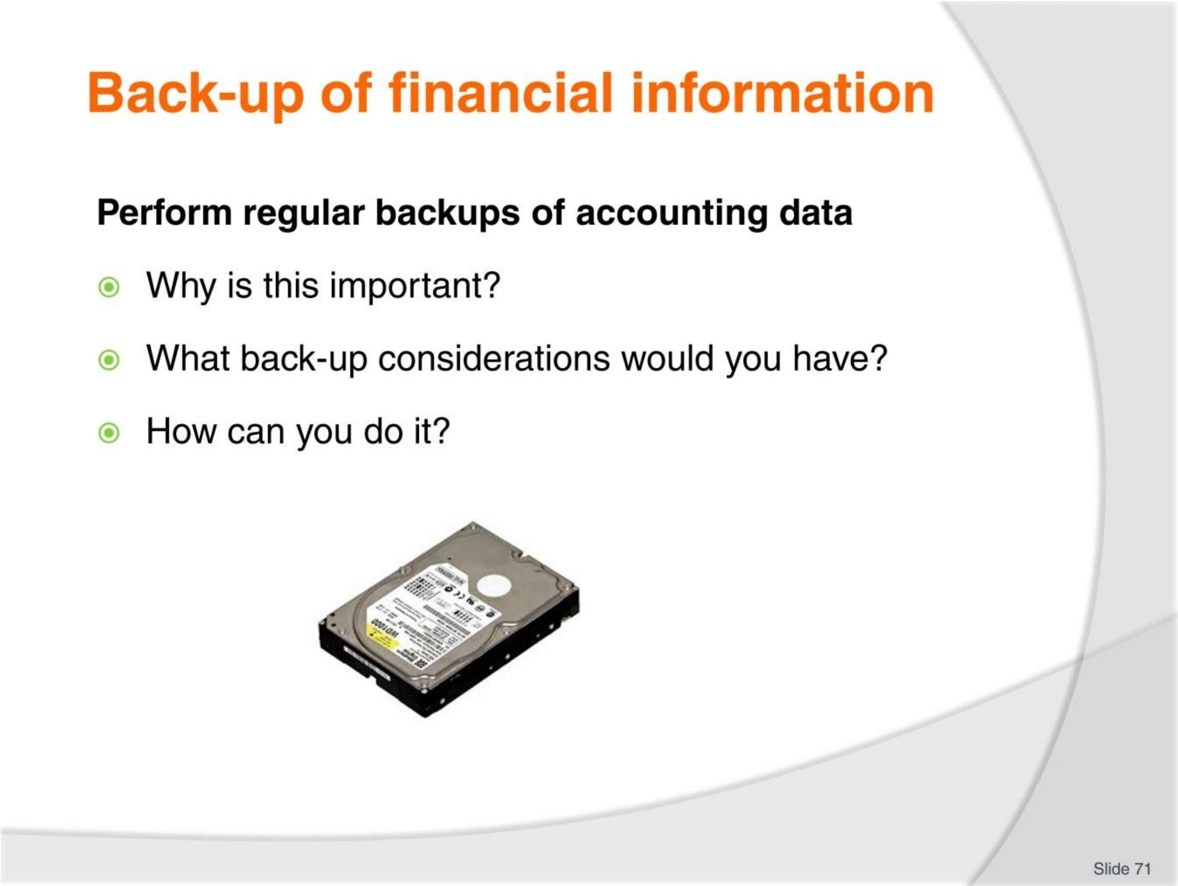
Storing financial information

Methods to store accounting data

- Storage in accounting software
- Filing of source and paper-based financial information
- Storage in directories and sub-directories
- Storage on hard drives
- Storage on networked computers
- Appropriate filing and storage of hard copies of computer-generated documents

Slide 70

Slide No	Trainer Notes
70.	**Discussion** • Discuss when each of these methods would be used • What are the advantages and disadvantages of each of these methods?

Slide


Slide No	Trainer Notes
71.	**Discussion** Discuss the questions in the slide.

Slide

Back-up of financial information

Back-up considerations

Considerations when backing up accounting data includes:

- Storing back-ups in secure and designated locations
- Ensuring accessibility of backed-up information
- Protecting integrity of system information
- Complying with internal audit requirements
- Complying with internal security requirements

Slide 72

Slide No	Trainer Notes
72.	**Discussion** What other considerations would you have?

Slide

Back-up of financial information

Methods to back up data

- Off-site storage of hard-copy documents
- Online storage services
- Consolidate data on different PC's to one centralised point
- External hard drives
- Using backup software

COMPLETE ACTIVITY 20

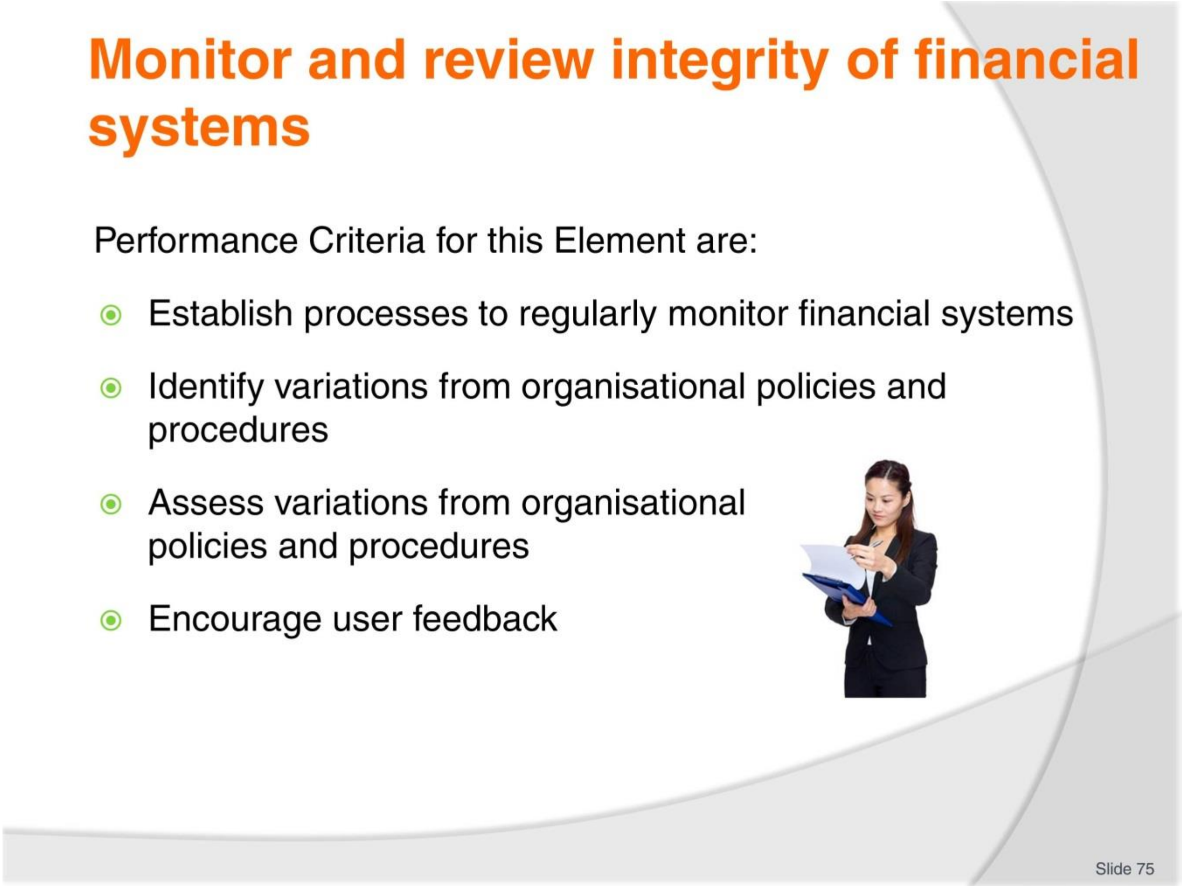
Slide 73

Slide No	Trainer Notes
73.	**Discussion & Complete Activity** Discuss the benefits of each of these methods.

Slide

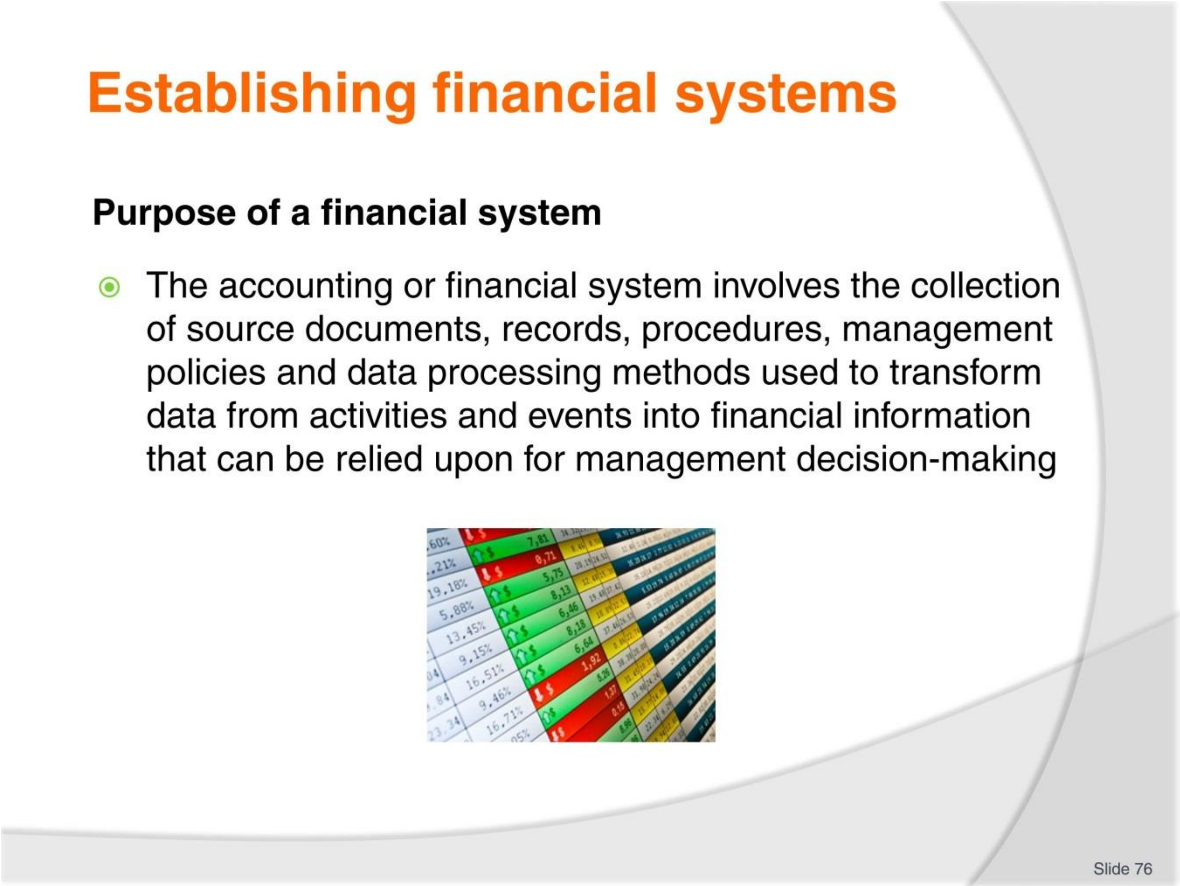
Slide No	Trainer Notes
74.	Introduce topic. **Class Activity – General Discussion** Ask general questions: • Why is monitoring important?

Slide



Slide No	Trainer Notes
75.	Trainer identifies the Performance Criteria for this Element, as listed on the slide.

Slide



Slide No	Trainer Notes
76.	**Discussion** What aspects of a financial system are important?

Slide

Establishing financial systems

Key financial system processes

- Book-keeping – recording daily financial data
- Reporting – using book-keeping records to produce Statements of Financial Performance, Financial Position and Cash Flows
- Analysing and interpreting the reports so as to identify and overcome problems, and effectively plan and control the operations of the business in the future

Slide 77

Slide No	Trainer Notes
77.	**Discussion** Discuss the importance of these processes.

Slide

Slide No	Trainer Notes
78.	**Discussion** Discuss the importance of these processes.

Slide

Slide No	Trainer Notes
79.	**Discussion** What information do these units need?

Slide

Slide No	Trainer Notes
80.	**Discussion** What are these compliance requirements important?

Slide

Slide No	Trainer Notes
81.	**Discussion** • What are these internal control systems important? • How can a financial system ensure these?

Slide

Slide No	Trainer Notes
82.	**Discussion** What are examples of these controls?

Slide

Establishing financial systems

Principles of internal control systems

- Establish clear lines of responsibility and supervision
- Separate or divide the responsibility for related transactions
- Separate record keeping and control of assets
- Prepare written procedures
- Documentation procedures
- Set standards and evaluate results
- Maintain adequate insurance

COMPLETE ACTIVITIES 21,22

Slide 83

Slide No	Trainer Notes
83.	**Discussion & Complete Activities** Discuss importance and provide examples of these principles.

Slide

Establishing financial systems

Identify control methods

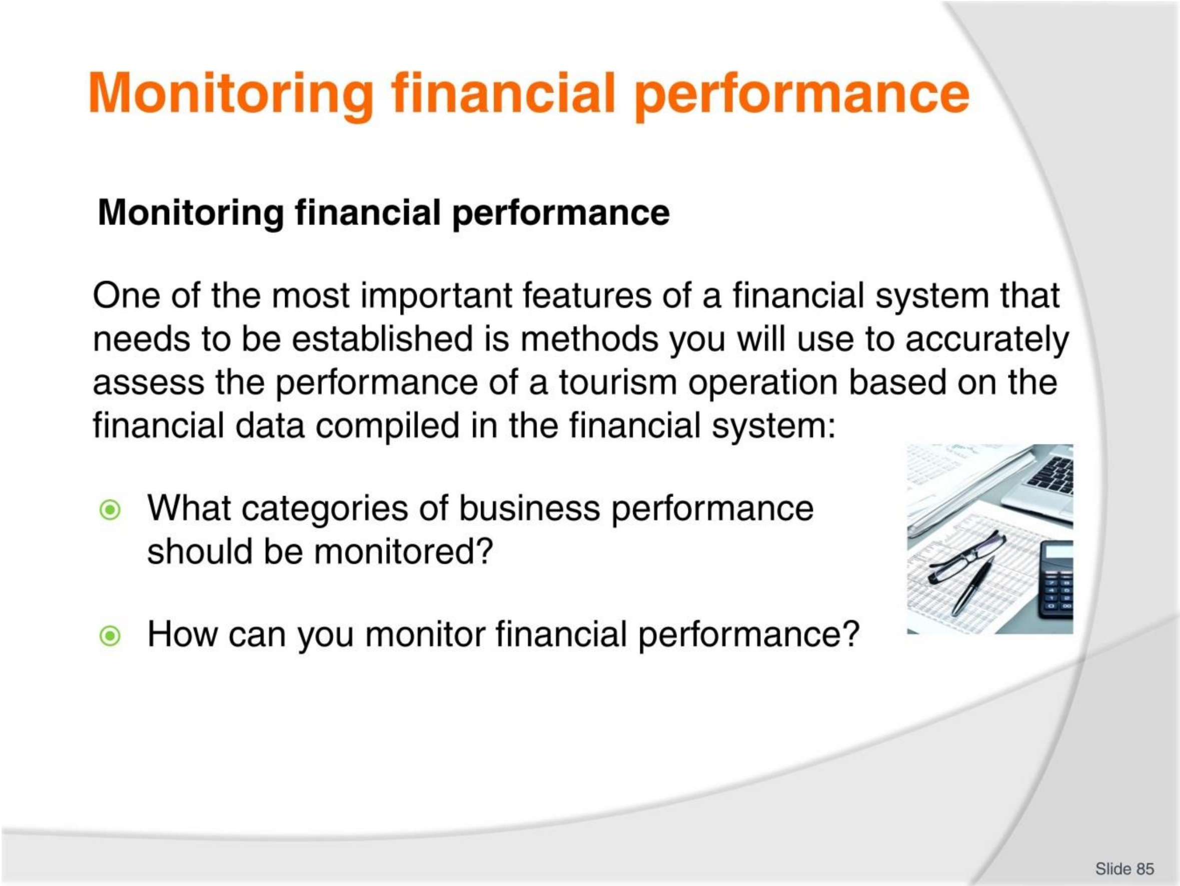
- Cash
- Cash receipts
- Cash payments
- Petty cash payments
- Cash budgets
- Accounts receivable
- Credit policies
- Purchases
- Payroll
- Inventory
- Fixed assets

COMPLETE ACTIVITY 23

Slide 84

Slide No	Trainer Notes
84.	**Discussion & Complete Activity** How can you control these?

Slide



Slide No	Trainer Notes
85.	**Discussion** Discuss the questions in the slide.

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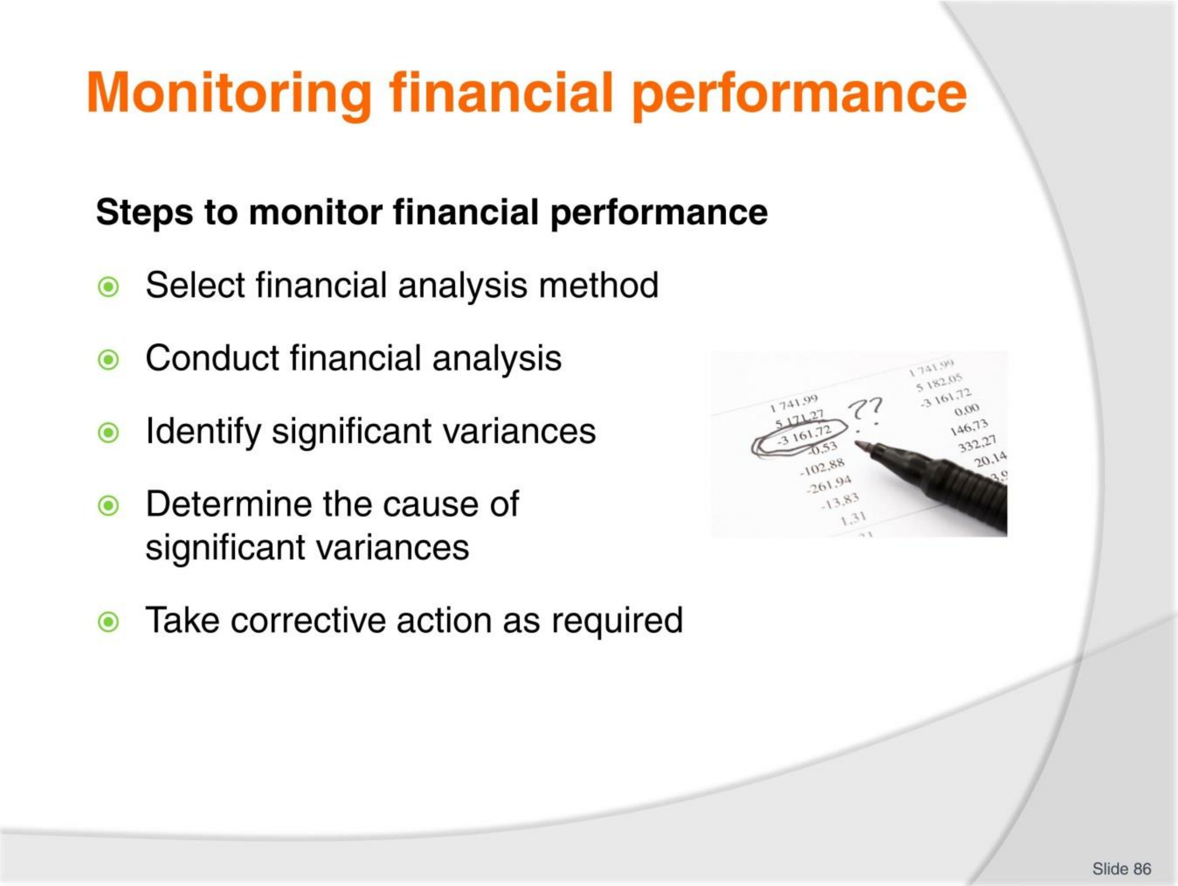


Slide No	Trainer Notes
86.	**Discussion** Discuss the tasks associated with these steps

Slide

Slide No	Trainer Notes
87.	**Discussion & Complete Activity** Refer to TM for examples.

Slide

Managing financial systems

Monitor financial systems

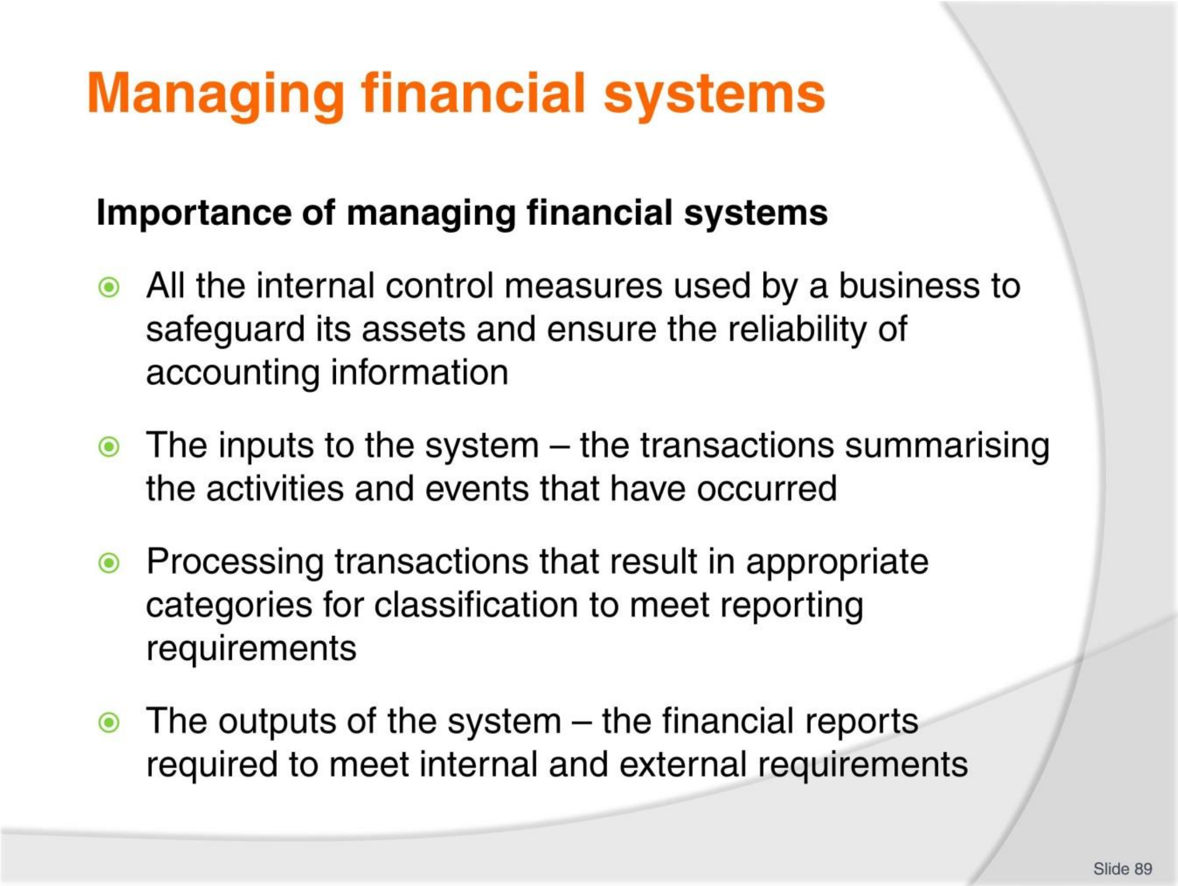
Processes to regularly monitor financial systems may include:

- Ensuring reliability of the systems
- Ensuring integrity of the systems

Slide 88

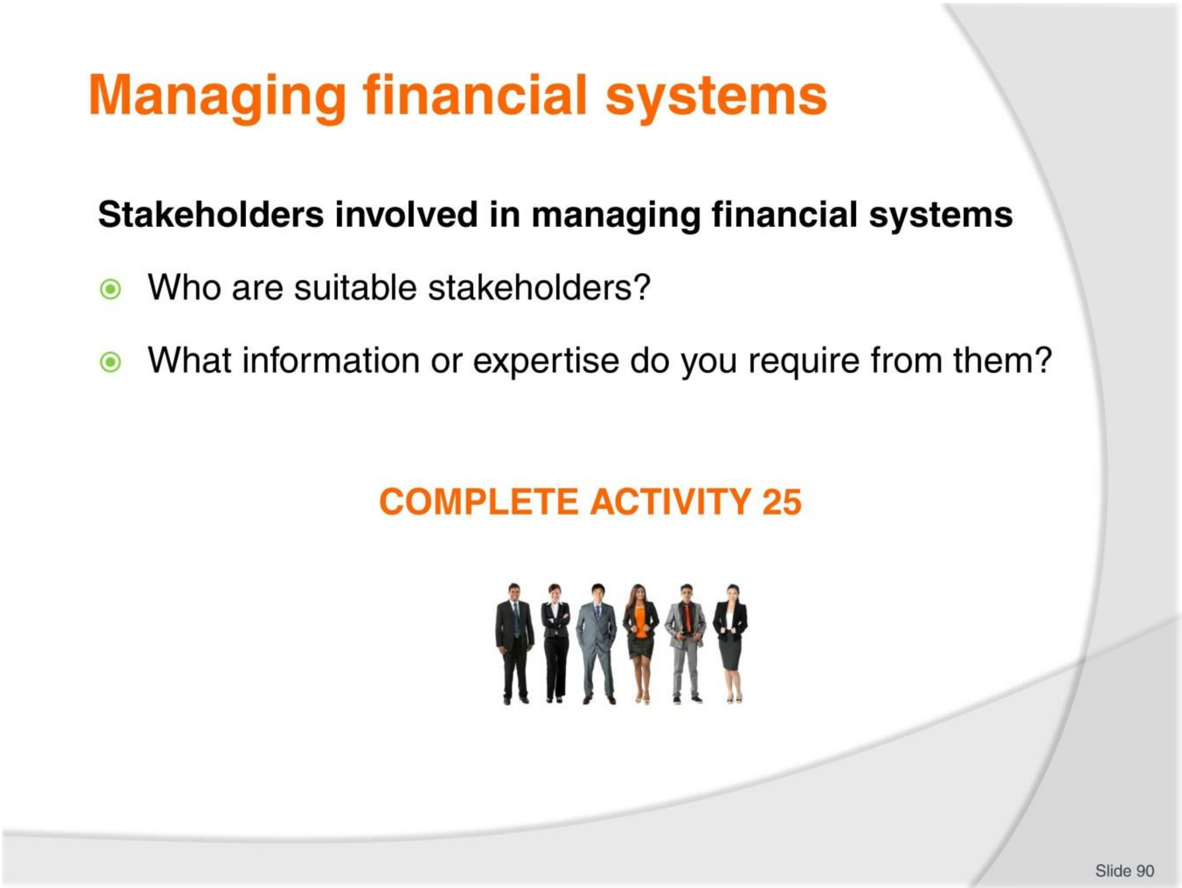
Slide No	Trainer Notes
88.	**Discussion** How can you do this?

Slide



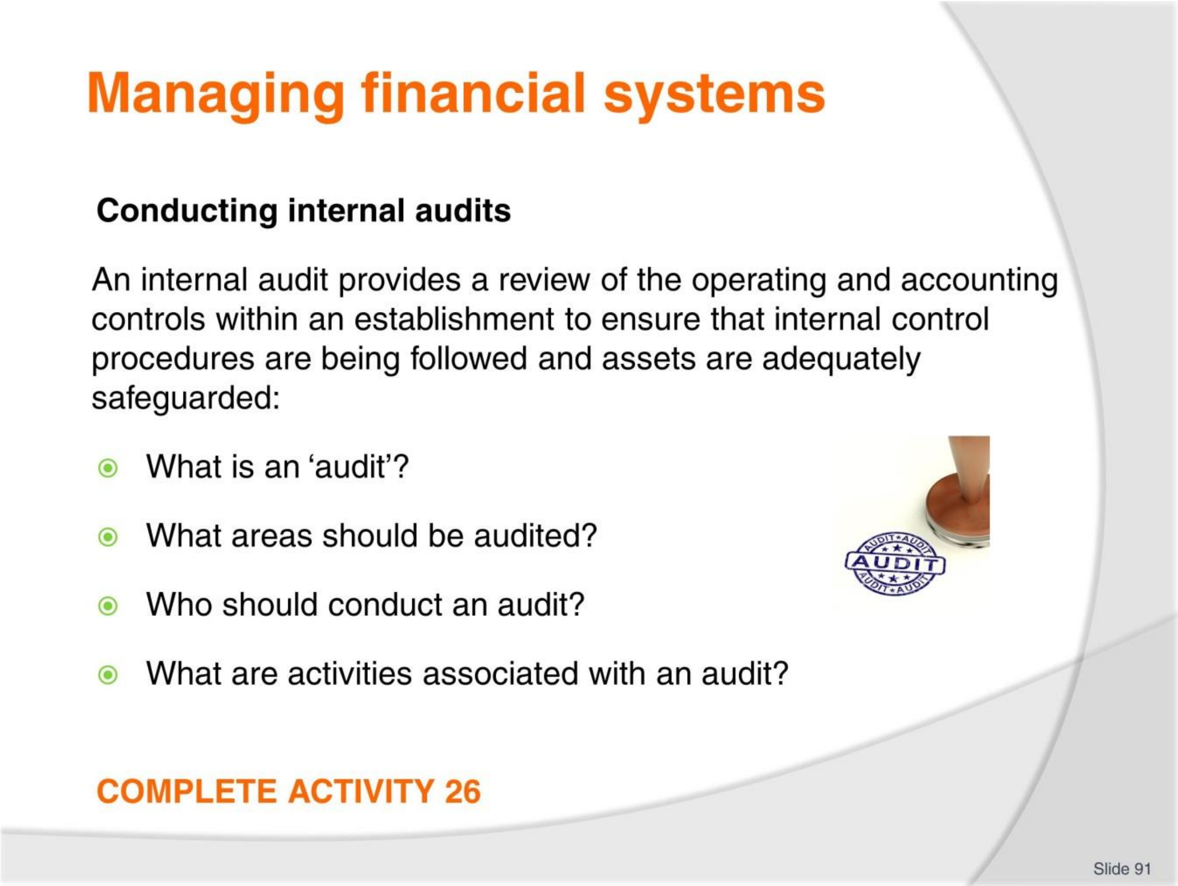
Slide No	Trainer Notes
89.	**Discussion** How can you do this?

Slide



Slide No	Trainer Notes
90.	**Discussion & Complete Activity** Discuss the questions in the slide.

Slide



Slide No	Trainer Notes
91.	**Discussion & Complete Activity** Discuss the questions in the slide.

Slide

Slide No	Trainer Notes
92.	**Discussion** Discuss the questions in the slide.

Slide

Identify and assess variations from policies and procedures

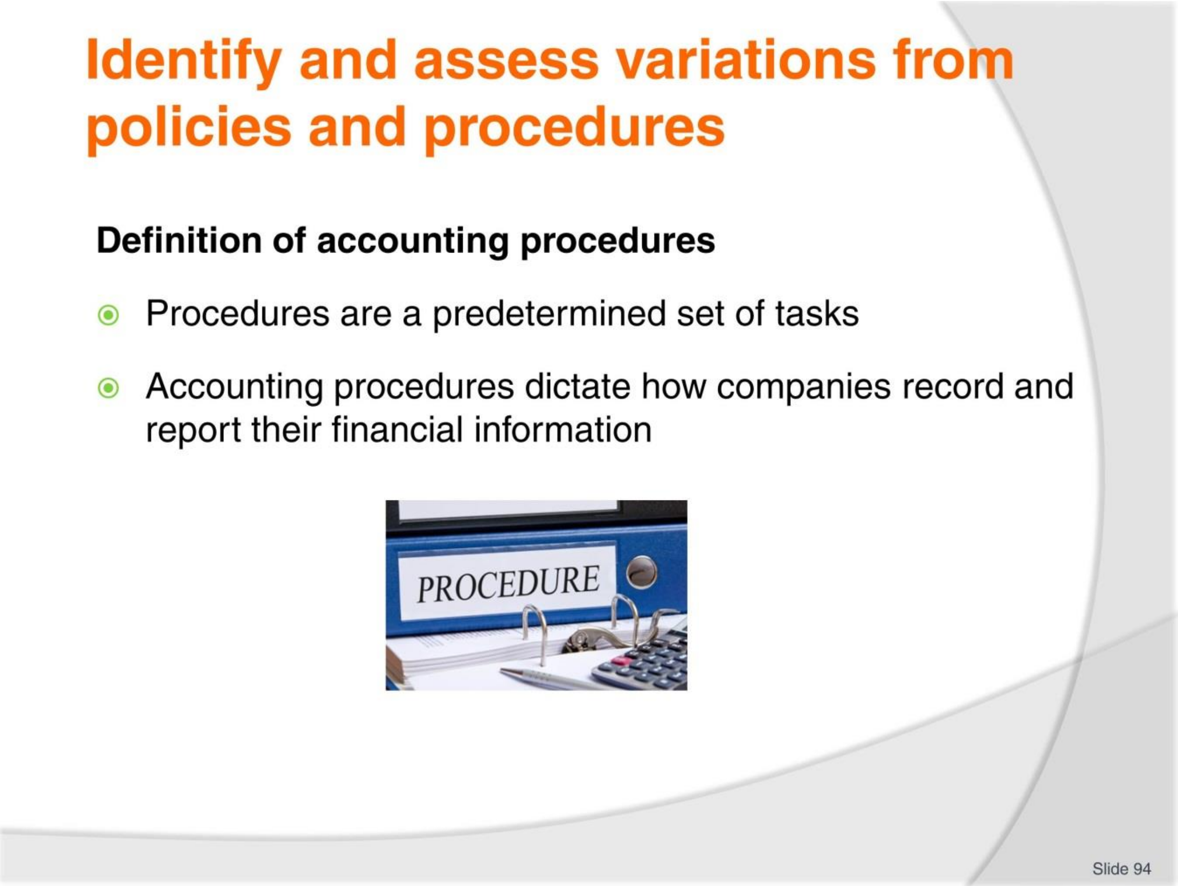
Definition of accounting policies

- Accounting policies are rules in which accounting activities will be guided by
- Accounting policies are normally based around laws, general accounting principles, compliance issues and taxation

Slide 93

Slide No	Trainer Notes
93.	**Discussion** • What are examples of other policies? • What are the benefits of having policies?

Slide



Slide No	Trainer Notes
94.	**Discussion** • What are examples of procedures? • What are the benefits of having procedures?

Slide

Identify and assess variations from policies and procedures

Accounting activities requiring policies and procedures

- Revenue recognition
- Matching of revenues and expenses
- Fixed assets and depreciation
- Collection and use of data
- Preparing of financial reports
- Cash disbursements
- Capital acquisitions
- Supplies, services, and other invoices
- Invoice payment

Slide 95

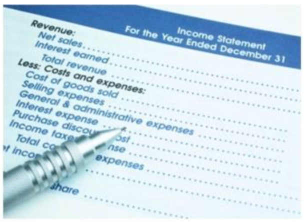
Slide No	Trainer Notes
95.	**Discussion** What are examples of policies and procedures for each of these accounting activities?

Slide

Identify and assess variations from policies and procedures

Accounting activities requiring policies and procedures

- Payroll
- Cash receipts
- Ledger reconciliations
- Bank reconciliations
- End of month accounting
- End of year accounting
- Cost allocations
- Investments
- Debt



Slide 96

Slide No	Trainer Notes
96.	**Discussion** What are examples of policies and procedures for each of these accounting activities?

Slide

Identify and assess variations from policies and procedures

Accounting activities requiring policies and procedures

- Internal controls
- Financial audits
- Compliance
- Budgeting
- Data security
- Computer access and back up
- Use of accounting forms and templates
- Access to records and records retention

Slide 97

Slide No	Trainer Notes
97.	**Discussion** What are examples of policies and procedures for each of these accounting activities?

Slide

Identify and assess variations from policies and procedures

Accounting activities requiring policies and procedures

- Taxation forms and compliance
- Personnel records
- Maintenance of accounting policies and procedures manual
- Preparation of information
- Asset inventory

COMPLETE ACTIVITY 27

Slide 98

Slide No	Trainer Notes
98.	**Discussion & Complete Activity** What are examples of policies and procedures for each of these accounting activities?

Slide

Identify and assess variations from policies and procedures

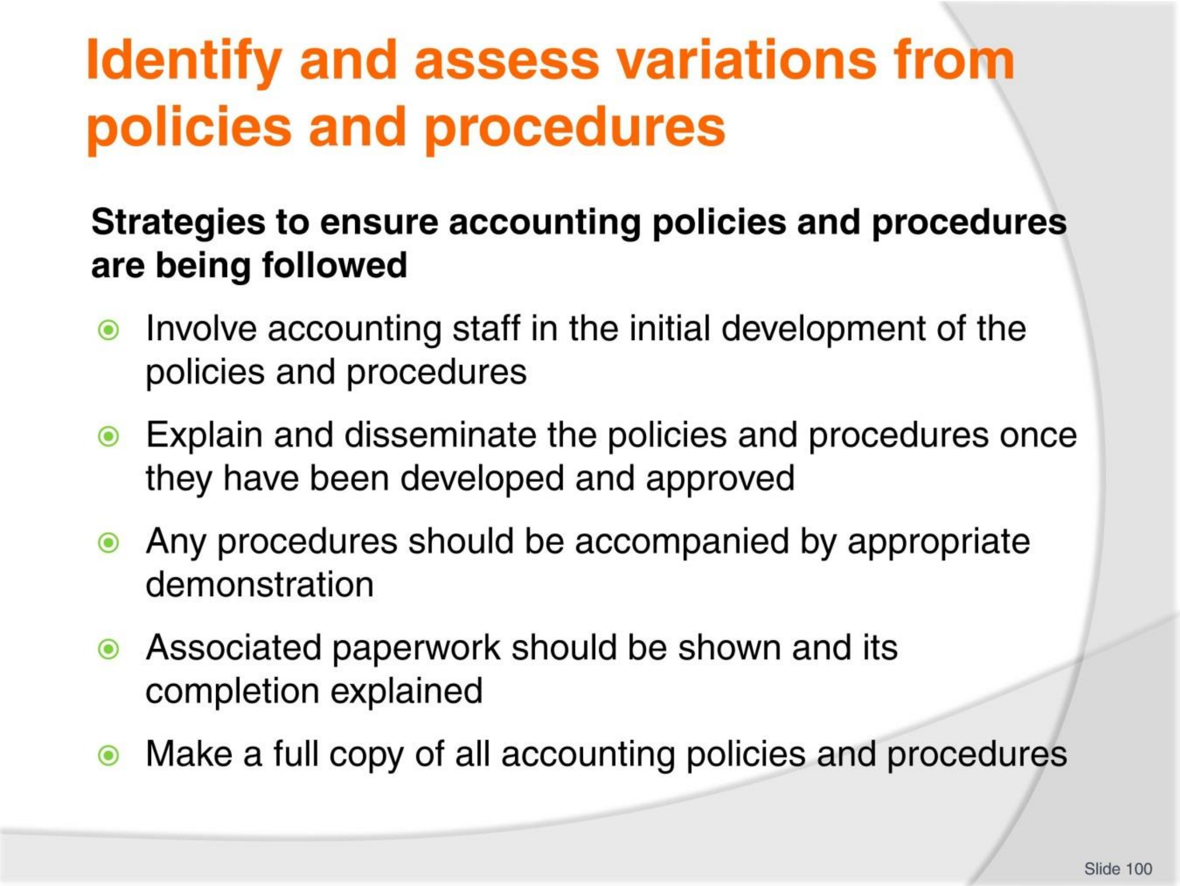
Importance of monitoring adherence to policies and procedures

- Ensure consistency in the operation of the business
- Ensure adherence to internal requirements
- Ensure compliance with policy and procedure requirements
- Praise adherence to policies and procedures
- Remedial action to be taken where necessary

Slide 99

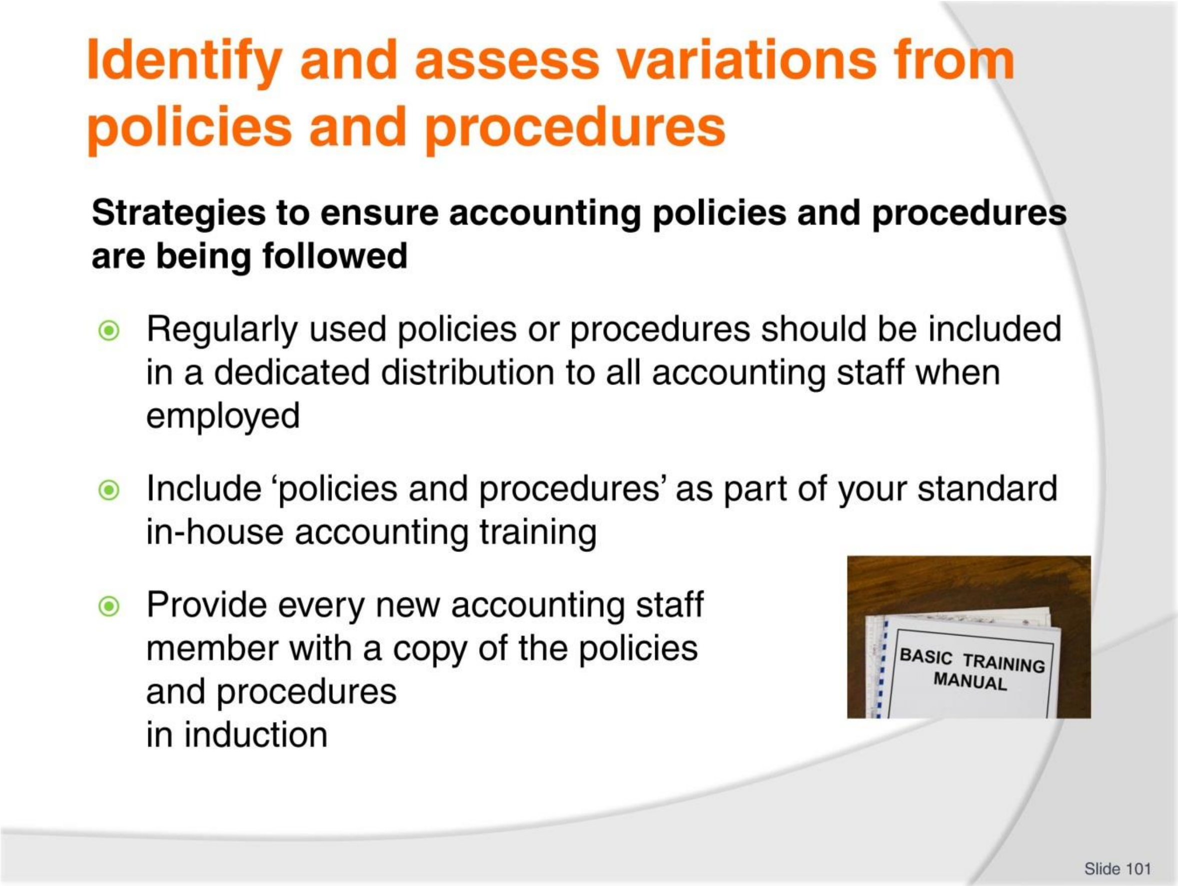
Slide No	Trainer Notes
99.	**Discussion** How can you monitor this?

Slide



Slide No	Trainer Notes
100.	**Discussion** Discuss importance of these strategies.

Slide

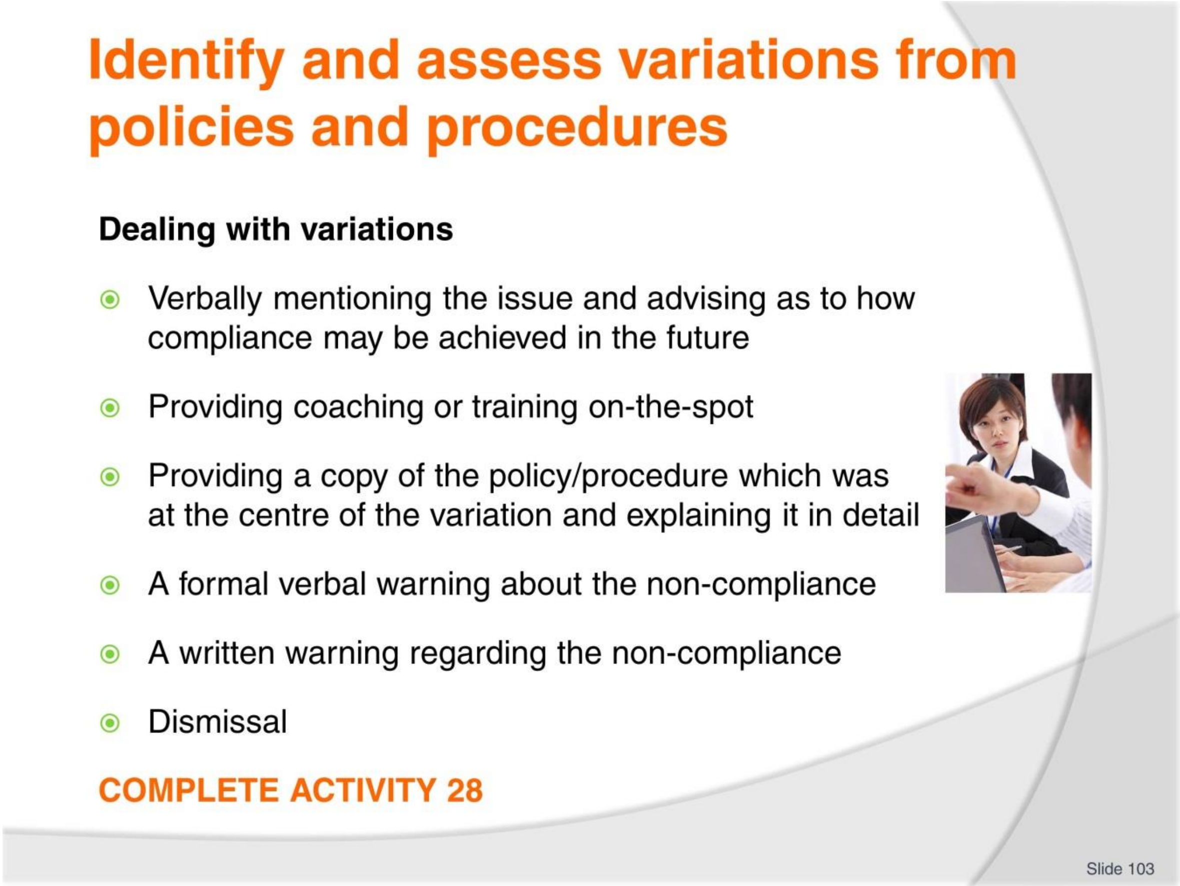


Slide No	Trainer Notes
101.	**Discussion** Discuss importance of these strategies.

Slide

Slide No	Trainer Notes
102.	**Discussion** What are steps and priorities associated with each of these methods?

Slide



Slide No	Trainer Notes
103.	**Discussion & Complete Activity** When would each of these actions be appropriate?

Slide

Encourage user feedback

Importance of involving stakeholders

Encouraging user and other stakeholder feedback is an essential aspect of determining if the accounting policies and procedures in place are suitable and also to get constructive feedback of what needs to be changed for future success:

- Who are appropriate stakeholders?
- What advice can they provide in determining need for new or updated financial system?

Slide 104

Slide No	Trainer Notes
104.	**Discussion** Discuss the questions in the slide.

Slide

Encourage user feedback

Types of users and stakeholders

- Users
- Management and supervisors
- Head Office
- Owners
- Finance committees
- Financial accountants

Slide 105

Slide No	Trainer Notes
105.	**Discussion** What is the importance of involving each of these stakeholders?

Slide

Encourage user feedback

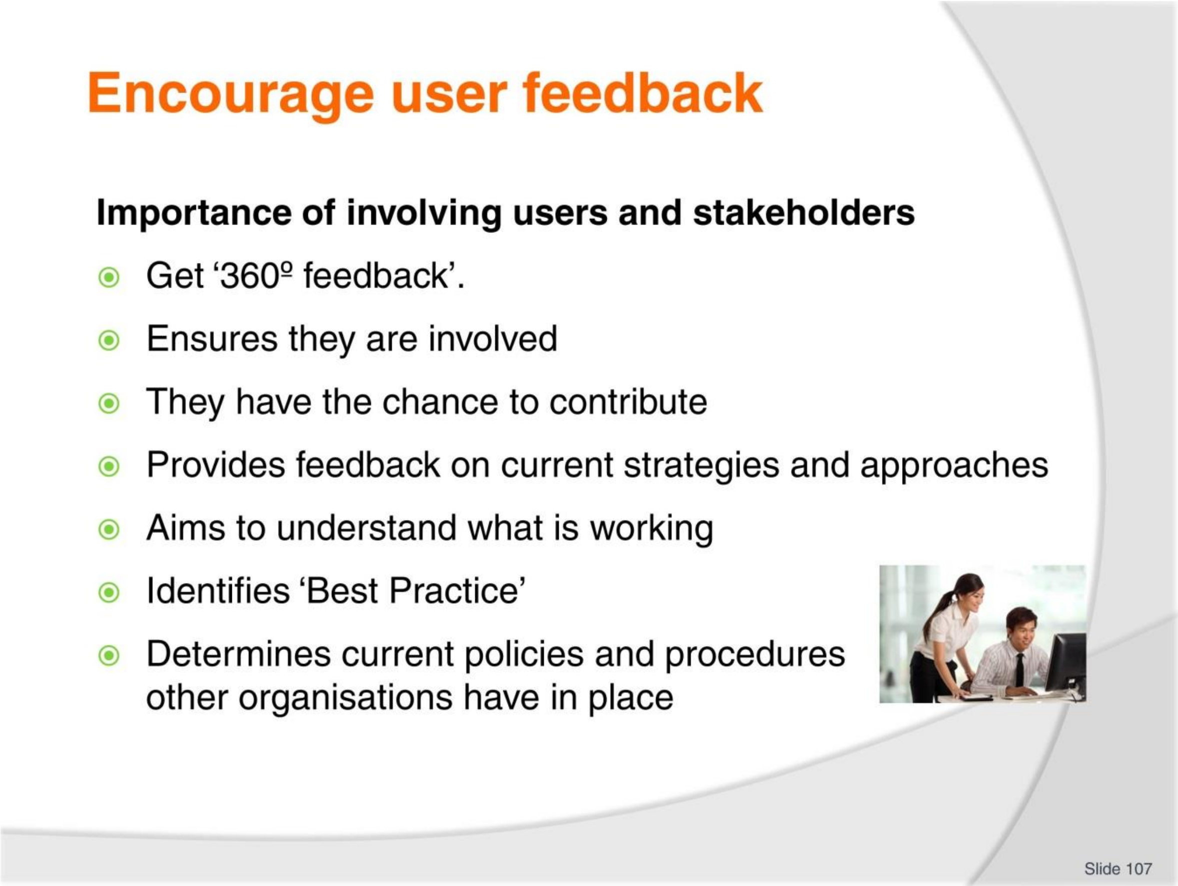
Types of users and stakeholders

- Government agencies – who have relevancy to and involvement in your industry sector
- Peak Industry bodies and associations
- Similar establishments within your sector with whom you have developed a professional 'working relationship'
- Investors and shareholders
- External consultants with specific expertise

Slide 106

Slide No	Trainer Notes
106.	**Discussion** What is the importance of involving each of these stakeholders?

Slide



Slide No	Trainer Notes
107.	**Discussion** Discuss these benefits.

Slide

Encourage user feedback

Importance of involving users and stakeholders

- Create policies and procedures that are acceptable to as many users and stakeholders as possible
- Ensure no important information is missed
- Aids decision making in relation to policies and procedures by taking a consensus view of what is required
- Obtains a final accounting system reflecting the wishes, needs and expectations of as many stakeholders as possible

Slide 108

Slide No	Trainer Notes
108.	**Discussion** Discuss these benefits.

Slide

Encourage user feedback

Methods to encourage user and stakeholder input

- Asking for ideas
- Having an ‘open door’ policy
- Sharing ideas
- Being prepared to test new ideas
- Seeking information and ideas from non-traditional places
- Thanking people for their contributions
- Taking the time and effort to why were not implemented
- Ensuring the appropriate person receives the credit for doing so

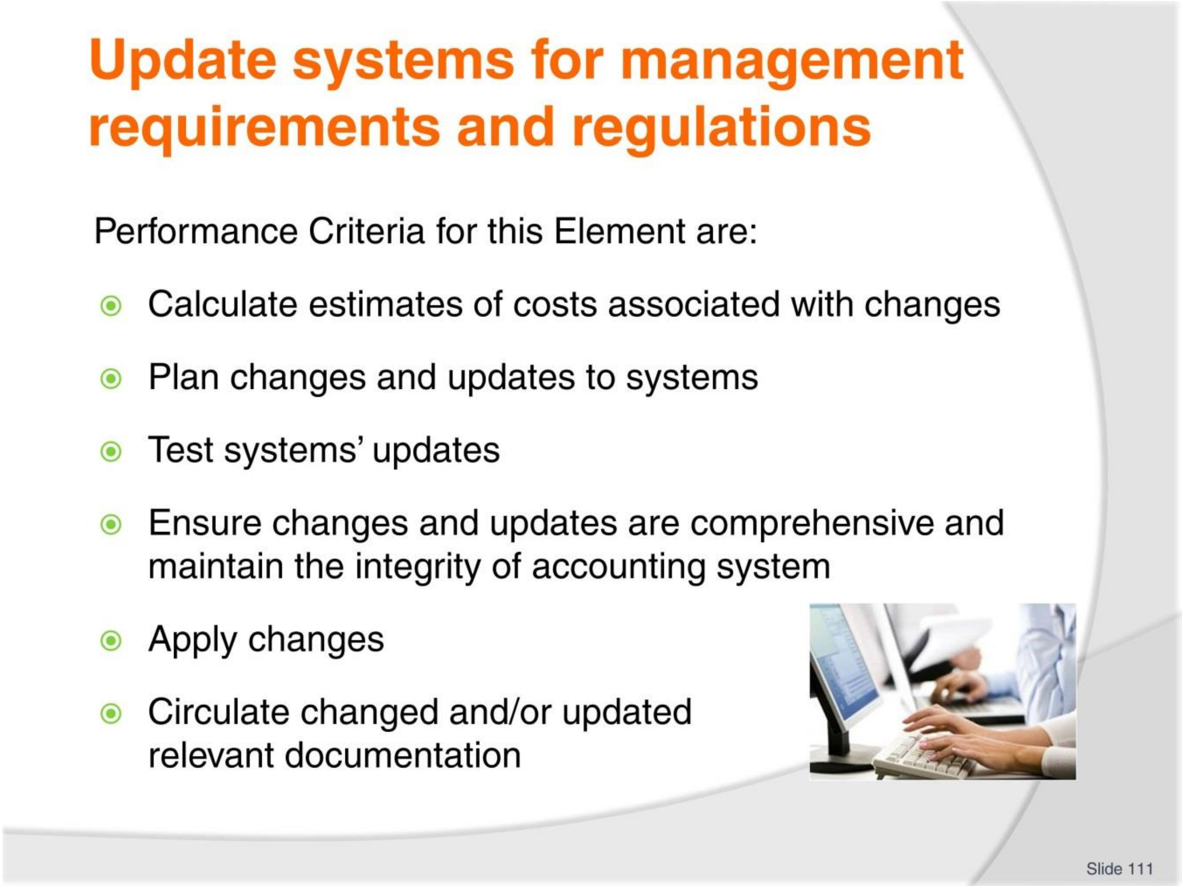
COMPLETE ACTIVITY 29

Slide 109

Slide No	Trainer Notes
109.	**Discussion & Complete Activity** Discuss these benefits.

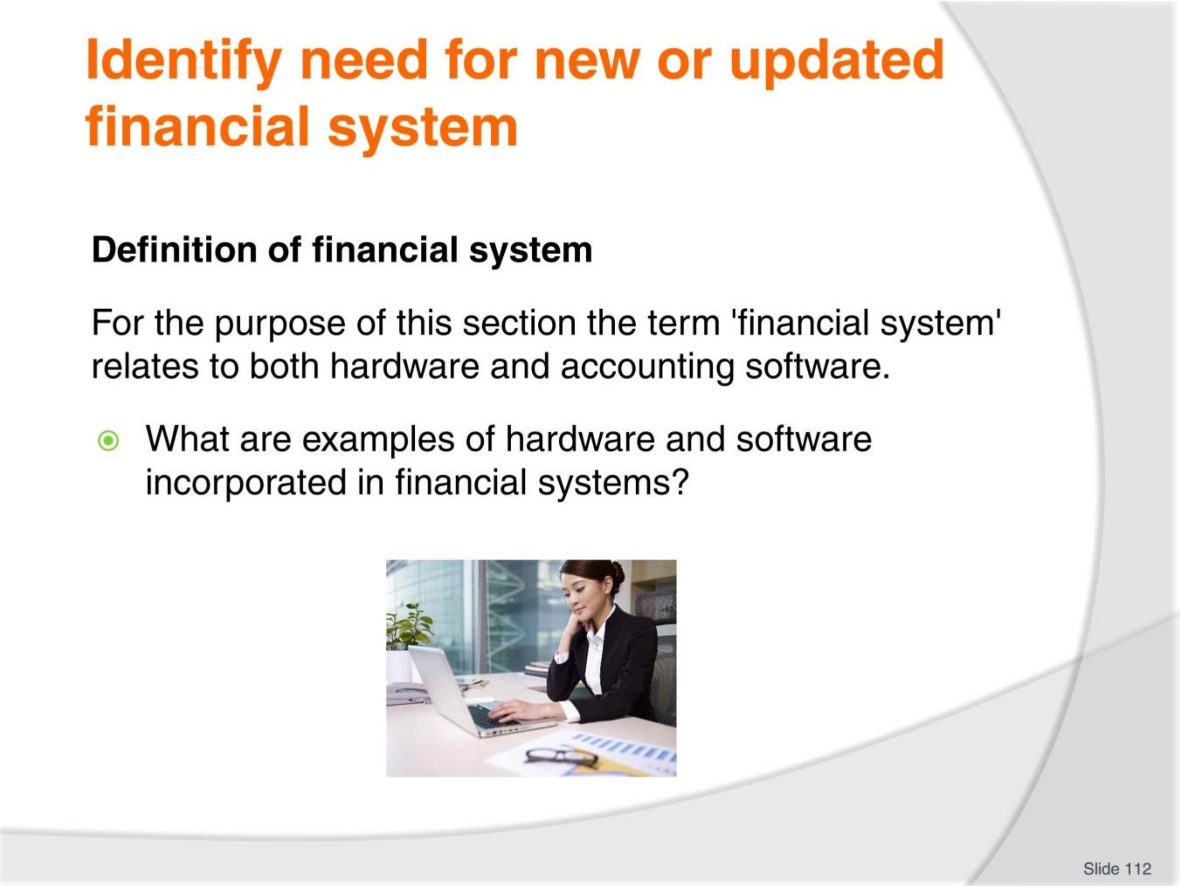
Slide

Slide No	Trainer Notes
110.	Introduce topic. **Class Activity – General Discussion** Ask general questions: Why would you need to update or purchase a new financial system?

Slide


Slide No	Trainer Notes
111.	Trainer identifies the Performance Criteria for this Element, as listed on the slide.

Slide



Slide No	Trainer Notes
112.	**Discussion** Discuss the question in the slide.

Slide

Slide No	Trainer Notes
113.	**Discussion** Why is it important to involve these stakeholders?

Slide

Slide No	Trainer Notes
114.	**Discussion** What are other reasons to change or update financial systems?

Slide

Identify need for new or updated financial system

Overriding needs of a new or updated financial systems

- Embraces industry-standard technology quickly and easily
- Can customise easily to fit the special needs of the tourism organisation
- Enables flexibly to new IT paradigms
- Can meet any future changes of an organisation

Slide 115

Slide No	Trainer Notes
115.	**Discussion** What are other need you would have?

Slide

Identify need for new or updated financial system

Required outputs of a financial system

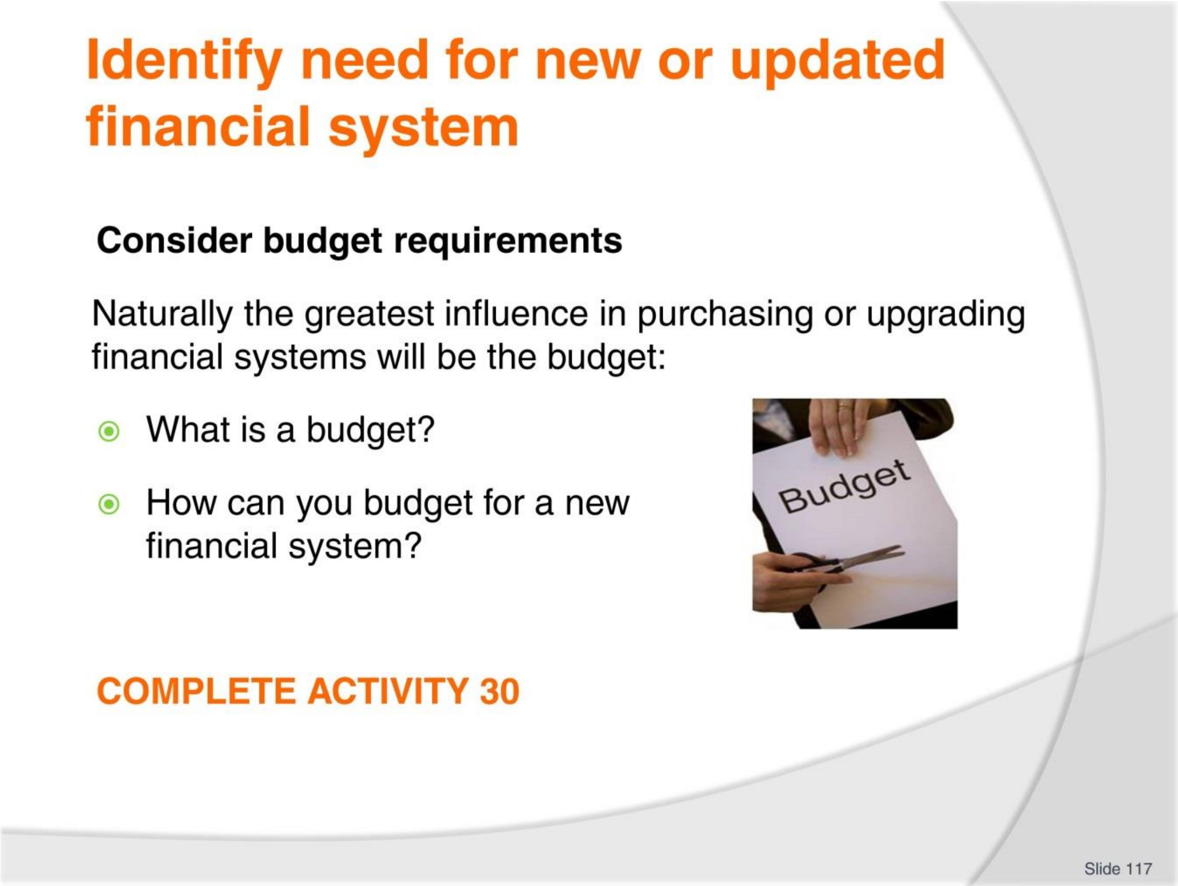
In essence the key outputs required from a financial system include:

- Information for management decision-making - spreadsheets, custom reports
- Information for cash flow planning / forecasting - sales orders, purchase orders
- Billing and accounts receivable
- Inventory control
- General ledger
- Payroll
- Word processing

Slide 116

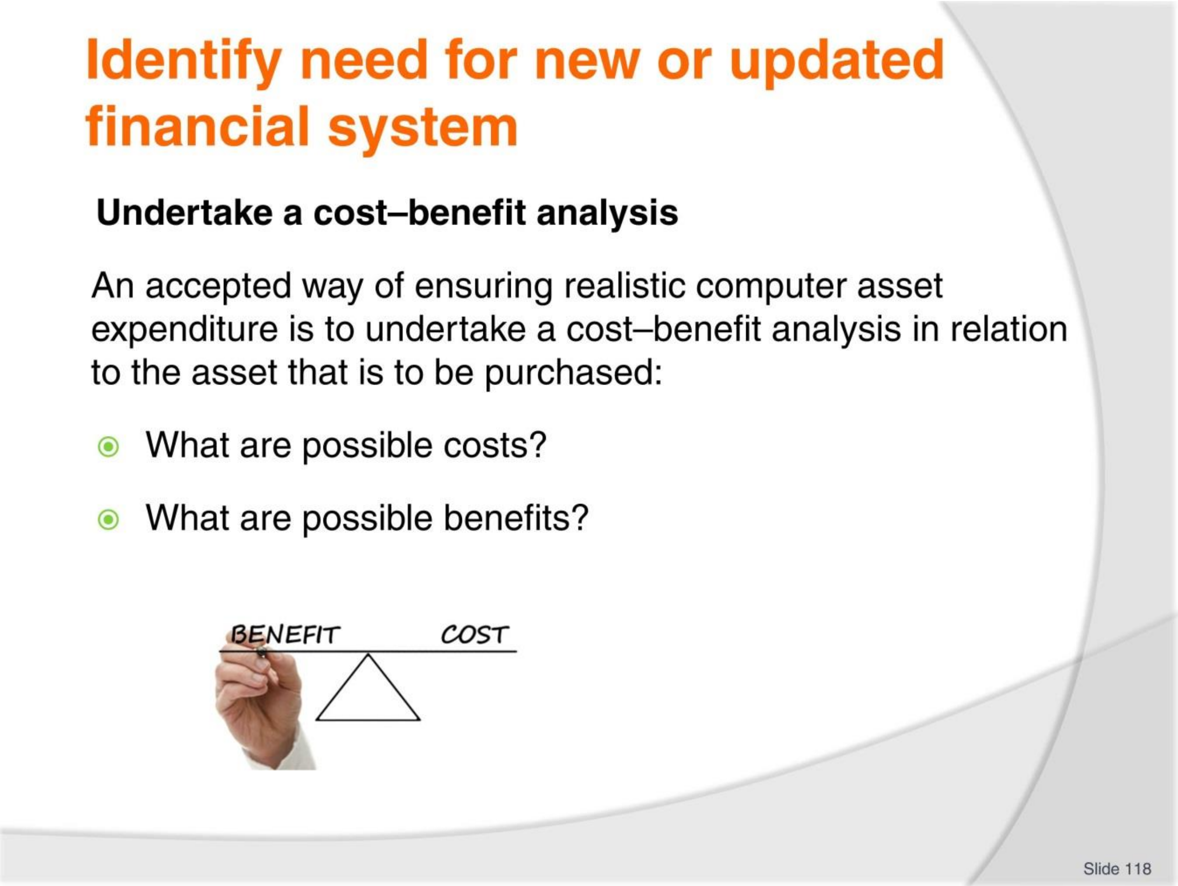
Slide No	Trainer Notes
116.	**Discussion** • Why are these outputs important? • Who uses them?

Slide



Slide No	Trainer Notes
117.	**Discussion & Complete Activity** Discuss the questions in the slide.

Slide



Slide No	Trainer Notes
118.	**Discussion** Discuss the questions in the slide.

Slide

Cost–benefit analysis

Costs

- Purchase price
- Opportunity cost
- Cost of finance
- Testing or compliance costs
- Transportation costs
- Site preparation costs

Slide 119

Slide No	Trainer Notes
119.	**Discussion** What are costs associated with each of these points?

Slide

Cost–benefit analysis

Costs

- Installation costs
- Make-ready costs
- Tooling, parts and suppliers
- Spare parts costs
- Training costs
- Cost of power and consumables

Slide 120

Slide No	Trainer Notes
120.	**Discussion** What are costs associated with each of these points?

Slide

Cost–benefit analysis

Costs

- Service and maintenance costs
- Insurance costs for the new item
- Cost of adapting existing systems and procedures to accommodate the new purchase
- Lost sales caused by interruption to normal business
- Reduced levels of earnings while staff learn the new item
- Depreciation

Slide 121

Slide No	Trainer Notes
121.	**Discussion** What are costs associated with each of these points?

Slide

Cost–benefit analysis

Benefits

- Greater efficiency
- Better decision-making capabilities
- Improved cash flow
- More accurate information
- More control
- The ability to adapt to growth
- Higher levels of earnings/revenue
- Labour savings
- Sale value of any disposed equipment

COMPLETE ACTIVITY 31

Slide 122

Slide No	Trainer Notes
122.	**Discussion & Complete Activity** What are costs associated with each of these points?

Slide

Non-cost related considerations

Identify non-cost related considerations

- Types of hardware and software components required
- Transition from old to new systems
- Speed of installation
- Ease of use
- Transfer of existing data to new system
- Customisation of financial data and reports
- Amount of training required

Slide 123

Slide No	Trainer Notes
123.	**Discussion** • Why are these important? • What impact can they have?

Slide

Financial system training needs

Identify financial system training needs and costs

Any financial systems and software, regardless of how well they are designed, are not going to be used in an efficient manner if all relevant users are not properly trained to use it:

- How can you identify training need?
- What are examples of common training needs?

Slide 124

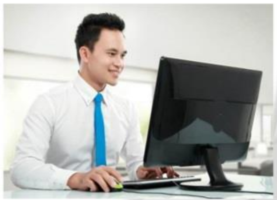
Slide No	Trainer Notes
124.	**Discussion** Discuss the questions in the slide.

Slide

Financial system training needs

Financial system knowledge and skills to be trained

- Range of operational and accounting functions that can be controlled by the system
- Common operational entries, including encodes and decodes
- Mandatory fields
- Applying access codes
- Interpreting and using on-screen prompts to determine required information
- Interpreting and applying on-screen abbreviations, acronyms and options



Slide 125

Slide No	Trainer Notes
125.	**Discussion** How can you train these types of knowledge or skills?

Slide

Financial system training needs

Financial system knowledge and skills to be trained

- Completing required fields
- Describing the field and menu links available between screens
- Responding to system-related queries
- Generating invoices, accounts, folios and statements and distributing them as required
- Generating and distributing relevant reports to other system users

Slide 126

Slide No	Trainer Notes
126.	**Discussion** How can you train these types of knowledge or skills?

Slide

Financial system training needs

Types of financial system training

- Participating in formal training
- Utilisation of dedicated training software
- Reading the User's manual
- Observing and listening to an experienced operator
- Asking questions about what is happening and why things are done the way they are
- Writing your own notes
- On-going coaching and mentoring

COMPLETE ACTIVITY 32

Slide 127

Slide No	Trainer Notes
127.	**Discussion & Complete Activity** When would each of these training methods best used?

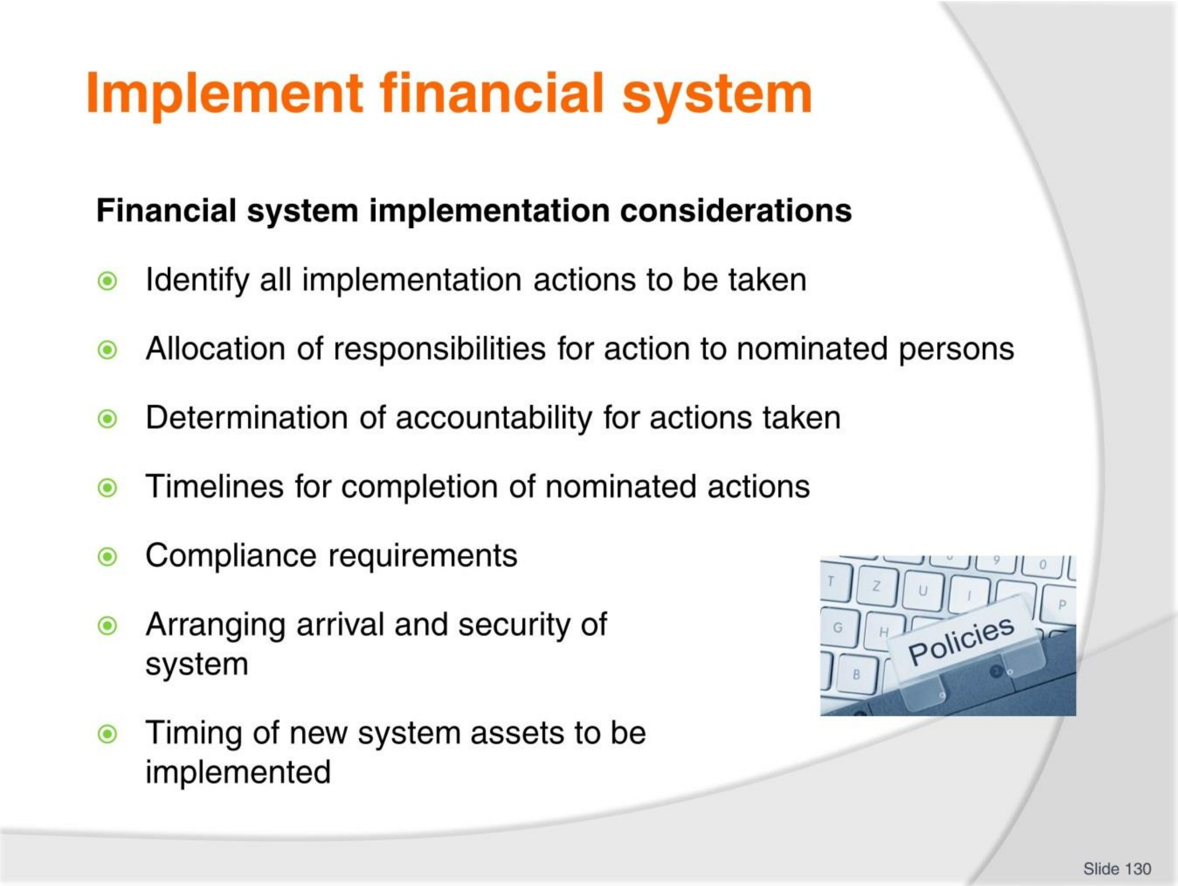
Slide

Slide No	Trainer Notes
128.	**Discussion & Complete Activity** When would each of these training methods best used?

Slide

Slide No	Trainer Notes
129.	**Discussion** Discuss the questions in the slide.

Slide



Slide No	Trainer Notes
130.	**Discussion** Discuss these considerations.

Slide

Implement financial system

Financial system implementation considerations

- Saving information from old system assets
- Removal, storage and sale of old system assets
- Arranging location and physical layout of new assets
- Unpacking and installing new financial system
- Timing issues
- Resources
- Aligning new financial system to existing structures, hardware and software systems
- Integration with other aspects of the business

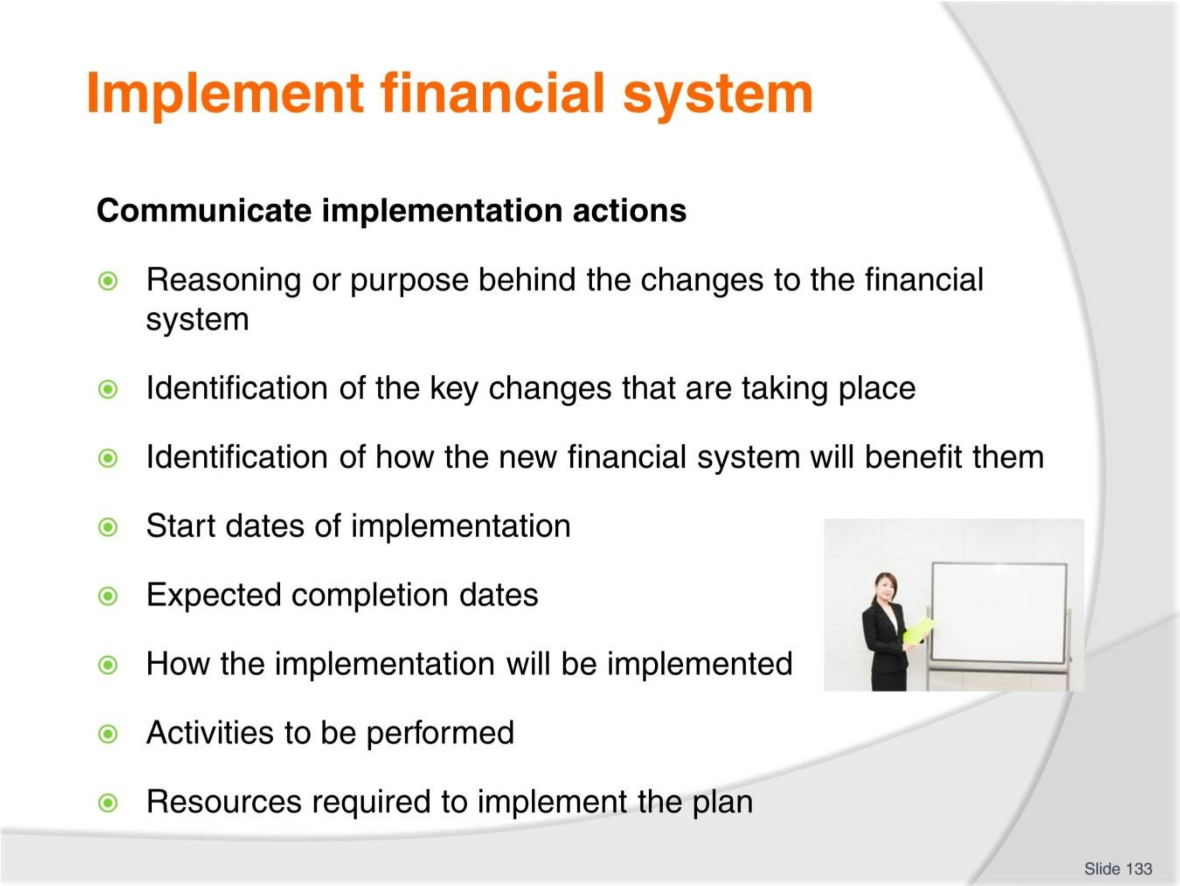
Slide 131

Slide No	Trainer Notes
131.	**Discussion** Discuss these considerations.

Slide

Slide No	Trainer Notes
132.	**Discussion** Discuss these considerations.

Slide



Slide No	Trainer Notes
133.	**Discussion** Discuss importance of communicating these points.

Slide

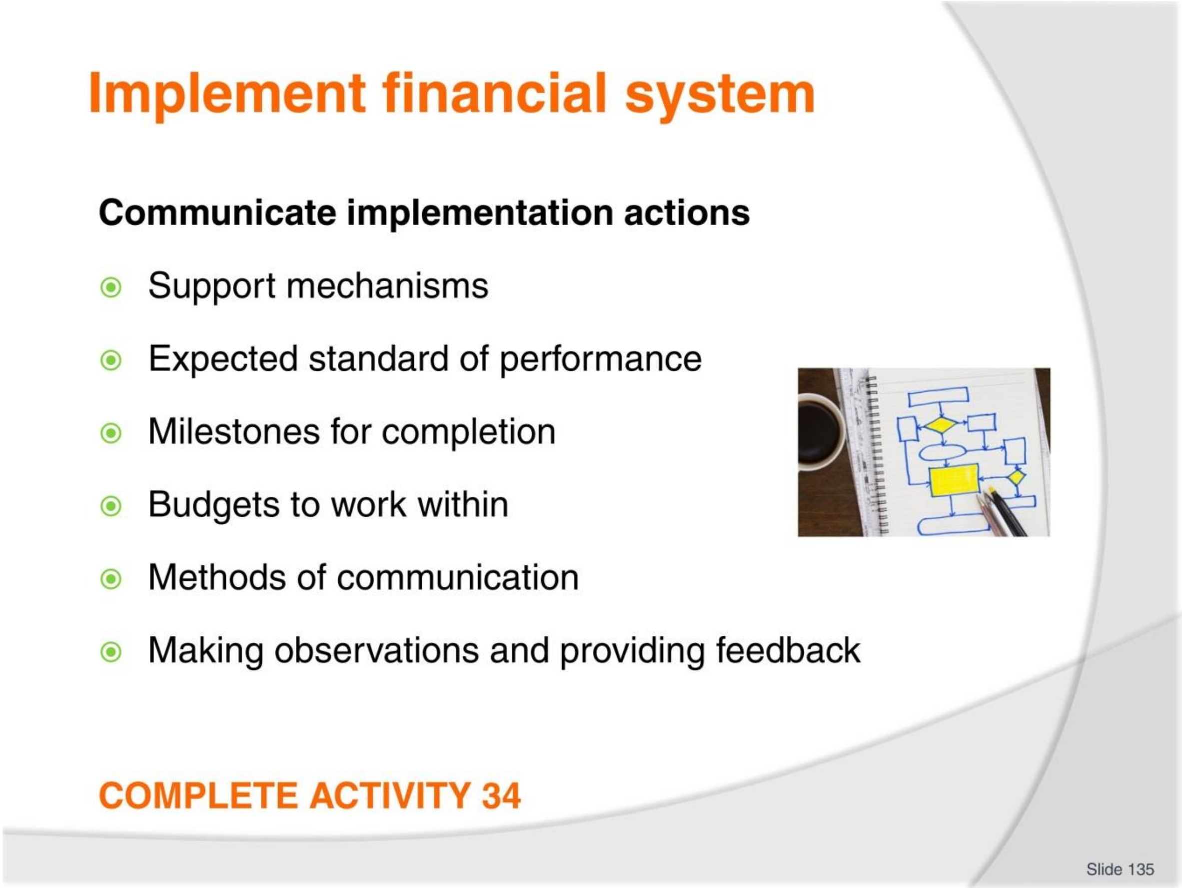
Implement financial system

Communicate implementation actions

- Work breakdown
- Involvement of other staff
- Roles and responsibilities of staff
- Pre-change activities including attending meetings, reading job descriptions etc
- Timelines for implementation
- Training activities that will take place

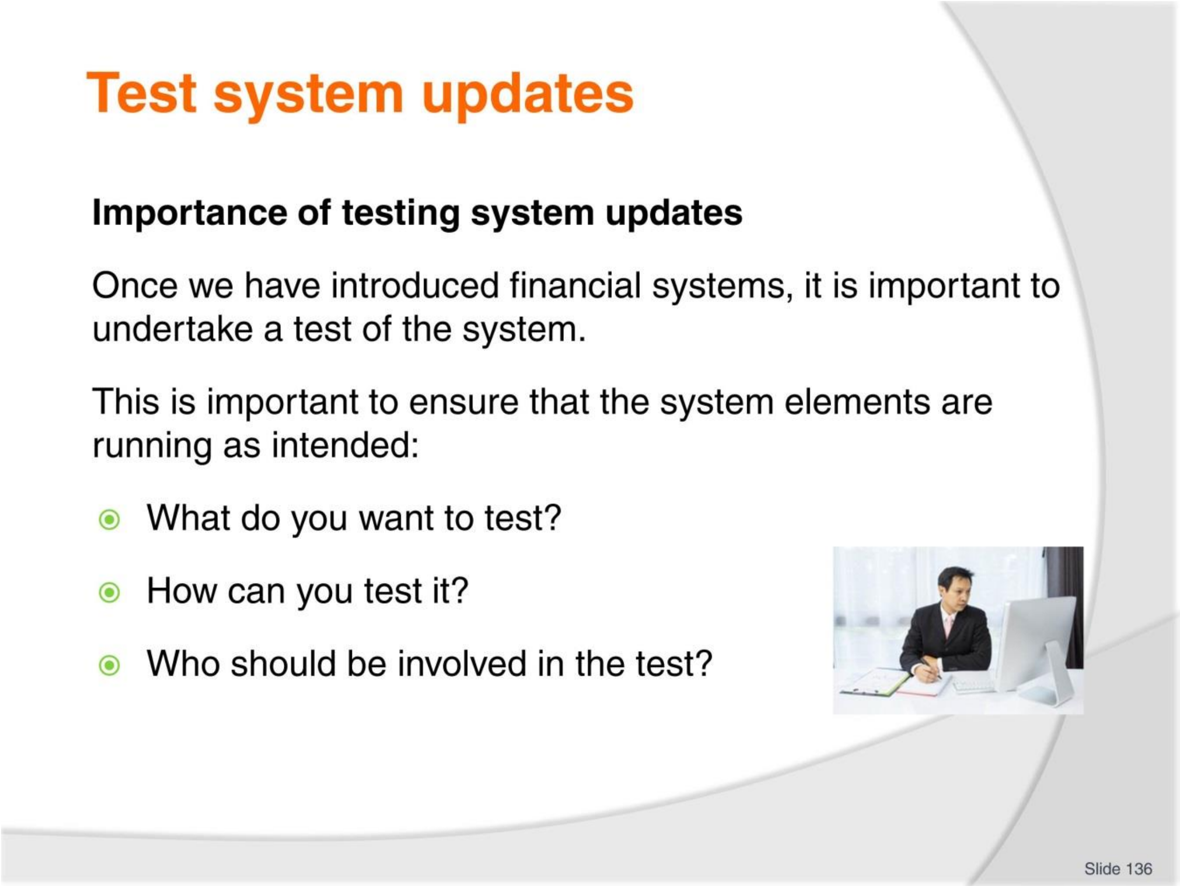
Slide 134

Slide No	Trainer Notes
134.	**Discussion** Discuss importance of communicating these points.

Slide


Slide No	Trainer Notes
135.	**Discussion & Complete Activity** Discuss importance of communicating these points.

Slide

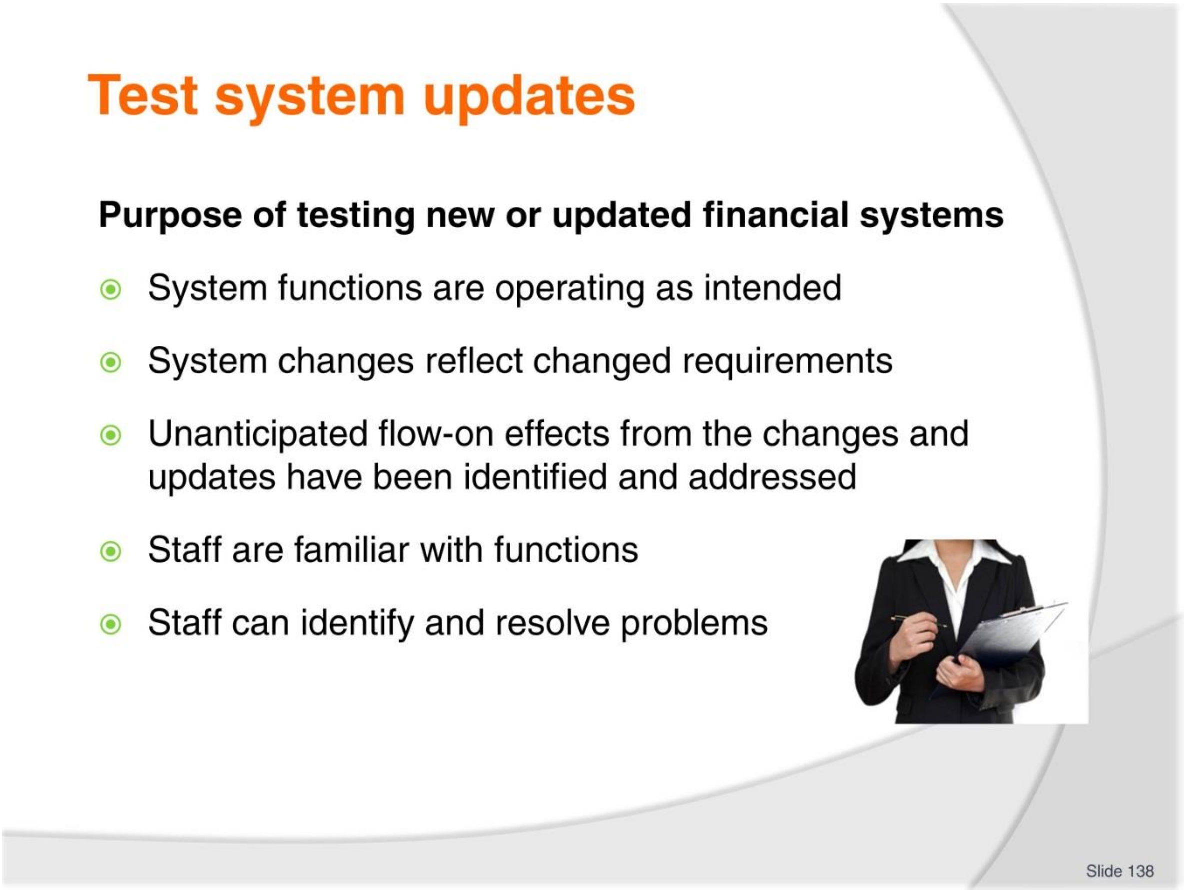


Slide No	Trainer Notes
136.	**Discussion** Discuss the questions in the slide.

Slide

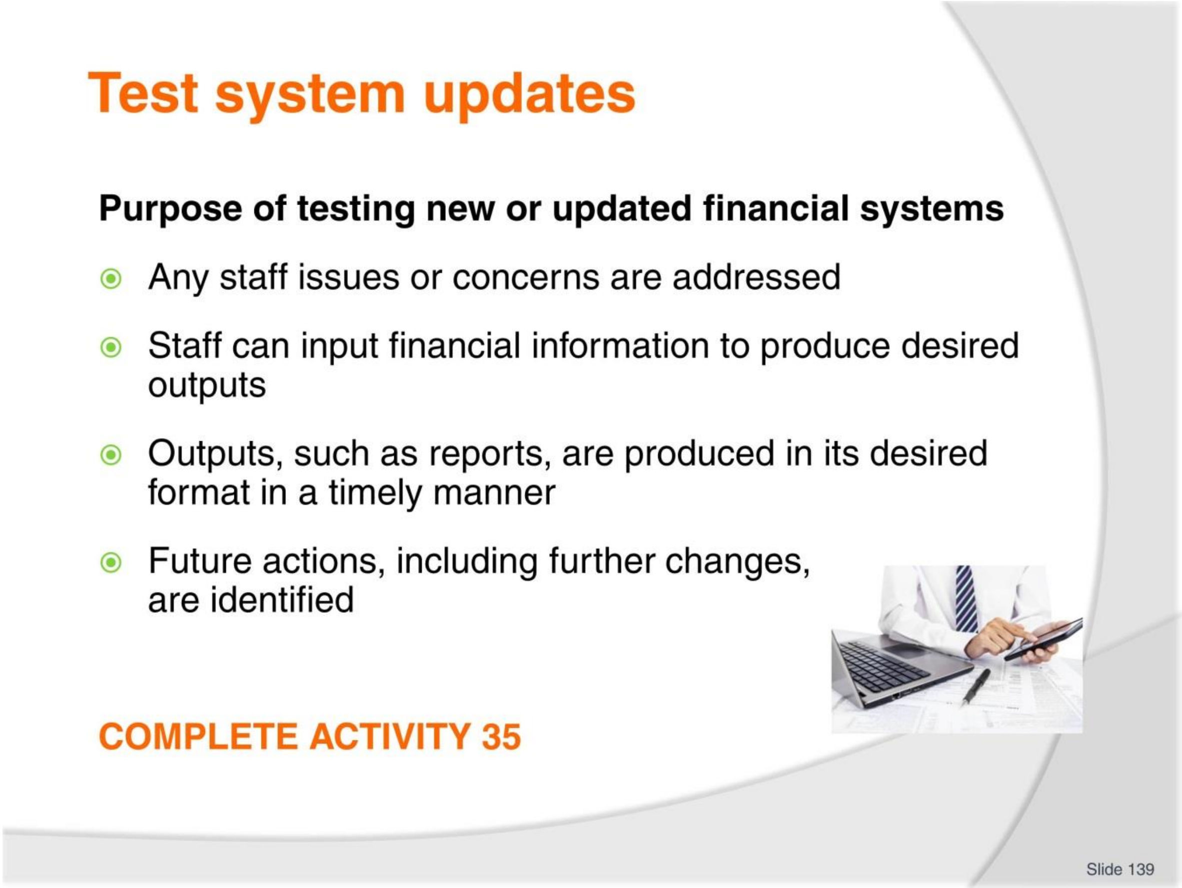
Slide No	Trainer Notes
137.	**Discussion** How can you test these aspects?

Slide



Slide No	Trainer Notes
138.	**Discussion** How can you test these aspects?

Slide



Slide No	Trainer Notes
139.	**Discussion & Complete Activity** How can you test these aspects?

Slide

Review system implementation test

Importance of reviewing test

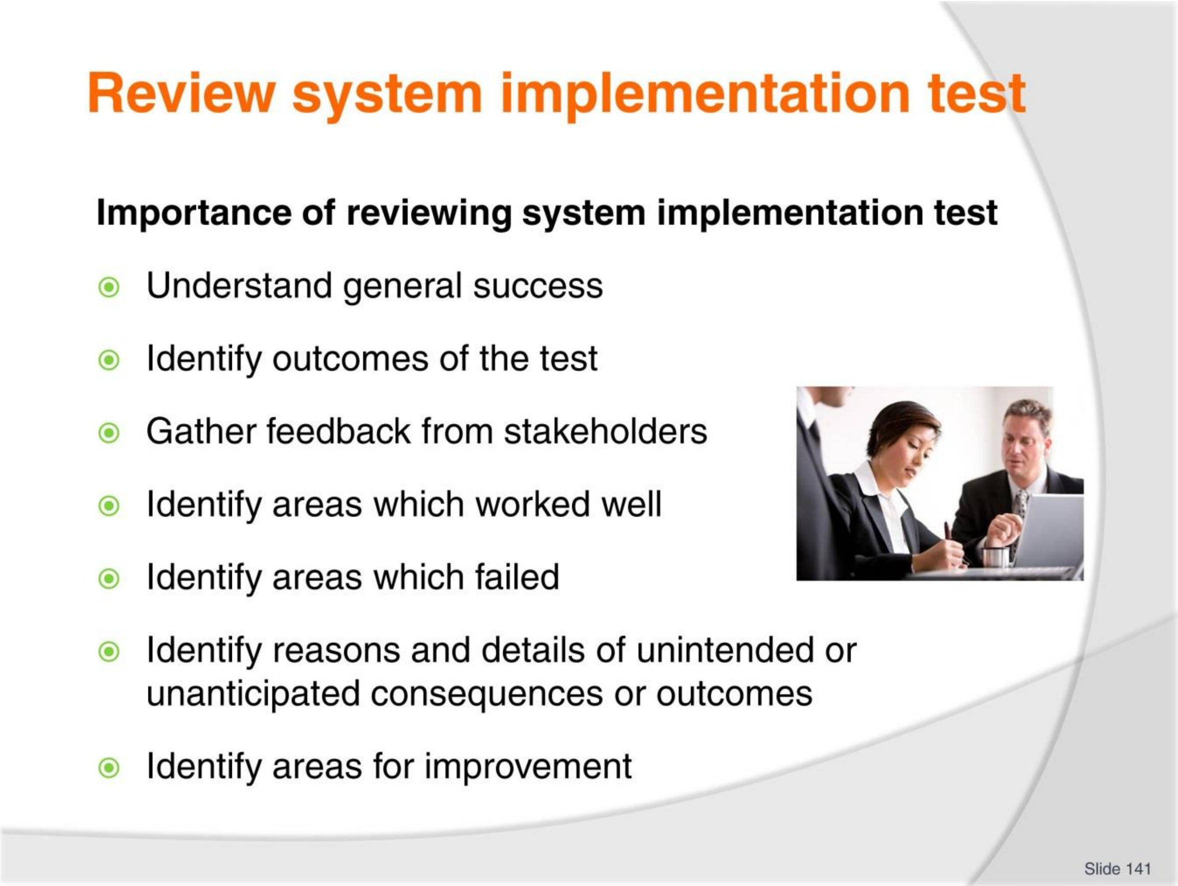
Now that the test of new and updated financial systems have been conducted, it is now time to:

- Review the success of the test
- Identify if the new changes meet the original requirements that it was purchased and implemented to achieve

Slide 140

Slide No	Trainer Notes
140.	**Discussion** Why is it important to review the test?

Slide



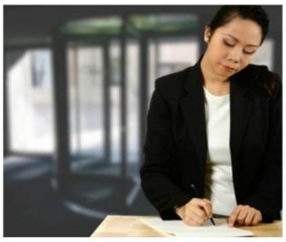
Slide No	Trainer Notes
141.	**Discussion** What else would you like to know?

Slide

Review system implementation test

Methods to review financial system test

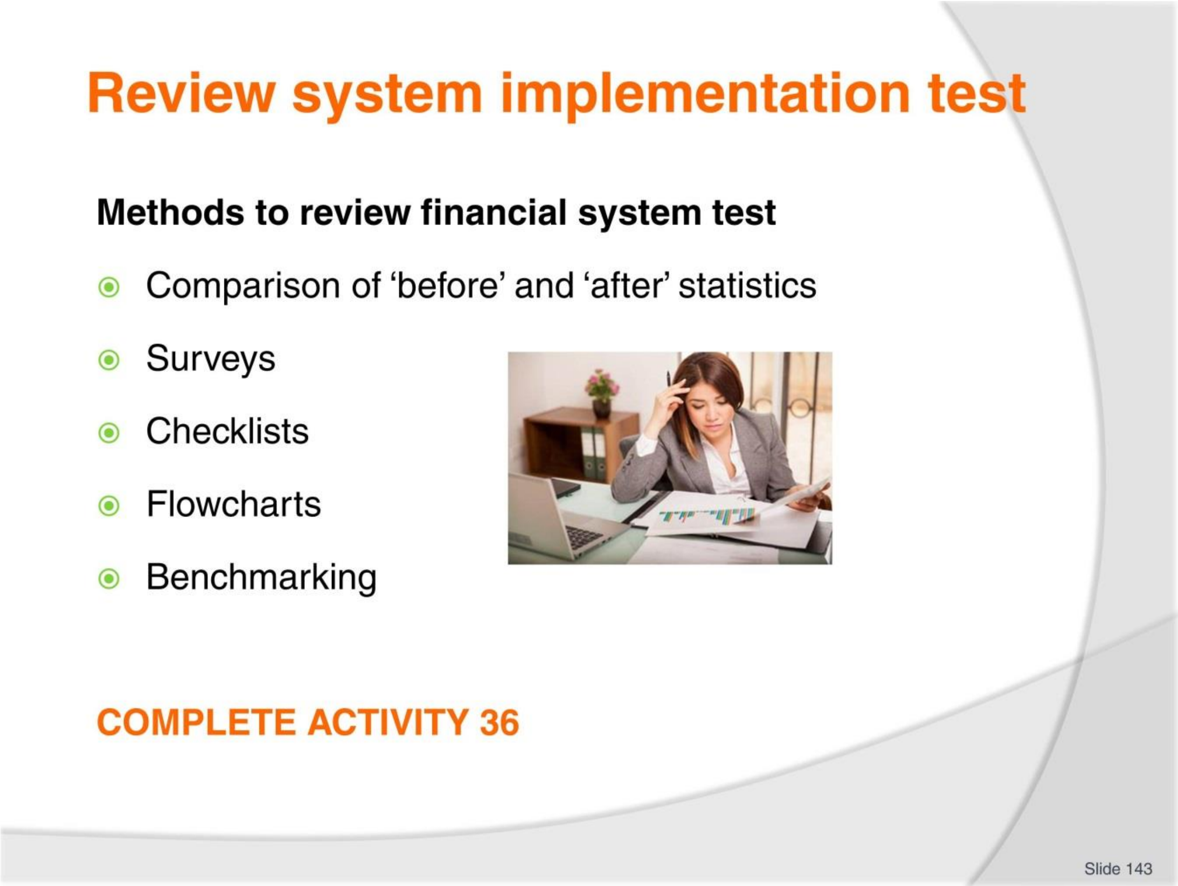
- Personal observation
- Discussions with staff
- Discussions with suppliers
- Compliance reports
- Use of checklists



Slide 142

Slide No	Trainer Notes
142.	**Discussion** What information can be gathered from each of these methods?

Slide



Slide No	Trainer Notes
143.	**Discussion & Complete Activity** What information can be gathered from each of these methods?

Slide

Apply changes

Process of applying changes

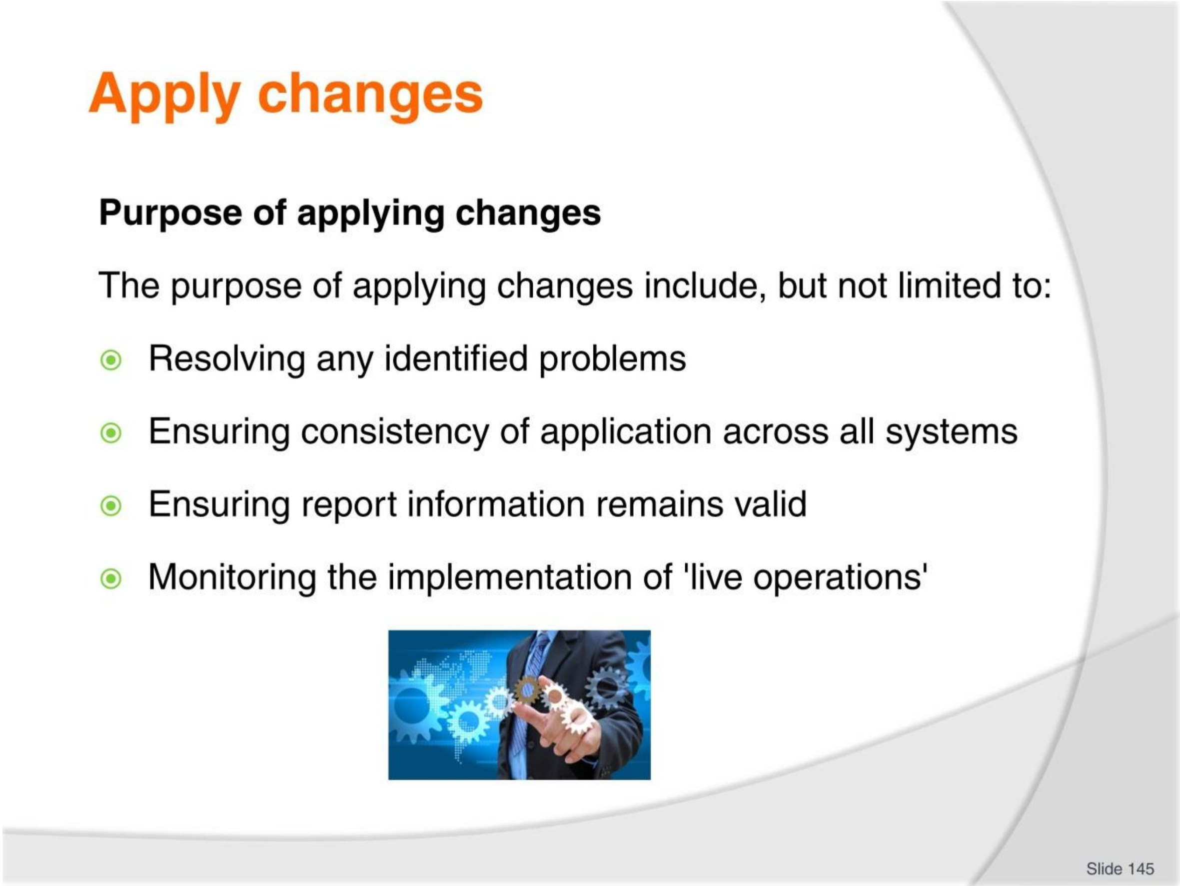
Once the initial test and review process has taken place, there may be a number of changes that managers, software vendors, internal accounting teams or IT staff can make to ensure the financial system operates in a more effective manner:

- What are examples of changes that can be made?

Slide 144

Slide No	Trainer Notes
144.	**Discussion** Discuss the question in the slide.

Slide



Slide No	Trainer Notes
145.	**Discussion** • What are examples? • What are other reasons for applying changes?

Slide

Types of changes

Do nothing

In instances where problems may appear to be due to the degree of change rather than experiencing problems with the financial systems themselves, further time may be given before action is taken:

- When would you do nothing?

Slide 146

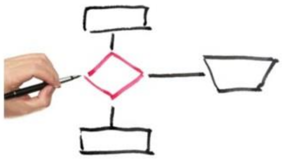
Slide No	Trainer Notes
146.	**Discussion** Discuss the question in the slide.

Slide

Types of changes

Make changes

- Retest system
- Reinstall software
- Ask vendor to make changes to software or provide support services
- Introduce new equipment
- Make changes to physical layout of equipment
- Corrective IT changes
- New policies



Slide 147

Slide No	Trainer Notes
147.	**Discussion** • Discuss the causes for these changes • Discuss the activities associated with these changes.

Slide

Types of changes

Make changes

- Changes to workflow
- Changes to procedures
- Change of personnel structure
- Changes in job roles
- Establish comprehensive job descriptions and job specifications
- Further training for staff

COMPLETE ACTIVITY 37

Slide 148

Slide No	Trainer Notes
148.	**Discussion & Complete Activity** • Discuss the causes for these changes • Discuss the activities associated with these changes.

Slide

Circulate change information and documents

Importance of communicating variations and updated information

Once all changes have been applied it is vital that all relevant stakeholders understand the changes that have taken place and receive any updated information or documents that may help facilitate the change:

- How can you communicate changes?

Slide 149

Slide No	Trainer Notes
149.	**Discussion** Discuss the question in the slide.

Slide

Circulate change information and documents

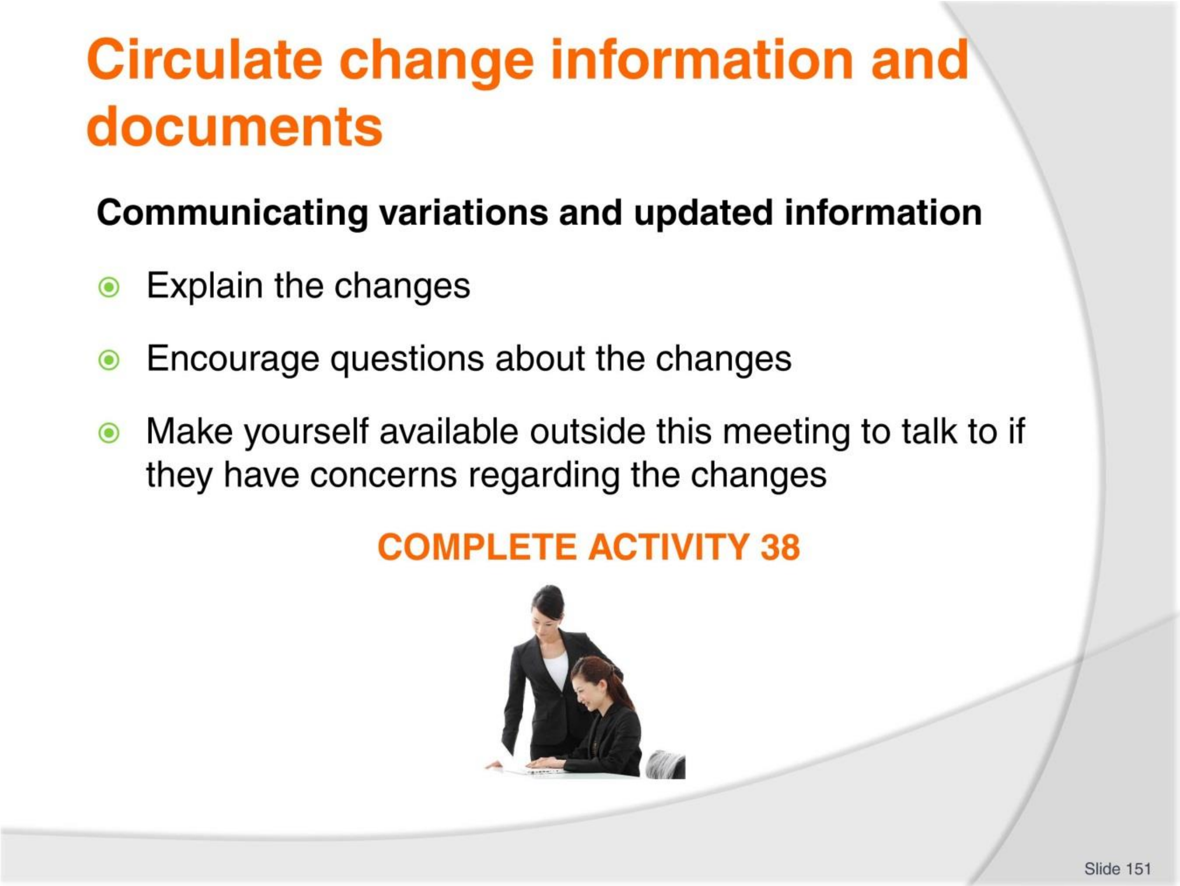
Communicating variations and updated information

- Hold a formal staff meeting to inform stakeholders of the changes
- Explain the results of the financial system test
- Explain why changes have been made
- Explain the changes to be introduced
- Give them a hard copy of documents to help explain and follow changes

Slide 150

Slide No	Trainer Notes
150.	**Discussion** Discuss the benefits of these methods.

Slide



Slide No	Trainer Notes
151.	**Discussion & Complete Activity** Discuss the benefits of these methods.

Recommended training equipment

- Accounting policies and procedures
- Audit templates
- Computer and internet access
- Examples of the following financial records/documents:
  - Balance Sheet
  - Bank reconciliations
  - Bank statements
  - General journal
  - General ledgers
  - Profit and loss statement
  - Ratios
  - Reconciliation templates
  - Special journal
  - Source documents
  - Subsidiary ledgers
  - Suspense accounts
- Financial monitoring tools including:
  - Customer feedback
  - Compliance reports
  - Employee feedback
  - Use of checklists
  - Surveys
  - Checklists
  - Flowcharts
  - Benchmarking
- Information relating to accounting software packages including:
  - FreshBooks
  - QuickBooks Online
  - Sage One
  - ZohoBooks
  - Xero
  - AccountEdge
  - Wave Accounting

  - Less Accounting
  - WorkingPoint
  - Free Agent
  - Yendo
- List of cost centres for a tourism business
- List of hardware for financial systems
- Testing of financial system checklists / templates.

Instructions for Trainers for using PowerPoint – Presenter View

Connect your laptop or computer to your projector equipment as per manufacturers' instructions.

In PowerPoint, on the **Slide Show** menu, click **Set up Show**.

Under Multiple monitors, select the Show Presenter View check box.

In the **Display slide show** on list, click the monitor you want the slide show presentation to appear on.

Source: http://office.microsoft.com

Note:

In Presenter View:

You see your notes and have full control of the presentation

Your trainees only see the slide projected on to the screen

More Information

You can obtain more information on how to use PowerPoint from the Microsoft Online Help Centre, available at:
http://office.microsoft.com/training/training.aspx?AssetID=RC011298761033

Note Regarding Currency of URLs

Please note that where references have been made to URLs in these training resources trainers will need to verify that the resource or document referred to is still current on the internet. Trainers should endeavour, where possible, to source similar alternative examples of material where it is found that either the website or the document in question is no longer available online.

Appendix – ASEAN acronyms

AADCP	ASEAN – Australia Development Cooperation Program
ACCSTP	ASEAN Common Competency Standards for Tourism Professionals
AEC	ASEAN Economic Community
AMS	ASEAN Member States
ASEAN	Association of Southeast Asian Nations
ASEC	ASEAN Secretariat
ATM	ASEAN Tourism Ministers
ATPMC	ASEAN Tourism Professionals Monitoring Committee
ATPRS	ASEAN Tourism Professional Registration System
ATFTMD	ASEAN Task Force on Tourism Manpower Development
CATC	Common ASEAN Tourism Curriculum
MRA	Mutual Recognition Arrangement
MTCO	Mekong Tourism Coordinating office
NTO	National Tourism Organisation
NTPB	National Tourism Professional Board
RQFSRS	Regional Qualifications Framework and Skills Recognition System
TPCB	Tourism Professional Certification Board

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for foods, tourism
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